FINAL OFFICIAL STATEMENT DATED DECEMBER 9, 2016

NEW ISSUES		**2016A Bonds**	**2016B Bonds**
Date of Delivery December 28, 2016	**Standard & Poor's:**	**AA-**	**AA-**

In the opinion of Miller, Canfield, Paddock and Stone, P.L.C., Bond Counsel, under existing law, assuming compliance with certain covenants by the City of Battle Creek (the "City"), (i) the interest on the Water and Wastewater System Revenue Bonds, Series 2016A (the "2016A Bonds") is excludable from gross income for federal income tax purposes, (ii) the 2016A Bonds and the interest thereon and the Water and Wastewater Revenue Bonds, Series 2016B (Federally Taxable – Qualified Energy Conservation Bonds) (the "2016B Bonds") and the interest thereon are exempt from all taxation by the State of Michigan (the "State") or by any taxing authority within the State, except inheritance and estate taxes, and taxes on gains realized from the sale, payment or other disposition thereof and (iii) the interest on the 2016B Bond is not excludable from gross income for federal income tax purposes under the Internal Revenue Code of 1986, as amended (the "Code'). Bond Counsel expresses no opinion regarding any other federal or state tax consequences relating to the ownership or disposition of, or the accrual or receipt of interest on, the 2016B Bonds. See "TAX MATTERS" herein and Appendix D, "FORMS OF APPROVING OPINIONS," for a description of certain provisions of the Code.

$7,725,000
CITY OF BATTLE CREEK
County of Calhoun, State of Michigan
WATER AND WASTEWATER SYSTEM REVENUE BONDS
SERIES 2016A

$8,890,000
CITY OF BATTLE CREEK
County of Calhoun, State of Michigan
WATER AND WASTEWATER SYSTEM REVENUE BONDS
SERIES 2016B
(Federally Taxable – Qualified Energy Conservation Bonds)

CERTAIN BOND DETAILS

The 2016A Bonds and 2016B Bonds (together, the "Bonds") will be fully registered, book-entry only bonds in $5,000 denominations or any integral multiple thereof. The Bonds will be dated as of the date of delivery and will bear interest from that date. Interest on the Bonds will be payable semiannually on June 1 and December 1 of each year commencing on June 1, 2017. The Bonds will mature on the dates and in the principal amounts and will bear interest at the rates as set forth on the inside cover of this Official Statement. The Bonds will be subject to optional redemption prior to maturity on June 1, 2026 at par. The 2016B Bonds are also subject to extraordinary optional redemption prior to maturity as discussed herein.

PURPOSE OF THE BONDS

Proceeds from the sale of the 2016A Bonds will be used to pay a portion of the costs to acquire, construct and equip certain improvements to the City's water and wastewater system (the "System"), together with any appurtenances and attachments thereto and any related site acquisition or site improvements, including but not limited to: (i) a new sludge cake facility to collect, process, handle and load sludge cake from the wastewater treatment plant (the "Treatment Plant") for hauling to the landfill; and (ii) acquisition and installation of blowers, pumps and other equipment with better energy efficiency ratings, advance electrical controls, and chemical feed and monitoring equipment; and paying the costs relating to the issuance of the 2016A Bonds, and paying the costs of funding of a bond reserve account.

Proceeds from the sale of the 2016B Bonds will be used to pay a portion of the costs to acquire, construct and equip various improvements to the City's System, together with any appurtenances and attachments thereto and any related site acquisition or site improvements, including, but not limited to energy and chemical efficiency improvements at the City's Treatment Plant including, but not limited to, acquisition and installation of blowers, pumps, and other equipment with better energy efficiency ratings, advance electrical controls, and chemical feed and monitoring equipment, and paying the costs relating to the issuance of the 2016B Bonds. The City has, pursuant to Division B of the Energy Improvement and Extension Act of 2008 and section 54D of the Internal Revenue Code of 1986, as amended, designated the 2016B Bonds as Qualified Energy Conservation Bonds, and expects to receive credit payments from the United States Department of Treasury, on or about each interest payment date (the "Refundable Credit").

AUTHORIZATION AND SECURITY

The Bonds are being issued pursuant to the provisions of Act 94, Public Acts of Michigan, 1933, as amended ("Act 94"), and Ordinance No. 16-2016 of the City (the "Ordinance"). The Bonds are payable solely from the net revenues of the System and any additions or supplements thereto, including earnings on investments as described in the Ordinance and in Section 3 of Act 94 (the "Net Revenues"). A statutory first lien on the Net Revenues as security for the Bonds has been established by the Ordinance. The Bonds are self-liquidating revenue bonds and do not constitute a general obligation of the City. The City has covenanted and agreed to fix and maintain at all times while any of the Bonds shall be outstanding, such rates for service furnished by the System as shall be sufficient to provide for payment of the necessary expenses of operation, maintenance and administration of the System, to produce Net Revenues equal to not less than one hundred ten percent (110%) of the annual principal and interest on the Bonds when due, to maintain a Bond Reserve Account therefor, and to provide for such other expenditures and funds for the System as are required by the Ordinance.

BOOK-ENTRY ONLY SYSTEM

The Bonds are issued only as fully registered bonds without coupons and, when issued, will be registered in the name of Cede & Co., as Bondholder and nominee for The Depository Trust Company ("DTC"), New York, New York. DTC will act as securities depository for the Bonds. Purchasers of beneficial interests in the Bonds (the "Beneficial Owners") will not receive certificates representing their beneficial interest in the Bonds purchased. So long as Cede & Co. is the Bondholder, as nominee of DTC, references herein to the Bondholders or registered owners shall mean Cede & Co., as aforesaid, and shall not mean the Beneficial Owners of the Bonds. See "THE BONDS-Book-Entry Only System" herein.

Financial Advisor:

BAIRD

The Bonds will be offered when, as and if issued by the City and accepted by the Underwriter identified below, subject to the approving legal opinion of Miller, Canfield, Paddock and Stone, P.L.C., Lansing and Detroit, Michigan. Certain legal matters will be passed upon for the Underwriter by Dickinson Wright PLLC, Detroit, Michigan. The Bonds are expected to be ready for delivery through DTC on or about December 28, 2016.

Underwriter:

HUTCHINSON, SHOCKEY, ERLEY & CO.

This cover page contains certain information for quick reference only. It is not a summary of this issue of Bonds. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision.

$7,725,000
CITY OF BATTLE CREEK
County of Calhoun, State of Michigan
WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016A

2016A BONDS MATURITIES, INTEREST RATES AND YIELDS

Due June 1	Principal Amount	Interest Rate	Priced To Yield	CUSIP Number (1)	Due June 1	Principal Amount	Interest Rate	Priced to Yield	CUSIP Number (1)
2017	$440,000	4.000%	1.060%	071474BR0	2025	$335,000	4.000%	2.780%	071474BZ2
2018	255,000	4.000	1.400	071474BS8	2026	350,000	5.000	2.900	071474CA6
2019	265,000	4.000	1.780	071474BT6	2027	365,000	5.000	3.000*	071474CB4
2020	275,000	4.000	2.000	071474BU3	2028	385,000	5.000	3.080*	071474CC2
2021	285,000	4.000	2.200	071474BV1	2029	400,000	5.000	3.180*	071474CD0
2022	295,000	4.000	2.390	071474BW9	2030	425,000	5.000	3.260*	071474CE8
2023	310,000	4.000	2.520	071474BX7	2031	445,000	5.000	3.330*	071474CF5
2024	320,000	4.000	2.660	071474BY5					

$2,575,000 5.000% Term Bonds Due June 1, 2036 Priced to Yield 3.600%*, Cusips 071474CL2

$8,890,000
CITY OF BATTLE CREEK
County of Calhoun, State of Michigan
WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016B
(Federally Taxable – Qualified Energy Conservation Bonds)

2016B BONDS MATURITIES, INTEREST RATES AND YIELDS

Due June 1	Principal Amount*	Interest Rate	Priced To Yield	CUSIP Number (1)	Due June 1	Principal Amount*	Interest Rate	Priced to Yield	CUSIP Number (1)
2017	$465,000	1.660%	1.660%	071474CM0	2024	$430,000	3.250%	3.250%	071474CU2
2018	430,000	1.910	1.910	071474CN8	2025	430,000	3.420	3.420	071474CV0
2019	430,000	2.130	2.130	071474CP3	2026	430,000	3.670	3.670	071474CW8
2020	430,000	2.430	2.430	071474CQ1	2027	435,000	3.770	3.770	071474CX6
2021	430,000	2.750	2.750	071474CR9	2028	440,000	3.870	3.870	071474CY4
2022	430,000	2.950	2.950	071474CS7	2029	440,000	3.920	3.920	071474CZ1
2023	430,000	3.100	3.100	071474CT5					

$895,000 4.120% Term Bonds Due June 1, 2031 Priced to Yield 4.120%, Cusips 071474DB3
$2,345,000 4.460% Term Bonds Due June 1, 2036 Priced to Yield 4.460%, Cusips 071474DG2

*Yield to first date of June 1, 2026.
(1) Copyright 2016, American Bankers Association, CUSIP data herein are provided by S&P Global Ratings CUSIP Service Bureau, a division of The McGraw Hill Companies, Inc.

REGARDING USE OF THIS OFFICIAL STATEMENT

Certain information contained in this Official Statement has been obtained from the City, DTC and other sources that are deemed to be reliable. No representation or warranty is made, however, as to the accuracy or completeness of such information by the Underwriter. Nothing contained in this Official Statement is or shall be relied on as a promise or representation by the Underwriter. This Official Statement is being used in connection with the sale of securities as referred to herein and may not be used, in whole or in part, for any other purpose. The delivery of this Official Statement at any time does not imply that information in it is correct as of any time subsequent to its date.

No dealer, broker, salesman, or other person has been authorized by the City or by the Underwriter to give any information or to make any representations other than those contained herein, and if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of any offer to buy, nor shall there be any sale of the Bonds, by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information (except for information under the section captioned "UNDERWRITING" which was obtained from the Underwriter).

U.S. Bank, National Association, Detroit, Michigan (the "Transfer Agent") by acceptance of its duties as Transfer Agent, has not reviewed this Official Statement and has made no representations as to the information contained herein.

The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any other sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the City.

In connection with the offering of the Bonds, the Underwriter may overallot or effect transactions that stabilize or maintain the market price of the Bonds at a level above the level that might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time without notice. The prices and other terms respecting the offering and sale of the Bonds may be changed from time to time by the Underwriter after the Bonds are released for sale, and the Bonds may be offered and sold at prices other than the initial offering prices, including sales to dealers who may sell the Bonds into investment accounts.

The Bonds have not been registered with the Securities and Exchange Commission under the Securities Act of 1933, as amended, in reliance upon exemptions contained in such act. The registration or qualification of the Bonds in accordance with the applicable provisions of securities laws of the states in which the Bonds have been registered or qualified and the exemption from registration or qualification in other states cannot be regarded as a recommendation thereof. In making an investment decision, investors must rely on their own examination of the City's financial records and the terms of the offering, including the merits and risks involved. These securities have not been recommended by any federal or state securities commission or regulatory authority. Furthermore, the foregoing authorities have not confirmed the accuracy or determined the adequacy of this document. Any representation to the contrary is a criminal offense.

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

TABLE OF CONTENTS

	Page
CITY OF BATTLE CREEK OFFICIALS	ii
PROFESSIONAL SERVICES	ii
INTRODUCTION	1
PURPOSE OF THE BONDS	1
Estimated Sources and Uses of Funds	1
THE BONDS	2
Authorization and Security	2
Additional Bonds	2
Bond Reserve Account	2
Redemption Prior to Maturity	3
Mandatory Redemption of 2016A Term Bonds	3
Mandatory Redemption of 2016B Term Bonds	3
Extraordinary Optional Redemption - 2016B Bonds	4
Notice and Manner of Redemption	4
Registration, Payment and Transfer	4
Book-Entry Only System	4
Transfer Outside Book-Entry Only System	6
THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM	7
History and Description	7
Service Area and Customer Base	8
Rates and Charges	12
Water Supply Volume	17
Wastewater Treatment Volume	19
Water Supply Revenue	21
Wastewater Revenue	22
Ten Largest Water Customers	23
Ten Largest Wastwater Customers	24
Debt Service Supported by the System	25
Historical and Projected Operating Cash Flow and Debt Service Coverage	26
Collection and Enforcement	27
Insurance	27
ABSENCE OF CERTAIN LITIGATION	27
BOND RATING	27
BOND COUSNEL'S RESPONSIBILITY	27
STATE TREASURY QUALIFICATION	28
TAX MATTERS - 2016A BONDS	28
TAX MATTERS - 2016B BONDS	30
LEGAL MATTERS	32
FINANCIAL ADVISOR TO THE CITY	32
UNDERWRITING	32
CONTINUING DISCLOSURE	33
OTHER MATTERS	33
SELECTED WATER AND WASTEWATER SYSTEM FINANCIAL INFORMATION	APPENDIX A
CITY OF BATTLE CREEK	APPENDIX B
FINANCIAL STATEMENT AND RELATED NOTES	APPENDIX C
THE ORDINANCE	APPENDIX D
FORMS OF APPROVING OPINIONS	APPENDIX E
FORM OF CONTINUING DISCLOSURE UNDERTAKING	APPENDIX F

CITY OF BATTLE CREEK OFFICIALS

Mayor
David Walters

Vice Mayor
Susan Baldwin

City Commission

Mark Behnke Kate Flores Kaytee Faris

Lynn Ward Gray Andy Helmboldt Deb Owens Mike Sherzer

City Administration

City Manager Rebecca Fleury	Finance Director Linda Morrison	City Clerk Victoria Houser
City Treasurer Gail Bradstreet	City Assessor Steve Hudson	City Attorney Jill Steele

City of Battle Creek
10 N Division Street
Battle Creek, Michigan 49014
Phone: (269) 966-3348
Fax: (269) 966-3555
www.battlecreekmi.gov

PROFESSIONAL SERVICES

Auditor:	Rehmann Robson, Jackson, Michigan
Bond Counsel:	Miller, Canfield, Paddock and Stone, P.L.C., Lansing and Detroit, Michigan
Financial Advisor:	Robert W. Baird & Co., Traverse City, Michigan
Transfer/Paying Agent:	U.S. Bank National Association, Grand Rapids, Michigan

OFFICIAL STATEMENT

CITY OF BATTLE CREEK
County of Calhoun, State of Michigan

$7,725,000
WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016A

and

$8,890,000
WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016B
(Federally Taxable – Qualified Energy Conservation Bonds)

INTRODUCTION

This Official Statement, including the cover page hereof and the appendices hereto, is provided by the City of Battle Creek, County of Calhoun, State of Michigan (the "City") for the purpose of setting forth information to all who may become registered owners of the City's $7,725,000 Water and Wastewater System Revenue Bonds, Series 2016A (the "2016A Bonds") and its $8,890,000 Water and Wastewater System Revenue Bonds, Series 2016B (Federally Taxable – Qualified Energy Conservation Bonds) (the "2016B Bonds" and together with the 2016A Bonds, the "Bonds").

PURPOSE OF THE BONDS

Proceeds from the sale of the 2016A Bonds will be used to pay a portion of the costs to acquire, construct and equip certain improvements to the City's water and wastewater system (the "System"), together with any appurtenances and attachments thereto and any related site acquisition or site improvements, including but not limited to: (i) a new sludge cake facility to collect, process, handle and load sludge cake from the wastewater treatment plant (the "Treatment Plant") for hauling to the landfill; and (ii) energy and chemical efficiency improvements at the City's Treatment Plant including, but not limited to, acquisition and installation of blowers, pumps and other equipment with better energy efficient ratings, advance electrical controls, and chemical feed and monitoring equipment; and paying the costs relating to the issuance of the 2016A Bonds, and paying the costs of the funding of the required bond reserve account.

Proceeds from the sale of the 2016B Bonds will be used to pay a portion of the costs to acquire, construct and equip certain improvements to the System, together with any appurtenances and attachments thereto and any related site acquisition or site improvements, including, but not limited to energy and chemical efficiency improvements at the City's Treatment Plant including, but not limited to, acquisition and installation of blowers, pumps, and other equipment with better energy efficient ratings, advance electrical controls, and chemical feed and monitoring equipment and, paying the costs relating to the issuance of the 2016B Bonds.

Estimated Sources and Uses of Funds

Estimated Sources of Funds

	2016A Bonds	2016B Bonds
Par Amount of the Bonds	$7,725,000.00	$8,890,000.00
Premium	822,452.15	0.00
Equity Contribution	0.00	28,016.94
Total	$8,547,452.15	$8,918,016.94

Estimated Uses of Funds

	2016A Bonds	2016B Bonds
Deposit to the Project Fund	$8,315,816.94	$8,712,200.00
Debt Service Reserve Fund Surety	14,334.00	11,809.44
Costs of Issuance (1)	165,157.46	134,000.00
Underwriter's Discount	52,143.75	60,007.50
Total	$8,547,452.15	$8,918,016.94

(1) Includes legal, printing, rating, publication and other miscellaneous costs of issuance.
Source: City of Battle Creek

THE BONDS

Authorization and Security

The Bonds are being issued pursuant to the provisions of Act 94, Public Acts of Michigan, 1933, as amended ("Act 94"), and Ordinance No. 16-2016 of the City (the "Ordinance"). The Bonds are payable solely from the net revenues of the System and any additions or supplements thereto, including earnings on investments as described in the Ordinance and in Section 3 of Act 94 (the "Net Revenues"). A statutory first lien on the Net Revenues as security for the Bonds has been established by the Ordinance. The Bonds are self-liquidating revenue bonds and do not constitute a general obligation of the City. The City has covenanted and agreed to fix and maintain at all times while any of the Bonds shall be outstanding, such rates for service furnished by the System as shall be sufficient to provide for payment of the necessary expenses of operation, maintenance and administration of the System, to produce Net Revenues equal to not less than one hundred ten percent (110%) of the annual principal and interest on the Bonds when due, to maintain a bond reserve account therefor, and to provide for such other expenditures and funds for the System as are required by the Ordinance.

The City has, pursuant to Division B of the Energy Improvement and Extension Act of 2008 and section 54D of the Internal Revenue Code of 1986, as amended, designated the 2016B Bonds as Qualified Energy Conservation Bonds, and (i) expects to receive credit payments (the "Refundable Credit") from the United States Department of Treasury, on or about each interest payment date and (ii) has covenanted to deposit all Refundable Credits into the debt retirement fund pledged for the payment of the 2016B Bonds.

For an estimate of the historical and projected cash flow of the System, see "Historical and Projected Operating Cash Flow and Debt Service Coverage" herein. For a complete description of the funds and accounts and flow of funds, reference is made to the Ordinance No. 16-2016 attached hereto.

The registered holder or holders of the Bonds representing in the aggregate not less than twenty percent (20%) of the entire principal amount thereof then outstanding, may, by suit, action, mandamus or other proceedings, protect and enforce the statutory lien upon the Net Revenues of the System, and may, by suit, action, mandamus or other proceedings, enforce and compel performance of all duties of the officers of the City, including the fixing of sufficient rates, the collection of revenues, the proper segregation of the revenues of the System and the proper application thereof. The statutory lien upon the Net Revenues, however, shall not be construed as to compel the sale of the System or any part thereof.

The rights or remedies of Bondholders may be affected by bankruptcy, insolvency, fraudulent conveyance or other laws affecting creditors' rights generally, now existing or hereafter enacted, and by the application of general principles of equity, including those relating to equitable subordination.

Additional Bonds

The City has reserved the right in accordance with the provisions of Act 94, to issue additional bonds payable from the revenues of the System which shall be of equal standing and priority of lien as to the Net Revenues of the System with the Bonds but only for subsequent repairs, extensions enlargements and improvements to the System or for the purpose of refunding any outstanding bonds (the "Additional Bonds"). Bonds for such purposes shall not be issued unless the Adjusted Net Revenues of the System for the then last two (2) preceding twelve month operating years, or the Adjusted Net Revenues of the System for the then last preceding (12) twelve month operating year, if the same shall be lower than the average, shall be equal to at least one hundred twenty (120%) percent of the maximum aggregate debt service in any future operating year on the then outstanding bonds and on the Additional Bonds then being issued. If the Additional Bonds are to be issued in whole or in part for refunding outstanding bonds, the maximum aggregate debt service shall be determined by deducting from the principal and interest requirements for each operating year the annual aggregate debt service requirement of any Bonds to be refunded with the proceeds of the Additional Bonds.

For a complete description for the terms upon which Additional Bonds may be issued, reference is made to the Ordinance.

Bond Reserve Account

Upon the issuance of the Bonds, a bond reserve account will be established with bond proceeds or other monies lawfully available therefor in an amount equal to the lesser of (1) the maximum annual debt service due on the Bonds (2) 125% of the average annual debt service requirements on the Bonds or (3) 10% of the principal amount of the Bonds (the "Bond Reserve Account"). Except as provided in the Ordinance, the monies credited to the Bond Reserve Account shall be used solely for the payment of the principal of and interest on the Bonds as to which there would otherwise be a default. The Assured Guaranty Municipal Corp. will provide a surety policy to satisfy the Bond Reserve Account. If at any time it

shall be necessary to use monies credited to the Bond Reserve Account for such payment, then the monies so used shall be replaced from the Net Revenues first received thereafter which are not required for current principal and interest requirements. If Additional Bonds from time to time are issued, each ordinance authorizing the Additional Bonds shall provide for additional deposits to the Bond Reserve Account in an amount that will result in the Bond Reserve Account being equal to the lesser of (1), (2) or (3) above after issuance of the Additional Bonds.

For a complete description of the funds and accounts and flow of funds, reference is made to the Ordinance.

Redemption Prior to Maturity

The 2016A Bonds maturing in the years 2017 through 2026, inclusive, shall not be subject to optional redemption prior to maturity. The 2016A Bonds, or portions of the 2016A Bonds in multiples of $5,000 maturing in the years 2027 through 2036, inclusive, shall be subject to redemption at the option of the City in such order of maturity as the City shall determine and within a single maturity by lot on any date on or after June 1, 2026 at par plus accrued interest to the date fixed for redemption.

The 2016B Bonds maturing in the years 2017 through 2026, inclusive, shall not be subject to optional redemption prior to maturity. The 2016B Bonds, or portions of the 2016B Bonds in multiples of $5,000 maturing in the years 2027 through 2036, inclusive, shall be subject to redemption at the option of the City in such order of maturity as the City shall determine and within a single maturity by lot on any date on or after June 1, 2026 at par plus accrued interest to the date fixed for redemption.

Mandatory Redemption of 2016A Term Bonds

The 2016A Bonds maturing June 1, 2036 (the "2016A Term Bonds") are subject to mandatory redemption by the City at par plus accrued interest to the date of redemption on the dates in the principal amount set forth in the following tables. The 2016A Bonds to be mandatorily redeemed shall be selected by lot in such manner as shall be determined by the Bond Registrar/Paying Agent.

2016A Term Bond Due June 1, 2036

Redemption June 1	Principal Amount
2032	$ 465,000
2033	490,000
2034	515,000
2035	540,000
2036 (maturity)	565,000

Mandatory Redemption of 2016B Term Bonds

The 2016B Bonds maturing June 1, 2031 and June 1, 2036 (the "2016B Term Bonds") are subject to mandatory redemption by the City at par plus accrued interest to the date of redemption on the dates in the principal amount set forth in the following tables. The 2016B Bonds to be mandatorily redeemed shall be selected by lot in such manner as shall be determined by the Bond Registrar/Paying Agent.

2016B Term Bond Due June 1, 2031

Redemption June 1	Principal Amount
2030	$ 445,000
2031 (maturity)	450,000

2016B Term Bond Due June 1, 2036

Redemption June 1	Principal Amount
2032	$ 455,000
2033	460,000
2034	470,000
2035	475,000
2036 (maturity)	485,000

Extraordinary Optional Redemption 2016B Bonds

The 2016B Bonds shall be subject to redemption prior to maturity, in whole or in part, at the option of the City, on any date, at a redemption price of par plus accrued interest to the redemption date, in the event that any provision of the Internal Revenue Code of 1986, as amended, is repealed, amended or modified in a manner which results in the elimination or reduction of an amount equal to or greater than 6.9% of the original anticipated direct pay tax credit from the United States Treasury to the City or in the event that the United States Treasury fails to make a direct pay tax credit to which the City is entitled and such failure is not caused by any action or inaction by the City.

The 2016B Bonds maturing in the year 2036 shall be subject to redemption prior to maturity, in whole or in part, at the option of the City, on any date, at a redemption price of par plus accrued interest to the redemption date, in the event the City has unexpended proceeds of the 2016B Bonds which remain unspent after the later of (i) the third anniversary of the delivery date of the 2016B Bonds or (ii) the last day of any extension of time negotiated with the Internal Revenue Service (the "IRS"), as evidenced in writing from the IRS, that extends the date by which the proceeds of the 2016B Bonds must be expended. Upon the occurrence of such event, the amount of 2016B Bonds subject to redemption shall be in an amount not to exceed the unexpended available proceeds of the 2016B Bonds plus such amount as shall be necessary to permit the 2016B Bonds to be redeemed in multiples of $5,000 within a single maturity.

Notice and Manner of Redemption

Notice of redemption for any Bond shall be given at least thirty (30) days prior to the date fixed for redemption by first class mail to the registered holder thereof at the address shown on the registration books of the City maintained by the Transfer Agent. The Bonds shall be called for redemption in multiples of $5,000. The Bonds in denominations of more than $5,000 shall be treated as representing the number of Bonds obtained by dividing the denomination of the Bond by $5,000 within a maturity. The Bonds may be redeemed in part. In the event of redemption of the Bonds in part, upon surrender of the Bond to be redeemed a new Bond or Bonds in aggregate principal amount equal to the unredeemed portion of the Bond surrendered shall be issued to the registered owner thereof. No further interest payment on the Bonds or portions of the Bonds called for redemption shall accrue after the date fixed for redemption, whether presented for redemption or not, provided the City has funds on hand with the Transfer Agent to redeem the same.

Registration, Payment and Transfer

The Bonds are issuable only as fully registered Bonds without coupons, and when issued, will be registered in the name DTC. DTC will act as securities depository for the Bonds. Purchases of beneficial interests in the Bonds will be made in book-entry-only form, in the denomination of $5,000 or any integral multiple thereof. Purchasers will not receive certificates representing their beneficial interests in Bonds purchased. So long as Cede & Co. is the Bondholder, as nominee for DTC, references herein to the Bondholders or registered owners shall mean Cede & Co., as aforesaid, and shall not mean the Beneficial Owners (as hereinafter defined) of the Bonds. See “THE BONDS – Book-Entry Only System,” herein.

The Bonds will be issued in the original aggregate principal amounts as shown on the inside cover of this Official Statement. The Bonds will be dated as of the original date of delivery and will bear interest from that date. Interest on the Bonds shall be payable semiannually on June 1 and December 1 each year commencing on June 1, 2017. Interest on the Bonds shall be computed using a 360-day year and twelve 30-day months. The Bonds will mature on the dates and in the principal amounts and will bear interest at the rates as set forth on the inside cover of this Official Statement. The Bonds will be registered Bonds in the denomination of $5,000 or multiples thereof not exceeding for each maturity the principal amount of such maturity. The principal and interest shall be payable at the designated corporate trust office of U.S. Bank national Association, Grand Rapids, Michigan (the “Transfer Agent”) or such other Transfer Agent as the City may hereafter designate by notice mailed to the Bondholders. So long as DTC or its nominee, Cede & Co., is the Bondholder, such payments will be made directly to DTC. Disbursement of such payments to the Beneficial Owners is the responsibility of DTC Participants and Indirect Participants (both as hereinafter defined), as more fully described below. Interest shall be paid when due by check or draft mailed to the registered owners of Bonds as shown on the registration books as of the fifteenth day of the calendar month preceding the payment date for each interest payment.

Book-Entry Only System

The information in this section has been furnished by DTC. No representation is made by the City, the Financial Advisor, Bond Counsel, the Transfer Agent, the Underwriter or its counsel as to the completeness or accuracy of such information or as to the absence of material adverse changes in such information (defined below) subsequent to the date hereof. No attempt has been made by the City, the Financial Advisor, Bond Counsel, the Transfer Agent, the Underwriter

or its counsel to determine whether DTC is or will be financially or otherwise capable of fulfilling its obligations. Neither the City nor the Transfer Agent will have any responsibility or obligation to DTC participants, indirect participants or the persons for which they act as nominees with respect to the Bonds, or for any principal or interest payment thereof.

The DTC, New York, NY will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC, is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). Standard & Poor's has rated DTC AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org**.**

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an

Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the City or Transfer Agent, on payable date in accordance with their respective holdings on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with Bonds held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Transfer Agent or the City, subject to any statutory or regulatory requires as may be in effect from time to time. Payments of redemption proceeds, distributions and divided payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City or Transfer Agent, disbursement of such payments to Direct Participants shall be the responsibility of DTC,

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the City or the Transfer Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered to DTC.

The City may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The City, the Financial Advisor, Bond Counsel, the Transfer Agent, the Underwriter and its counsel cannot and do not give any assurances that DTC, the Direct Participants or the Indirect Participants will distribute to the Beneficial Owners of the Bonds (i) payments of principal of or interest on the Bonds, (ii) any document representing or confirming beneficial ownership interests in the Bonds, or (iii) notices sent to DTC or Cede & Co. its nominee, as the registered owner of the Bonds, or that it will do so on a timely basis or that DTC, Direct Participants or Indirect Participants will serve and act in the manner described in this Official Statement. The current “rules” applicable to DTC are on file with the Securities and Exchange Commission, and the current “procedures” of DTC to be followed in dealing with the Participants are on file with DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

Neither the City, the Financial Advisor, Bond Counsel, the Transfer Agent nor the Underwriter or its counsel will have any responsibility or obligation to any Direct Participant, Indirect Participant or any Beneficial Owner or any other person with respect to: (a) the Bonds; (b) the accuracy of any records maintained by DTC or any Direct Participant or Indirect Participant; (c) the payment by DTC to any Participant, or by any Direct Participant or Indirect Participant to any Beneficial Owner of any amount due with respect to the principal of or interest on the Bonds; (d) the delivery by DTC to any participant, or by and Direct Participant or Indirect Participant to any Beneficial Owner of any notice which is required or permitted under the terms of the authorizing resolution for each issue to be given to Bondholders; (e) the selection of the Beneficial Owners to receive payment in the event of any partial redemption of the Bonds; or (f) any consent given or other action taken by DTC as Bondholder.

Transfer Outside Book-Entry Only System

In the event the book-entry only system is discontinued, the following provisions would apply to the Bonds. The Transfer Agent will act as transfer agent and bond registrar and shall keep the registration books for the Bonds (the “Bond Register”) at its corporate trust office. Subject to the further conditions contained in the Ordinance, the Bonds may be transferred or exchanged for one or more Bonds in different authorized denominations upon surrender thereof at the corporate trust office of the Transfer Agent by the registered owners or their duly authorized attorneys; upon surrender of any Bonds to be transferred or exchanged, the Transfer Agent shall record the transfer or exchange in the Bond Register and shall authenticate replacement bonds in authorized denominations; during the 15 days immediately preceding the date of mailing (“Record Date”) of any notice of redemption or any time following the mailing of any notice of redemption, the Bond Transfer Agent shall not be required to effect or register any transfer or exchange of any Bond which has been selected for such redemption, except the Bonds properly surrendered for partial redemption may be exchanged for new Bonds in authorized denominations equal in the aggregate to the unredeemed portion; the City and Bond Transfer Agent shall be entitled to treat the registered owners of the Bonds, as their names appear in the Bond Register as of the appropriate dates, as the owner of such Bonds for all purposes under the Ordinance. No transfer or exchange made other than as described above and in the Ordinance shall be valid or effective for any purposes under the Ordinance.

THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM

History and Description

The City has owned and operated its water supply system (the "Water Supply System") since the early 1900s. Potable water was originally obtained from shallow wells along Goguac Lake. After 1910 the City began developing the Verona well field, which expanded along with the service area (the "Verona Well Field"). The Verona Well Field has a total of 36 wells.

In 1981 volatile organic compounds were discovered at three sites approximately a half of a mile south of the Verona Well Field. Since 1984, 14 of the 36 wells have been used as blocking wells. Blocking wells pump water through an air stripper, which removes any contaminants before the water is discharged into the Battle Creek River. Expenses relating to the blocking wells and the air stripper system are paid by the Environmental Protection Agency, the State of Michigan and various Potentially Responsible Parties. No contamination has been detected from any of the 22 remaining production wells since 1984. Assuming the largest well is out of service, the remaining production wells have a firm pumping capacity of 31 million gallons per day ("MGD").

In 1998 the construction of an iron and manganese removal facility at the Verona Well Field was completed (the "Water Treatment Facility"). The treatment process includes the addition of chlorine and fluoride. The Water Treatment Facility has a sustained treatment capacity of approximately 30 MGD. Peak daily flow over the last five years was 17.89 MGD.

In addition to the Verona Well Field and the Water Treatment Facility, the Water Supply System has 360 miles of water mains, five booster stations as well as four ground reservoirs and three elevated storage capable of storing approximately 12 million gallons of treated water.

The City has owned and operated its wastewater treatment system since the late 1800s when it began construction of its first sewers (the "Wastewater Treatment System"). At that time, wastewater was discharged directly into the rivers that flowed through the area. The collection system expanded with much of the construction in the City taking place between the 1890s and the 1950s. The separation of sanitary and storm sewers began in the 1950s. The City does not have any combined sewers. The collection system expanded into the surrounding townships during the 1980s and now includes 340 of sewers and 114 lift stations.

Treatment of wastewater began in the early 1920s with the completion of a primary treatment facility on Kendall Street at the Kalamazoo River. Two primary treatment facilities replaced the Kendall Street facility in 1927. Both of those facilities were subsequently replaced with the completion of a larger primary treatment facility along River Road (the "River Road Treatment Facility") in 1935. Chlorination and flocculation of treated wastewater was added during a 1942 expansion of the River Road Facility. Secondary treatment was provided in 1959 with the addition of trickling filters and clarifying tanks. The 1959 improvements also included the addition of vacuum filters and an incinerator to dry and burn sludge, which are the solids removed from the wastewater.

In 1966 the secondary treatment process at the River Road Treatment Facility was changed to an activated sludge process. Sludge thickening and additional vacuum filters were added along with solid waste digesters to stabilize the waste material. Another incinerator was also constructed in 1966. In 1978 land application replaced the incineration of sludge until 1984 when a court order stopped the process because of the smell.

Capacity of the River Road Treatment Facility was significantly increased during the 1980s with the addition of more settling, clarifying and aeration tanks. Additional improvement during the 1980s included the construction of a new laboratory as well as new administration, operations and sludge storage buildings. Improvements to the sludge stabilization process in the early 1990s facilitated a return to seasonal land application through injection. When the ground is frozen the sludge is still incinerated.

Today, the River Road Treatment Facility has a sustained treatment capacity of 29 MGD. Peak daily flow over the last five years was 33.77 MGD. Treated wastewater is discharged into the Kalamazoo River. The City is in compliance with the requirements of its National Pollutant Discharge Elimination System permit granted by the Michigan Department of Environmental Quality (the "NPDES Permit"). The City's NPDES Permit expires on October 1, 2020.

Service Area and Customer Base

The System's service area totals approximately 50 square miles. It includes the entire City and portions of the City of Springfield ("Springfield"), the Charter Township of Bedford ("Bedford"), the Charter Township of Emmett ("Emmett"), the Charter Township of Pennfield ("Pennfield") and the Township of Leroy ("Leroy" and together with Springfield, Bedford, Emmett and Pennfield, the "Customer Communities")

The City provides wastewater treatment services to the entire City and portions of the Customer Communities. Agreements with the Customer Communities to provide such services have expired. The City has finalized an Intergovernmental Wastewater Treatment Services Contract with the Customer Communities (the "Contract"). The Contract sets forth the terms, conditions and provisions relating to the rates and charges for services provided by the City to the Customer Communities, including the continued use of the Wastewater Treatment System. Among other things, the Contract requires the Customer Communities to comply with the industrial pretreatment requirements of the City's NPDES Permit. The Contract will expire fifteen years from the date it is placed in effect and thereafter may be terminated with a year's notice.

The City provides water supply services to the entire City and portions of the Customer Communities. The City has separate water supply agreements with each Customer Community (the "Agreements"). The status of the Agreements with each Customer Community is summarized as follows:

Customer Community	Contract Expiration Date
Springfield	June 30, 2016 (1)
Bedford	No Expiration (2)
Emmett	No Expiration (2)
Pennfield	April 21, 2023 (2)
Leroy	No Expiration (2)

(1) In the process of negotiation.
(2) May be terminated due to material breach or by mutual consent with proper notice.
Source: City of Battle Creek

Springfield and Pennfield own the water and wastewater infrastructure within their corporate limits. Both operate and maintain their water infrastructure while the City operates and maintains their sewer infrastructure. Springfield and Pennfield meter and bill their own customers.

Bedford owns the sewer infrastructure within their corporate limits, but it is operated and maintained by the City. The City owns and operates the water infrastructure in Bedford. The City meters and bills the customers located in Bedford.

Emmett owns the water and sewer infrastructure within its corporate limits. Both are operated and maintained by the City. The City meters and bills the customers located in Emmett.

The City owns and operates the water and sewer infrastructure in Leroy. The City meters and bills the one customer located in Leroy.

As discussed under "Rates and Charges" herein, System revenues consist primarily of water and wastewater ready-to-serve charges based on water meter size and water and wastewater commodity charges based on water consumption. The following tables set forth the approximate number and percent of water customers as billed by user classification and location for the fiscal years ended June 30, 2012 through 2016. Certain customers of the Water Supply System are billed for more than one meter.

City of Battle Creek Water and Wastewater System
Approximate Number of Water Customers as Billed by User Classification and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
City Customers					
Residential	14,430	14,814	14,791	14,765	14,757
Commercial (1)	1,557	1,622	1,628	1,617	1,619
Industrial	128	129	132	131	130
Sub-total	16,115	16,565	16,551	16,513	16,506
Customer Communities					
Emmett	649	669	669	668	675
Bedford	430	438	430	426	420
Leroy (2)	Bulk	Bulk	Bulk	Bulk	Bulk
Pennfield (3)	Bulk	Bulk	Bulk	Bulk	Bulk
Springfield (4)	Bulk	Bulk	Bulk	Bulk	Bulk
Sub-total	1,079	1,107	1,099	1,094	1,095
Total Customers	17,194	17,672	17,650	17,607	17,601

(1) Includes governmental and tax-exempt customers.
(2) Leroy has one water customer.
(3) Penfield has approximately 341 metered water customers.
(4) Springfield has approximately 1,438 metered water customers.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Water Customers as Billed by User Classification and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
City Customers					
Residential	83.92%	83.83%	83.80%	83.86%	83.84%
Commercial	9.06	9.18	9.22	9.18	9.20
Industrial	0.74	0.72	0.75	0.74	0.74
Sub-total	93.72%	93.73%	93.77%	93.79%	93.78%
Customer Communities					
Emmett	3.78%	3.79%	3.79%	3.79%	3.84%
Bedford	2.50	2.48	2.44	2.42	2.39
Leroy	Bulk	Bulk	Bulk	Bulk	Bulk
Pennfield	Bulk	Bulk	Bulk	Bulk	Bulk
Springfield	Bulk	Bulk	Bulk	Bulk	Bulk
Sub-total	6.28%	6.27%	6.23%	6.21%	6.22%
Total Customers	100.00%	100.00%	100.00%	100.00%	100.00%

Source: City of Battle Creek

The following tables set forth the approximate number and percent of wastewater customers as billed by user classification and location for the fiscal years ended June 30, 2012 through 2016. Customers of the Wastewater Treatment System as billed include flat rate customers that are not metered.

City of Battle Creek Water and Wastewater System
Approximate Number of Wastewater Customers by User Classification and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
City Customers (1)					
Residential	15,304	15,812	15,785	15,745	15,734
Commercial (2)	1,500	1,570	1,576	1,570	1,580
Industrial	119	119	122	121	120
Sub-total	16,923	17,501	17,483	17,436	17,434
Customer Communities					
Emmett (3)	1,690	1,660	1,683	1,681	1,685
Bedford (4)	553	563	553	549	543
Leroy	Bulk	Bulk	Bulk	Bulk	Bulk
Pennfield (5)	Bulk	Bulk	Bulk	Bulk	Bulk
Springfield (6)	Bulk	Bulk	Bulk	Bulk	Bulk
Sub-total	2,243	2,223	2,236	2,230	2,228
Total Customers	19,166	19,724	19,719	19,666	19,662

(1) Includes approximately 1,057 customers located in the City that are not metered and who pay a flat monthly rate.
(2) Includes governmental and tax-exempt customers.
(3) Includes approximately 1,013 customers located in Emmett that are not metered and who pay a flat monthly rate.
(4) Includes approximately 158 customers located in Bedford that are not metered and who pay a flat monthly rate.
(5) Includes approximately 607 customers located in Pennfield that are not metered and who pay a flat monthly rate.
(6) Includes approximately 93 customers located in Springfield that are not metered and who pay a flat monthly rate.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Wastewater Customers by User Classification and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
City Customers					
Residential	79.85%	80.17%	80.05%	80.06%	80.02%
Commercial (1)	7.83	7.96	7.99	7.98	8.04
Industrial	0.62	0.60	0.62	0.62	0.61
Sub-total	88.30%	88.73%	88.66%	88.66%	88.67%
Customer Communities					
Emmett Township	8.82%	8.42%	8.53%	8.55%	8.57%
Bedford Township	2.89	2.85	2.80	2.79	2.76
Leroy	Bulk	Bulk	Bulk	Bulk	Bulk
Pennfield	Bulk	Bulk	Bulk	Bulk	Bulk
Springfield	Bulk	Bulk	Bulk	Bulk	Bulk
Sub-total	11.70%	11.27%	11.34%	11.34%	11.33%
Total Customers	100.00%	100.00%	100.00%	100.00%	100.00%

Source: City of Battle Creek

The following tables set forth the approximate number and percent of water customers by meter size and location for the fiscal year ending June 30, 2016. The table includes inactive meters.

City of Battle Creek Water and Wastewater System
Approximate Number of Water Customers by Meter Size and Location
Fiscal Year Ended June 30, 2016

Meter Size	Battle Creek (1)	Bedford	Emmett (2)	Leroy	Pennfield (3)	Springfield (4)	Total
5/8”	11,351	392	459	0	279	1,254	13,735
¾”	4,440	9	186	0	23	52	4,710
1”	755	3	55	0	24	43	880
1 ½”	298	1	43	0	5	52	399
2”	419	3	27	1	8	28	486
3”	73	1	8	0	1	4	87
4”	61	2	7	0	1	5	76
6”	24	0	1	0	0	0	25
8”	11	0	1	0	0	0	12
10”	0	0	0	0	0	0	0
Unmetered	1	0	0	0	0	0	1
Total	17,433	411	787	1	341	1,438	20,411

(1) Does not include approximately 850 irrigation meters or 110 fire protection meters.
(2) Does not include approximately 28 irrigation meters or 1 fire protection meter.
(3) Does not include approximately 59 irrigation meters.
(4) Does not include approximately 56 irrigation meters.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Water Customers by Meter Size and Location
Fiscal Year Ended June 30, 2016

Meter Size	Battle Creek	Bedford	Emmett	Leroy	Pennfield	Springfield	Total
5/8”	82.64%	2.85%	3.34%	0.00%	2.03%	9.13%	67.29%
¾”	94.26	0.19	3.94	0.00	0.49	1.10	22.36
1”	85.79	0.34	6.25	0.00	2.73	4.86	4.31
1 ½”	74.69	0.25	10.78	0.00	2.01	7.02	1.96
2”	86.21	0.62	5.56	0.21	1.65	5.76	2.38
3”	83.91	1.15	9.20	0.00	1.15	4.60	0.43
4”	80.26	2.63	9.21	0.00	1.32	6.58	0.37
6”	96.00	0.00	4.00	0.00	3.85	0.00	0.12
8”	91.67	0.00	8.33	0.00	0.00	0.00	0.06
10”	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total	81.74%	1.93%	4.31%	0.01%	4.84%	7.17%	100.00%

Source: City of Battle Creek

The following tables set forth the approximate number and percent of wastewater customers by meter size and location for the fiscal year ending June 30, 2016. The table includes inactive meters.

City of Battle Creek Water and Wastewater System
Number of Wastewater Customers by Meter Size and Location
Fiscal Year Ended June 30, 2016

Meter Size	Battle Creek (1)	Bedford (2)	Emmett (3)	Leroy	Pennfield (4)	Springfield (5)	Total
5/8”	11,239	392	459	0	1,068	1,344	14,502
¾”	4,370	9	186	0	51	52	4,668
1”	574	3	55	0	26	43	701
1 ½”	245	1	43	0	18	52	359
2”	334	3	27	1	14	28	407
3”	62	1	8	0	2	4	77
4”	49	2	7	0	4	5	67
6”	18	0	1	0	1	0	20
8”	8	0	1	0	0	0	9
10”	0	0	0	0	1	0	1
Total	16,899	411	787	1	1,185	1,528	20,811

(1) Excludes approximately 1,057 customers located in the City that are not metered and who pay a flat monthly rate.
(2) Excludes approximately 158 customers located in Bedford that are not metered and who pay a flat monthly rate.
(3) Excludes approximately 1,013 customers located in Emmett that are not metered and who pay a flat monthly rate.
(4) Excludes approximately 607 customers located in Pennfield that are not metered and who pay a flat monthly rate.
(5) Excludes approximately 93 customers located in Springfield that are not metered and who pay a flat monthly rate.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Wastewater Customers by Meter Size and Location
Fiscal Year Ended June 30, 2016

Meter Size	Battle Creek	Bedford	Emmett	Leroy	Pennfield	Springfield	Total
5/8”	77.50%	2.70%	3.17%	0.00%	7.36%	9.27%	69.68%
¾”	93.62	0.19	3.98	0.00	1.09	1.11	22.43
1”	81.88	0.43	7.85	0.00	3.71	6.13	3.37
1 ½”	68.25	0.28	11.98	0.00	5.01	14.48	1.73
2”	82.06	0.74	6.63	0.25	3.44	6.88	1.96
3”	80.52	1.30	10.39	0.00	2.60	5.19	0.37
4”	73.13	2.99	10.45	0.00	5.97	7.46	0.32
6”	90.00	0.00	5.00	0.00	5.00	0.00	0.10
8”	88.89	0.00	11.11	0.00	0.00	0.00	0.04
10”	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total	81.20%	1.98%	3.78%	0.01%	5.69%	7.34%	100.00%

Source: City of Battle Creek

Rates and Charges

System revenues consist primarily of water and wastewater ready-to-serve charges and water and wastewater commodity charges. Ready-to-serve charges are based on meter size. Water and wastewater commodity charges are based primarily on metered water usage. Usage is measured in cubic feet (“CF”). Irrigation meters are not assessed a monthly ready-to-serve charge. The City does not receive water ready-to-serve charges from customers located in Pennfield and Springfield, but they do receive ready-to-serve charges from those customers for wastewater.

Pennfield and Springfield read and bill their own customers. Water meters for residential customers in the City, Bedford, Emmett and Leroy are read every other month, but billed monthly. Water meters for commercial and industrial customers in the City, Bedford, Emmett and Leroy are read and billed monthly. Excluding Pennfield and Springfield,

sewer commodity charges for usage from May 15th through November 15th are based on water usage from November 15th through May 15th. It is the City's policy to review and revise rates on an annual basis.

The following table sets forth the monthly water ready-to-serve charges by water meter size for customers located in the City for the fiscal years ended or ending June 30, 2013 through 2017. Customers located in Bedford pay the same rate as customers located in the City. Customers located in Emmett pay 1.27x the rate paid by customers located in the City. The one customer located in Leroy pays 1.5x the rate paid by customers located in the City. Leroy is assessed an additional surcharge of 2.5% beginning with the fiscal year ended June 30, 2015. Water ready-to-serve charges are not paid by customers located in Pennfield or Springfield.

City of Battle Creek Water and Wastewater System
Monthly Water Ready-to-Serve Charges by Water Meter Size for City Customers
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended June 30				
Meter Size	2013	2014	2015	2016	2017 (1)
5/8"	$ 8.37	$ 8.79	$ 9.23	$9.69	$9.69
3/4"	10.50	11.02	11.57	12.15	12.15
1"	14.74	15.48	16.25	17.06	17.06
1 ½"	25.35	26.61	27.94	29.34	29.34
2"	38.08	39.98	41.98	44.08	44.08
3"	67.79	71.18	74.74	78.48	78.48
4"	110.24	115.75	121.54	127.62	127.62
6"	216.35	227.17	238.53	250.46	250.46
8"	343.69	360.88	378.92	397.87	397.87
10"	492.26	516.87	542.71	569.85	569.85

(1) Rates effective through December 31, 2016.
Source: City of Battle Creek

The following tables set forth the monthly wastewater ready-to-serve charges by water meter size for customers located in the City for the fiscal years ended or ending June 30, 2013 through 2017. Customers located in Bedford, Emmett and Leroy pay the same rate as customers located in the City. Leroy is assessed an additional surcharge of 2.5% beginning with the fiscal year ended June 30, 2015. Monthly wastewater ready-to-serve charges by water meter size for customers located in Pennfield and Springfield are not based on the rates for customers located in the City. See the table after next.

City of Battle Creek Water and Wastewater System
Monthly Wastewater Ready-to-Serve Charges by Water Meter Size for City Customers
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended June 30				
Meter Size	2013	2014	2015	2016	2017 (1)
5/8"	$ 11.19	$ 11.75	$ 12.34	$ 12.95	$12.95
3/4"	14.76	15.50	16.28	17.08	17.08
1"	21.91	23.00	24.15	25.36	25.36
1 ½"	39.77	41.76	43.84	46.04	46.04
2"	61.20	64.26	67.47	70.85	70.85
3"	11.21	116.77	122.61	128.74	128.74
4"	182.65	191.78	201.37	211.44	211.44
6"	361.25	379.32	398.28	418.20	418.20
8"	575.58	604.36	634.58	666.31	666.31
10"	825.63	866.91	910.26	955.77	955.77

(1) Rates effective through December 31, 2016.
Source: City of Battle Creek

The following table sets forth the monthly wastewater ready-to-serve charges by water meter size for customers located in Pennfield and Springfield for the fiscal years ended or ending June 30, 2013 through 2017.

City of Battle Creek Water and Wastewater System
Wastewater Ready-to-Serve Charges by Water Meter Size for Pennfield and Springfield Customers
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended June 30				
Meter Size	2013	2014	2015	2016	2017 (1)
5/8”	$ 7.14	$ 7.50	$ 7.88	$ 8.27	$ 8.27
3/4”	10.72	11.25	11.81	12.41	12.41
1”	17.86	18.75	19.69	20.68	20.68
1 ½”	35.72	37.51	39.38	41.35	41.35
2”	57.15	60.01	63.01	66.16	66.16
3”	107.16	112.52	118.15	124.05	124.05
4”	178.61	187.54	196.91	206.76	206.76
6”	357.21	375.07	393.82	413.52	413.52
8”	571.54	600.11	630.12	661.62	661.62
10”	821.58	862.66	905.80	951.09	951.09

(1) Rates effective through December 31, 2016.
Source: City of Battle Creek

The following table sets forth the monthly water commodity charges for customers located in the City for the fiscal years ended or ending June 30, 2013 through 2017. Customers located in Springfield and Bedford pay the same rate as customers located in the City. Customers located in Emmett pay 1.27x the rate paid by customers located in the City. The one customer located in Leroy pays 1.5x the rate paid by customers located in the City. Leroy is assessed an additional surcharge of 2.5% beginning with the fiscal year ended June 30, 2015. Monthly water commodity charges for customers located in Pennfield are not based on the rates for customers located in the City.

City of Battle Creek Water and Wastewater System
Water Commodity Charges for City Customers (1)
Fiscal Years Ended or Ending June 30, 2013 through 2017

	Fiscal Year Ended or Ending June 30				
Water Usage	2013	2014	2015	2016	2017 (2)
0 to 4,410,000 CF …….	$1.46	$1.53	$1.60	$1.68	$1.68
4,410,000 to 11,000,000 CF…..	0.71	0.74	0.78	0.82	0.82
Over 11,000,000 CF …….	1.07	1.12	1.18	1.24	1.24

(1) Charges per 100 CF.
(2) Rates effective through December 31, 2016.
Source: City of Battle Creek

The following table sets forth the water commodity charges paid by customers located in Pennfield for the fiscal years ended or ending June 30, 2013 through 2017.

City of Battle Creek Water and Wastewater System
Water Commodity Charges for Pennfield Customers (1)
Fiscal Years Ended or Ending June 30, 2013 through 2017

	Fiscal Year Ended or Ending June 30				
	2013	2014	2015	2016	2017(2)
Pennfield ……	$1.06	$1.11	$1.11	$1.11	$1.11

(1) Charges per 100 CF.
(2) Rates effective through December 31, 2016.
Source: City of Battle Creek

The following table sets forth wastewater commodity charges for all customers of the Wastewater Treatment System for the fiscal years ended or ending June 30, 2017.

City of Battle Creek Water and Wastewater System
Wastewater Commodity Charges for all Customers (1)
Fiscal Years Ended or Ending June 30, 2013 through 2017

	Fiscal Year Ended or Ending June 30				
	2013	2014	2015	2016	2017(2)
Battle Creek …….	$2.22	$2.33	$2.44	$2.57	$2.57
Bedford …….	2.33	2.44	2.44	2.57	2.57
Emmett …….	2.27	2.71	2.82	2.95	2.95
Leroy …….	2.22	2.33	2.50	2.63	2.63
Pennfield ……..	2.22	2.33	2.33	2.33	2.33
Springfield ……	2.22	2.33	2.44	2.57	2.57

(1) Charges per 100 CF.
(2) Rates effective through December 31, 2016.
Source: City of Battle Creek

Wastewater customers with no metered water service pay a flat monthly charge based on (i) a monthly wastewater ready-to-serve charge for a 5/8" or 3/4" meter located in Pennfield or Springfield, (ii) a commodity charge that assumes total usage of 750 CF per month and (iii) a bill processing charge. The following table sets for the monthly charges for wastewater customers with no metered water service for the fiscal year ending June 30, 2017

City of Battle Creek Water and Wastewater System
Fixed Wastewater Charges for Customers without Metered Water Service (1)
For the Fiscal Year Ending June 30, 2017

	Battle Creek	Bedford	Emmett	Leroy (2)	Pennfield	Springfield
Rate	$31.69	$31.69	$34.54	$32.48	$29.89	$31.69
Processing Fee	$1.03	$1.03	$1.03	$1.06	n/a	n/a

(1) Effective through December 31, 2016.
(2) Includes a 2.5% surcharge.
Source: City of Battle Creek

Some wastewater customers in Emmett with no metered water service pay a higher flat monthly charge based on estimated wastewater volume. The following table sets forth flat rate charges for Emmett based on estimated wastewater treatment volume for the fiscal year ending June 30, 2017.

City of Battle Creek Water and Wastewater System
Fixed Wastewater Charges for Emmett Customers without Metered Water Service (1)
Fiscal Year Ending June 30, 2017

Estimated Volume	Rate
1,125 CF	$45.60
1,350 CF	$59.03
1,500 CF	$64.93
1,650 CF	$90.03
1,875 CF	$96.66
6,000 CF	$243.16

(1) Effective through December 31, 2106.
Source: City of Battle Creek

The following table sets forth the monthly fire protection charges for customers located in the City for the fiscal years ended or ending June 30, 2013 through 2017. Customers located in Bedford pay the same rate as customers located in the City. Customers located in Emmett pay 1.27x the rate paid by customers located in the City. The one customer located in Leroy pays 1.5x the rate paid by customers located in the City. Leroy is assessed an additional surcharge of 2.5% beginning with the fiscal year ended June 30, 2015.

City of Battle Creek Water and Wastewater System
Monthly Water Fire Protection Charges by Water Meter Size for City Customers
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended June 30				
Meter Size	2013	2014	2015	2016	2017 (1)
2”	$ 6.25	$ 6.56	$ 6.89	$7.24	$7.24
3”	11.71	12.29	12.91	13.55	13.55
4”	19.54	20.51	21.65	22.62	22.62
6”	39.04	40.99	43.04	45.19	45.19
8”	62.49	65.61	68.89	72.34	72.34
10”	89.83	94.32	99.04	103.99	103.99
12”	129.36	135.83	142.62	149.75	149.75

(1) Rates effective through December 31, 2016.
Source: City of Battle Creek.

Users of the Wastewater System whose flow contains suspended solids ("SS") and/or has a high biological oxygen demand ("BOD"), measured in pounds ("lb"), are required to pay certain surcharges in addition to commodity charges. Such surcharges for the fiscal years ended or ending June 30, 2013 through 2017 are set forth in the following table.

City of Battle Creek Water and Wastewater System
Wastewater Treatment Surcharges
Fiscal Year Ended or Ending June 30, 2013 Through 2017

	Wastewater Surcharges	
Fiscal Year Ended or Ending	BOD Charge ($/lb)	SS Charge ($/lb)
2013	$0.1753	$0.2335
2014	0.1822	0.2452
2015	0.1913	0.2574
2016	0.2009	0.2703
2017 (1)	0.2009	0.2703

(1) Rates effective through December 31, 2016.
Source: City of Battle Creek

Water Supply Volume

The following table sets forth the amount of water volume as billed by user classification and location for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Water Volume as Billed by User Classification and Location (1)
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015 (3)	2016
Residential	110,428,535	128,321,154	113,821,573	105,232,458	96,499,847
Commercial (2)	94,180,609	108,996,437	101,258,848	91,052,374	95,356,781
Industrial	135,043,271	130,981,050	131,575,143	127,625,133	127,002,299
Sub-total	339,652,415	368,298,641	346,655,564	323,909,965	318,858,927
Customer Communities					
Emmett Township	20,989,946	22,861,381	25,097,179	23,111,371	23,441,864
Bedford Township	3,387,117	3,989,779	3,281,149	3,127,698	2,888,704
Springfield City	20,084,605	20,452,628	18,474,474	16,888,944	16,888,941
Pennfield Township	2,506,600	2,238,500	2,223,900	2,123,500	2,164,000
Sub-total	46,968,268	49,542,288	49,076,702	45,251,513	45,383,509
Total Water Billed	386,620,683	417,840,929	395,732,266	369,161,478	364,242,436

(1) Measured in cubic feet.
(2) Includes government and tax-exempt customers.
(3) During the installation of a new water meter reading system in fiscal year 2015 some transmitters malfunctioned resulting in under reporting of water volume.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Water Volume as Billed by User Classification and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015	2016
Residential	28.56%	30.71%	28.76%	28.51%	26.49%
Commercial (1)	27.36	26.09	25.59	24.66	26.18
Industrial	34.93	31.35	33.25	34.57	34.87
Sub-total	87.85%	88.15%	87.60%	87.74%	87.54%
Customer Communities					
Emmett Township	5.43	5.47	6.34	6.26	6.44
Bedford Township	0.88	0.95	0.83	0.85	0.79
Springfield City	5.19	4.89	4.67	4.57	4.64
Pennfield Township	0.65	0.54	0.56	0.58	0.59
Sub-total	12.15	11.85	12.40	12.26	12.46
Total Water Billed	100.00%	100.00%	100.00%	100.00%	100.00%

(1) Includes governmental and tax-exempt customers.
Source: City of Battle Creek

The following table sets forth the water volume as pumped and billed for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Water Volume as Pumped and Billed (1)
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
Water Volume (1)	2012	2013	2014	2015	2016
Pumped	509,471,267	478,366,477	476,232,936	458,343,805	467,175,134
Billed	386,620,683	417,840,929	395,732,266	369,161,478	364,242,436
Difference (2)	122,850,584	60,525,548	80,500,670	89,182,327	102,932,698
Unaccounted as a Percent of Pumped	24.11%	12.65%	16.90%	19.46%	22.03%

(1) Measured in cubic feet.
(2) Unaccounted water volume is due primarily to the flushing of lines, fire flows, pressure releases during routine maintenance and, to a diminishing degree, line loss and slow meters.
Source: City of Battle Creek

The following table sets forth the average and peak daily water supply volume for the fiscal years ended June 30, 2012 through 2016. Water treatment capacity is approximately 30 MGD.

City of Battle Creek Water and Wastewater System
Average and Peak Daily Water Supply Volume
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
Average Daily Water Supply Volume (1)	10.44	9.80	9.76	9.39	9.58
Peak Daily Water Supply Volume (1).....	17.77	17.89	14.36	12.63	14.32
Peak / Average	1.70x	1.82x	1.47x	1.34x	1.49x

(1) Measured in million gallons.
Source: City of Battle Creek

Wastewater Treatment Volume

The following table sets forth the amount of wastewater treatment volume as billed and percent by user classification for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Wastewater Treatment Volume as Billed by User Classification and Location (1)
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015 (3)	2016 (3)
Residential.....	115,628,965	121,420,791	118,523,455	111,516,777	109,037,746
Commercial (2)	76,113,173	79,329,661	80,966,406	74,033,282	80,135,131
Industrial.....	45,466,669	43,565,656	37,475,733	43,364,117	41,786,764
Sub-total	237,208,807	244,316,108	236,965,594	228,914,176	230,959,641
Customer Communities					
Emmett Township	28,112,337	32,937,121	32,620,458	30,937,747	31,523,803
Bedford Township.....	5,798,143	5,866,583	5,462,014	5,251,629	5,01,441
Springfield City	17,028,636	16,822,846	16,791,021	16,858,507	16,326,066
Pennfield Township.....	16,344,800	14,984,100	14,855,300	15,111,650	15,230,642
Sub-total	67,283,916	70,610,650	68,844,543	67,293,283	68,094,952
Total Wastewater Billed.....	304,492,723	314,926,758	306,694,387	297,073,709	299,054,593

(1) Measured in cubic feet.
(2) Includes government and tax-exempt customers.
(3) During the installation of a new water meter reading system in fiscal year 2015 some transmitters malfunctioned resulting in under reporting of water volume.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Wastewater Treatment Volume as Billed by User Classification and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015	2016
Residential	37.97%	38.56%	38.65%	37.54%	36.46%
Commercial (1)	25.00	25.19	26.40	24.92	26.80
Industrial	14.93	13.83	12.22	14.60	13.97
Sub-total	77.90%	77.56%	77.26%	77.06%	77.23%
Customer Communities					
Emmett Township	9.23	10.46	10.64	10.41	10.54
Bedford Township	1.90	1.86	1.78	1.77	1.68
Springfield City	5.60	5.34	5.47	5.67	5.46
Pennfield Township	5.37	4.76	4.84	5.09	5.09
Sub-total	22.10	22.42	22.74	22.94	22.77
Total Wastewater Billed	100.00%	100.00%	100.00%	100.00%	100.00%

(1) Includes governmental and tax-exempt customers.
Source: City of Battle Creek

The following table sets forth the wastewater volume as treated and billed for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Wastewater Volume as Treated and Billed (1)
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Years Ended June 30				
Volume (1)	2012	2013	2014	2015	2016
Metered Wastewater Volume	451,840,278	406,789,931	432,189,236	418,019,097	422,163,194
Wastewater Volume as Billed	304,492,723	314,926,758	306,694,387	297,073,709	299,054,593
Difference (2)	147,347,555	91,863,173	125,494,849	120,945,388	123,119,792
Difference as a Percent of Metered Wastewater Volume	32.61%	22.58%	29.04%	28.93%	29.16%

(1) Measured in cubic feet.
(2) The difference between the wastewater volume as treated and billed is due, in part, to slow meters and infiltration and inflow which is water other than wastewater that enters the System.
Source: City of Battle Creek

The following table sets forth the average and peak daily wastewater treatment volume for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Average and Peak Daily Wastewater Treatment Volume
Fiscal Years Ended June 30, 20102Through 2016

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
Average Daily Sewage Disposal Treatment Volume (1).....	9.26	8.34	8.86	8.57	8.65
Peak Daily Sewage Disposal Treatment Volume (1).....	22.50	23.87	33.77	26.39	22.04
Peak / Average.....	2.43x	2.86x	3.81x	3.08x	2.55x

(1) Measured in million gallons.
Source: City of Battle Creek

Water Supply Revenue

The following tables set forth the water revenues and percent for In-City and Outside-City customers by user class for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Water System Revenues by User Class and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015	2016
Residential.....	$ 3,197,288	$ 3,410,041	$ 3,403,962	$ 3,478,565	$ 3,575,598
Commercial (1)	1,886,236	2,099,206	2,092,311	2,028,652	2,243,876
Industrial.....	2,047,362	2,005,796	2,133,970	2,179,161	2,367,369
Sub-total.....	7,130,886	7,515,043	7,630,243	7,686,378	8,186,843
Customer Communities					
Emmett Township	568,638	495,823	610,684	626,495	689,318
Bedford Township.....	90,044	101,866	92,695	98,325	100,731
Leroy Township	23,539	34,188	19,460	12,481	13,024
Springfield City.....	252,402	275,733	333,441	272,671	266,165
Pennfield Township.....	28,274	55,498	29,619	27,805	29,562
Sub-total.....	962,897	963,108	1,085,899	1,037,776	1,098,800
Total Water Revenue.....	$ 8,093,783	$ 8,478,151	$ 8,716,142	$ 8,724,154	$ 9,285,643

(1) Includes governmental and tax-exempt customers.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Water System Revenues by User Class and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015	2016
Residential	39.50%	40.22%	39.05%	39.87%	38.51%
Commercial (1)	23.30	24.76	24.01	23.25	24.17
Industrial	25.30	23.66	24.48	24.98	25.49
Sub-total	88.10	88.64	87.54	88.10	88.17
Customer Communities					
Emmett Township	7.03	5.85	7.01	7.18	7.42
Bedford Township	1.11	1.20	1.06	1.13	1.08
Leroy Township	0.29	0.40	0.22	0.14	0.14
Springfield City	3.12	3.25	3.93	3.13	2.87
Pennfield Township	0.35	0.66	0.34	0.32	0.32
Sub-total	11.90	11.36	12.46	11.90	11.83
Total Water Revenue	100.00%	100.00%	100.00%	100.00%	100.00%

(1) Includes governmental and tax-exempt customers.
Source: City of Battle Creek

Wastewater Revenue

The following tables set forth the wastewater revenues and percent for In-City and Outside-City customers by user class for the fiscal years ended June 30, 2012 through 2016.

City of Battle Creek Water and Wastewater System
Wastewater System Revenues by User Class and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015	2016
Residential	$ 4,323,322	$ 4,450,077	$ 4,764,798	$ 4,941,109	$ 5,139,653
Commercial (1)	2,340,662	2,385,212	2,592,433	2,576,867	2,771,042
Industrial	5,220,780	5,815,387	5,564,090	6,810,953	7,429,068
Sub-total	11,884,764	12,650,676	12,921,321	14,328,929	15,339,763
Customer Communities					
Emmett Township	852,108	905,189	1,087,836	1,137,984	1,221,559
Bedford Township	236,027	130,388	228,892	241,437	248,684
East Leroy Township	24,345	35,571	16,971	11,468	11,988
Springfield City	536,885	557,175	586,192	595,988	582,021
Pennfield Township	519,595	545,549	551,887	570,497	621,812
Sub-total	2,168,960	2,173,872	2,471,778	2,557,384	2,686,063
Total Wastewater Revenue	$ 14,053,724	$ 14,824,548	$ 15,393,099	$ 16,886,313	$ 18,025,826

(1) Includes governmental and tax-exempt customers.
Source: City of Battle Creek

City of Battle Creek Water and Wastewater System
Percent of Wastewater System Revenues by User Class and Location
Fiscal Years Ended June 30, 2012 Through 2016

	Fiscal Year Ended June 30				
City Customers	2012	2013	2014	2015	2016
Residential	30.76%	30.02%	30.95%	29.26%	28.51%
Commercial (1)	16.66	16.09	16.84	15.26	15.37
Industrial	37.15	39.23	36.15	40.33	41.21
Sub-total	84.57	85.34	83.94	84.86	85.10
Customer Communities					
Emmett Township (2)	6.06%	6.11%	7.07%	6.74%	6.78%
Bedford Township (2)	1.68	0.88	1.49	1.43	1.38
Leroy Township (2)	0.17	0.24	0.11	0.07	0.07
Springfield City	3.82	3.76	3.81	3.53	3.23
Pennfield Township	3.70	3.68	3.59	3.38	3.45
Sub-total	15.43	14.66	16.06	15.14	14.90
Total Wastewater Revenue	100.00%	100.00%	100.00%	100.00%	100.00%

(1) Includes governmental and tax-exempt customers.
Source: City of Battle Creek

Ten Largest Water Customers

The following tables set forth the principal product or service as well as the water volume and revenue as billed of the ten largest water customers for the fiscal year ended June 30, 2016.

City of Battle Creek Water and Wastewater System
Ten Largest Water Customers by Volume and Revenue
Fiscal Year Ended June 30, 2016

Customer	Principal Product or Service	Water Volume Cubic Feet	Percent of Total (1)	Water Revenue	Percent of Total (2)
Kellogg Company-Plant	Breakfast Foods	44,734,327	12.28%	$757,648	8.16%
Post Foods	Breakfast Foods	31,507,001	8.65	541,761	5.83
Graphic Packaging	Paper Mill	8,542,312	2.35	151,161	1.63
Fire Keepers Casino	Gambling	7,776,200	2.13	171,235	1.84
Denso Mfg	Automotive Parts	7,338,140	2.01	185,155	1.99
Bronson Battle Creek	Medical Services	6,465,327	1.77	98,807	1.06
Treehouse Private Brands	Breakfast Foods	5,461,800	1.50	85,712	0.92
VA Medical Center - Hospital	Medical Services	4,940,256	1.369	96,511	1.04
Rock-Tenn/Waldorf Corp.	Paperboard	4,808,112	1.32	74,781	0.81
City of Battle Creek -WWTP	Government	4,265,600	1.17	74,592	0.80
	Total	125,839,075	34.55%	$2,237,363	24.08%

(1) Based on water volume of 364,242,436 for the fiscal year ended June 30, 2016.
(2) Based on water revenue of $9,285,644 for the fiscal year ended June 30, 2016.
Source: City of Battle Creek

Ten Largest Wastewater Customers

The following tables set forth the principal product or service as well as the wastewater treatment volume and revenue as billed of the ten largest water customers for the fiscal year ended June 30, 2016.

City of Battle Creek Water and Wastewater System
Ten Largest Wastewater Customers by Volume and Revenue
Fiscal Year Ended June 30, 2016

Customer	Principal Product or Service	Wastewater Volume Cubic Feet	Percent of Total (1)	Wastewater Revenue	Percent of Total (2)
Kellogg Company-Plant	Breakfast Foods	37,451,373	12.52%	$2,054,596	11.40%
Graphic Packaging	Paper Mill	20,810,403	6.96	1,353,332	7.51
Post Foods	Breakfast Foods	18,665,795	6.24	1,064,837	5.91
Rock-Tenn/Waldorf Corp	Paperboard	15,431,289	5.16	1,252,836	6.95
Fire Keepers Casino	Gambling	7,776,200	2.60	234,724	1.30
Denso Manufacturing	Automotive Parts	7,338,140	2.45	196,953	1.09
Bronson Battle Creek Health	Medical Services	6,257,727	2.09	120,720	0.67
Treehouse Private Brands	Breakfast Foods	5,447,000	1.82	150,988	0.84
VA Medical Center	Medical Services	4,940,256	1.65	139,472	0.77
Johnson Controls	Heating & Venting	3,690,300	0.23	99,630	0.55
	Total	127,808,483	42.74%	$6,668,088	36.99%

(1) Based on treated wastewater volume of 299,054,593 for the fiscal year ended June 30, 2016
(2) Based on wastewater revenue of $18,025,826 for the fiscal year ended June 30, 2016
Source: City of Battle Creek

Debt Service Supported by the System

The following table shows the estimated annual debt service requirements supported by the System after the issuance of the Bonds.

City of Battle Creek Water and Wastewater System
Debt Service Supported by the System
Fiscal Years Ending June 30, 2017 Through 2039

Fiscal Year Ending June 30	General Obligation Bonds (1)	The Bonds (2)	Total
2017	$ 731,225	$1,083,439	$1,814,664
2018	727,225	1,087,256	1,814,481
2019	728,912	1,087,056	1,815,968
2020	729,600	1,086,456	1,816,056
2021	732,600	1,085,456	1,818,056
2022	734,400	1,084,056	1,818,456
2023	0	1,087,256	1,087,256
2024	0	1,084,445	1,084,445
2025	0	1,085,589	1,085,589
2026	0	1,085,401	1,085,401
2027	0	1,085,039	1,085,039
2028	0	1,088,458	1,088,458
2029	0	1,080,399	1,080,399
2030	0	1,086,370	1,086,370
2031	0	1,085,156	1,085,156
2032	0	1,082,885	1,082,885
2033	0	1,083,012	1,083,012
2034	0	1,086,816	1,086,816
2035	0	1,084,224	1,084,224
2036	0	1,085,310	1,085,310
	$4,383,962	$21,704,083	$26,088,045

(1) Represents the portion paid from the System
(2) The Bonds described herein.

Historical and Projected Operating Cash Flow and Debt Service Coverage

The following is the historical and projected operating cash flow and debt service coverage of the System assuming the issuance of the Bonds for the fiscal years ended or ending June 30, 2017 through 2021.

The following projections and assumptions are subject in all respects to unforeseen forces and events beyond the control of the City. Such projections and assumptions, while believed by the City to be reasonable, may not be actually realized. Investors should form their own judgment as to the reasonableness of the assumptions and accuracy of the projection.

City of Battle Creek, Michigan

Historical and Projected Water and Wastewater System Operating Cash Flow and Debt Service Coverage
Fiscal Years Ended or Ending June 30, 2012 Through 2021

	2012 (1)	2013 (1)	2014 (1)	2015 (1)	2016 (1)	Budgeted 2017 (2)	Projected 2018 (3)	Projected 2019 (3)	Projected 2020 (3)	Projected 2021 (3)
Operating Revenues										
Charges for services	$22,419,416	$23,567,702	$ 24,385,474	$25,841,894	$ 27,570,117	$ 26,279,300	$ -	$ -	$ -	$ -
Rent and Leases	-	-	-	195,993	246,507	46,000	-	-	-	-
Other	674,070	653,724	666,137	518,481	591,774	-	-	-	-	-
Total Operating Revenues	$23,093,486	$24,221,426	$ 25,051,611	$26,556,368	$ 28,408,398	$ 26,325,300	$ 26,325,300	$ 26,325,300	$26,325,300	$ 26,325,300
Operating Expenses (4)										
Operating costs and expenses	$15,793,089	$15,601,499	$ 16,432,935	$17,019,384	$ 18,478,024	$ 17,423,136	$ -	$ -	$ -	$ -
Depreciation	6,380,896	6,467,386	6,475,680	6,248,164	6,196,554	6,196,553				
Total Operating Expenses	$22,173,985	$22,068,885	$ 22,908,615	$23,267,548	$ 24,674,578	$ 23,619,689	$ 17,945,830	$ 18,484,205	$19,038,731	$ 19,609,893
Operating Income (Loss)	$ 919,501	$ 2,152,541	$ 2,142,996	$ 3,288,820	$ 3,733,820	$ 2,705,611	$ 8,379,470	$ 7,841,095	$ 7,286,569	$ 6,715,407
Non-Operating Revenues (Expenses) (5)										
Interest Income	$ 74,407	$ (49,559)	$ 71,912	$ 59,350	$ 215,329	$ 215,329	$ 215,329	$ 215,329	$ 215,329	$ 215,329
Intergovernmental Subsidies	57,436	$ 25,569	$ 50,627	$ 38,043	23,427	-	-	-	-	-
Loss on Disposal of Capital Assets	(228,702)	-	(14,318)	-	-	-	-	-	-	-
Depreciation	6,380,896	6,467,386	6,475,680	6,248,164	6,196,554	6,196,553	-	-	-	-
Total Non-Operating Revenues (Expenses)	$ 6,284,037	$ 6,443,396	$ 6,583,901	$ 6,345,557	$ 6,435,310	$ 6,411,882	$ 215,329	$ 215,329	$ 215,329	$ 215,329
Operating Transfers										
Operating transfers in	200,000	-	-	-	-	-	-	-	-	-
Operating transfers out	(1,114,588)	(576,074)	(485,527)	(361,592)	(395,993)	(415,793)	(428,266)	(441,114)	(454,348)	(467,978)
Net Operating Transfers	$ (914,588)	$ (576,074)	$ (485,527)	$ (361,592)	$ (395,993)	$ (415,793)	$ (428,266)	$ (441,114)	$ (454,348)	$ (467,978)
NET INCOME AVAILABLE FOR DEBT SERVICE	$ 6,288,950	$ 8,019,863	$ 8,241,370	$ 9,272,785	$ 9,773,137	$ 8,701,700	$ 8,166,532	$ 7,615,310	$ 7,047,550	$ 6,462,758
Debt Service Requirements										
2016 QECB (Revenue Bonds)(7)	$ -	$ -	$ -	$ -	$ -	$ 491,098	$ 491,406	$ 491,406	$ 491,406	$ 491,406
2016 Tax-Exempt (Revenue Bonds)	-	-	-	-	-	592,341	595,850	595,650	595,050	594,050
2011 GO Bonds (6)	-	735,875	732,725	731,325	724,225	731,225	727,225	728,913	729,600	732,600
2013 Revenue Refunding Bonds	-	1,529,250	1,532,625	1,541,500	1,551,500	1,547,750	-	-	-	-
Total	$ 2,455,437	$ 2,265,125	$ 2,265,350	$ 2,272,825	$ 2,275,725	$ 3,362,414	$ 1,814,481	$ 1,815,969	$ 1,816,056	$ 1,818,056
Coverage Ratio Including the GO Bonds	**n/a**	**3.54x**	**3.64x**	**4.08x**	**4.29x**	**2.59x**	**4.50x**	**4.19x**	**3.88x**	**3.55x**
Coverage Ratio Revenue Only Bonds	**n/a**	**5.24x**	**5.38x**	**6.02x**	**6.30x**	**3.31x**	**7.51x**	**7.01x**	**6.49x**	**5.95x**

(1) Actual.
(2) Adopted Budget.
(3) Operating revenues for the fiscal years ending June 30, 2018 and thereafter are not assumed to change.
(4) Operating expenditures, excluding depreciation, as projected for the fiscal year ending June 30, 2018 and thereafter are assumed to grow 3% annually.
(5) For the fiscal year ending June 30, 2018 and thereafter, non-operating revenues are not assumed to change.
(6) Represents the portion of the 2011 LTGO Refunding Bonds paid from the System.
(7) Net debt service. Includes Refundable Credit.
Source: City of Battle Creek

Collection and Enforcement

Under the provisions of Act 94, charges for services furnished to a premises located in the City by the System may be a lien on the premises, and those charges delinquent for six months or more may be certified annually to the proper tax assessing officer or agency, who shall enter the lien on the next tax roll against the premises to which the services shall have been rendered, and the charges shall be collected and the lien shall be enforced in the same manner as provided for the collection of taxes assessed upon the roll and the enforcement of the lien for the taxes. In a case where a tenant is responsible for the payment of the charges and the governing body is so notified in writing, the notice to include a true copy of the lease of the affected premises, if there be one, then the charges shall not become a lien against the premises after the date of the notice. In the event of filing of the notice, the public corporation shall render no further service to the premises until a cash deposit in an amount to be determined is made as security for the payment of the charges. In addition to any other lawful enforcement methods, the payment of charges for water service to a premise may be enforced by discontinuing the service.

Insurance

The City covenants that it will maintain and carry, for the benefit of the holders of the Bonds, insurance on all physical properties of the System and liability insurance of the kinds and in the amounts normally carried by municipalities engaged in the operation of a water supply system.

ABSENCE OF CERTAIN LITIGATION

Simultaneously with the delivery of the Bonds, the City will certify that there are no actions, proceedings or investigations at law or in equity before or by any court, public board or body, either actual or threatened, which would adversely affect the issuance of the Bonds or materially affect the City's ability to pay the principal of and interest thereon.

BOND RATING

S & P Global Ratings has assigned its rating of "AA-" to the 2016A Bonds and the 2016B Bonds. The City has furnished to the rating agency certain materials and information in addition to that provided here. Generally, rating agencies base their ratings on such information and materials, and on investigations, studies and assumptions by the rating agencies. The above rating reflects the independent judgment of the rating agency and there is no assurance that such rating will prevail for any given period of time or that it will not be revised or withdrawn entirely by such rating agency, if, circumstances so warrant. Any such revision or withdrawal of such rating may have an effect on the market price of the Bonds. Any rating assigned represents only the views of the respective rating agency. The definitions furnished by the rating agency for its rating may be obtained from the rating agency.

BOND COUNSEL'S RESPONSIBILITY

The fees of Miller, Canfield, Paddock and Stone, P.L.C., Lansing and Detroit, Michigan ("Bond Counsel") for services rendered in connection with their separate approving opinions are expected to be paid from the proceeds of the Bonds. Except to the extent necessary to issue their separate approving opinions as to the validity of the Bonds, and except as stated below, Bond Counsel has not been retained to examine or review and has not examined or reviewed any financial documents, statements or materials that have been or may be furnished in connection with the authorization, issuance or marketing of the Bonds, and accordingly will not express any opinion with respect to the accuracy or completeness of any such financial documents, statements or materials.

Bond Counsel has reviewed the statements made under the captions entitled "THE BONDS" (other than information pertaining to DTC and Book-Entry Only System), "BOND COUNSEL'S RESPONSIBILITY," "TAX MATTERS – 2016A BONDS," "TAX MATTERS - 2016B BONDS," "LEGAL MATTERS" and "CONTINUING DISCLOSURE" (except for the last 4 paragraphs thereof). Bond Counsel has not been retained for review and has not reviewed any other portions of the Official Statement for accuracy or completeness and has not made inquiry of any official or employee of the City, or any other person and has made no independent verification of such portions hereof, and further has not expressed and will not express an opinion as to any portions hereof.

STATE TREASURY QUALIFICATION

The City has obtained a letter dated January 4, 2016 from the Department of Treasury of the State of Michigan stating that the City is in material compliance with the criteria of Act 34, Public Acts of Michigan, 2001, as amended, for a municipality to be granted qualified status. The City may therefore proceed to issue the Bonds without further approval from the Department of Treasury of the State of Michigan.

TAX MATTERS – 2016A BONDS

In the opinion of Miller, Canfield, Paddock and Stone, P.L.C., Bond Counsel, under existing law, the interest on the 2016A Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations. It should be noted, however, that with respect to corporations (as defined for federal income tax purposes) such interest is taken into account in determining adjusted current earnings for the purpose of computing the alternative minimum tax imposed on such corporations. Bond Counsel is also of the opinion that, under existing law, the 2016A Bonds and the interest thereon are exempt from all taxation by the State of Michigan (the "State") or by any taxing authority within the State, except inheritance and estate taxes and taxes on gains realized from the sale, payment or other disposition thereof. Bond Counsel will express no opinion regarding any other federal or state tax consequences arising with respect to the 2016A Bonds and the interest thereon.

The opinion on federal tax matters are based on the accuracy of certain representations and certifications, and continuing compliance with certain covenants, of the City contained in the transcript of proceedings and which are intended to evidence and assure the foregoing, including that the 2016A Bonds are and will remain obligations the interest on which is excludable from gross income for federal income tax purposes. The City has covenanted to take the actions required of it for the interest on the 2016A Bonds to be and to remain excludable from gross income for federal income tax purposes, and not to take any actions that would adversely affect that exclusion. Bond Counsel's opinions assume the accuracy of the City's certifications and representations and the continuing compliance with the City's covenants. Noncompliance with these covenants by the City may cause the interest on the 2016A Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the 2016A Bonds. After the date of issuance of the 2016A Bonds, Bond Counsel will not undertake to determine (or to so inform any person) whether any actions taken or not taken, or any events occurring or not occurring, or any other matters coming to Bond Counsel's attention, may adversely affect the exclusion from gross income for federal income tax purposes of interest on the 2016A Bonds or the market prices of the 2016A Bonds.

The opinion of Bond Counsel is based on current legal authority and covers certain matters not directly addressed by such authority. It represents Bond Counsel's legal judgment as to the excludability of interest on the 2016A Bonds from gross income for federal income tax purposes but is not a guarantee of that conclusion. The opinion is not binding on the Internal Revenue Service ("IRS") or any court. Bond Counsel cannot give and has not given any opinion or assurance about the effect of future changes in the Internal Revenue Code of 1986, as amended (the "Code"), the applicable regulations, the interpretations thereof or the enforcement thereof by the IRS.

Ownership of the 2016A Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, corporations subject to the branch profits tax, financial institutions, certain insurance companies, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred (or continued) indebtedness to purchase or carry the 2016A Bonds. Bond Counsel will express no opinion regarding any such consequences.

Tax Treatment of Accruals on Original Issue Discount Bonds

Under existing law, if the initial public offering price to the public (excluding bond houses and brokers) of a Bond is less than the stated redemption price of such 2016A Bonds at maturity, then such 2016A Bond is considered to have "original issue discount" equal to the difference between such initial offering price and the amount payable at maturity (such 2016A Bonds are referred to as "OID 2016A Bonds"). Such discount is treated as interest excludable from federal gross income to the extent properly allocable to each registered owner thereof. The original issue discount accrues over the term to maturity of each such OID 2016A Bonds on the basis of a constant interest rate compounded at the end of each six-month period (or shorter period) from the date of original issue with straight-line interpolations between compounding dates. The amount of original issue discount accruing during each period is added to the adjusted basis of such OID 2016A Bonds to determine taxable gain upon disposition (including sale, redemption or payment on maturity) of such OID 2016A Bonds.

The Code contains certain provisions relating to the accrual of original issue discount in the case of purchasers of OID 2016A Bonds who purchase such OID 2016A Bonds after the initial offering of a substantial amount thereof. Owners who do not purchase such OID 2016A Bonds in the initial offering at the initial offering prices should consult their own tax advisors with respect to the tax consequences of ownership of such OID 2016A Bonds.

All holders of the OID 2016A Bonds should consult their own tax advisors with respect to the allowance of a deduction for any loss on a sale or other disposition of an OID 2016A Bond to the extent such loss is attributable to accrued original issue discount.

Amortizable Bond Premium

For federal income tax purposes, the excess of the initial offering price to the public (excluding bond houses and brokers) at which a Bond is sold over the amount payable at maturity thereof constitutes for the original purchasers of such 2016A Bonds (collectively, the "Original Premium 2016A Bonds") an amortizable bond premium. 2016A Bonds other than Original Premium 2016A Bonds may also be subject to an amortizable bond premium determined generally with regard to the taxpayer's basis (for purposes of determining loss on a sale or exchange) and the amount payable on maturity or, in certain cases, on an earlier call date (such bonds being referred to herein collectively with the Original Premium 2016A Bonds as the "Premium 2016A Bonds"). Such amortizable bond premium is not deductible from gross income. The amount of amortizable bond premium allocable to each taxable year is generally determined on the basis of the taxpayer's yield to maturity determined by using the taxpayer's basis (for purposes of determining loss on sale or exchange) of such Premium 2016A Bonds and compounding at the close of each six-month accrual period. The amount of amortizable bond premium allocable to each taxable year is deducted from the taxpayer's adjusted basis of such Premium2016A Bonds to determine taxable gain upon disposition (including sale, redemption or payment at maturity) of such Premium 2016A Bonds.

All holders of the Premium 2016A Bonds should consult with their own tax advisors as to the amount and effect of the amortizable bond premium.

Market Discount

The "market discount rules" of the Code apply to the 2016A Bonds. Accordingly, holders acquiring their 2016A Bonds subsequent to the initial issuance of the 2016A Bonds will generally be required to treat market discount recognized under the provisions of the Code as ordinary taxable income (as opposed to capital gain income). Holders should consult their own tax advisors regarding the application of the market discount provisions of the Code and the advisability of making any of the elections relating to market discount allowed by the Code.

Information Reporting and Backup Withholding

Information reporting requirements apply to interest paid after March 31, 2007 on tax-exempt obligations, including the 2016A Bonds. In general, such requirements are satisfied if the interest recipient completes, and provides the payor with, a Form W-9, "Request for Taxpayer Identification Number and Certification," or unless the recipient is one of a limited class of exempt recipients, including corporations. A recipient not otherwise exempt from information reporting who fails to satisfy the information reporting requirements will be subject to "backup withholding," which means that the payor is required to deduct and withhold a tax from the interest payment, calculated in the manner set forth in the Code. For the foregoing purpose, a "payor" generally refers to the person or entity from whom a recipient receives its payments of interest or who collects such payments on behalf of the recipient.

If an owner purchasing the 2016A Bonds through a brokerage account has executed a Form W-9 in connection with the establishment of such account no backup withholding should occur. In any event, backup withholding does not affect the excludability of the interest on the 2016A Bonds from gross income for federal income tax purposes. Any amounts withheld pursuant to backup withholding would be allowed as a refund or a credit against the owner's federal income tax once the required information is furnished to the IRS.

Future Developments

Bond Counsel's engagement with respect to the 2016A Bonds ends with the issuance of the 2016A Bonds and, unless separately engaged, bond counsel is not obligated to defend the City in the event of an audit examination by the IRS. The IRS has a program to audit tax-exempt obligations to determine whether the interest thereon is includible in gross income

for federal income tax purposes. If the IRS does audit the 2016A Bonds, under current IRS procedures, the IRS will treat the City as the taxpayer and the beneficial owners of the 2016A Bonds will have only limited rights, if any, to obtain and participate in judicial review of such audit.

NO ASSURANCE CAN BE GIVEN THAT ANY FUTURE LEGISLATION OR CLARIFICATIONS OR AMENDMENTS TO THE CODE, IF ENACTED INTO LAW, WILL NOT CONTAIN PROPOSALS WHICH COULD CAUSE THE INTEREST ON THE 2016A BONDS TO BE SUBJECT DIRECTLY OR INDIRECTLY TO FEDERAL OR STATE OF MICHIGAN INCOME TAXATION, ADVERSELY AFFECT THE MARKET PRICE OR MARKETABILITY OF THE 2016A BONDS, OR OTHERWISE PREVENT THE HOLDERS FROM REALIZING THE FULL CURRENT BENEFIT OF THE STATUS OF THE INTEREST THEREON. BOND COUNSEL EXPRESSES NO OPINION REGARDING ANY PENDING OR PROPOSED FEDERAL OR STATE OF MICHIGAN TAX LEGISLATION.

FURTHER, NO ASSURANCE CAN BE GIVEN THAT ANY ACTIONS OF THE INTERNAL REVENUE SERVICE, INCLUDING, BUT NOT LIMITED TO, SELECTION OF THE 2016A BONDS FOR AUDIT EXAMINATION, OR THE COURSE OR RESULT OF ANY EXAMINATION OF THE 2016A BONDS, OR OTHER BONDS WHICH PRESENT SIMILAR TAX ISSUES, WILL NOT AFFECT THE MARKET PRICE OF THE BONDS.

INVESTORS SHOULD CONSULT WITH THEIR TAX ADVISORS AS TO THE TAX CONSEQUENCES OF THEIR ACQUISITION, HOLDING OR DISPOSITION OF THE 2016A BONDS, INCLUDING THE IMPACT OF ANY PENDING OR PROPOSED FEDERAL OR STATE OF MICHIGAN TAX LEGISLATION.

TAX MATTERS – 2016B BONDS

In the opinion of Miller, Canfield, Paddock and Stone, P.L.C., Bond Counsel, the 2016B Bonds and the interest thereon are exempt from all taxation by the State of Michigan or by any taxing authority within the State of Michigan except inheritance and estate taxes and taxes on gains realized from the sale, payment or other disposition thereof, but interest on the 2016B Bonds is <u>not</u> excludable from gross income for federal income tax purposes under the Code. Bond Counsel expresses no opinion regarding any other federal or state tax consequences relating to the ownership or disposition of, or the accrual or receipt of interest on, the 2016B Bonds.

The following is a summary of certain of the United States federal income tax consequences of the ownership of the 2016B Bonds as of the date hereof. Each prospective investor should consult with its own tax advisor regarding the application of United States federal income tax laws, as well as any state, local, foreign or other tax laws, to its particular situation.

This summary is based on the Code, as well as the Treasury Regulations and administrative and judicial rulings and practice. Legislative, judicial and administrative changes may occur, possibly with retroactive effect, that could alter or modify the continued validity of the statements and conclusions set forth herein. This summary is intended as a general explanatory discussion of the consequences of holding the 2016B Bonds generally and does not purport to furnish information in the level of detail or with the investor's specific tax circumstances that would be provided by an investor's own tax advisor. For example, it generally is addressed only to original purchasers of the 2016B Bonds that are "U.S. holders" (as defined below), deals only with those 2016B Bonds held as capital assets within the meaning of Section 1221 of the Code and does not address tax consequences to holders that may be relevant to investors subject to special rules, such as individuals, trusts, estates, tax-exempt investors, foreign investors, cash method taxpayers, dealers in securities, currencies or commodities, banks, thrifts, insurance companies, electing large partnerships, mutual funds, regulated investment companies, real estate investment trusts, FASITs, S corporations, persons that hold the 2016B Bonds as part of a straddle, hedge, integrated or conversion transaction, and persons whose "functional currency" is not the U.S. dollar. In addition, this summary does not address alternative minimum tax issues or the indirect consequences to a holder of an equity interest in a holder of the 2016B Bonds.

As used herein, a "U.S. holder" is a "U.S. person" that is a beneficial owner of a Bond. A "non U.S. holder" is a holder (or beneficial owner) of a Bond that is not a U.S. person. For these purposes, a "U.S. person" is a citizen or resident of the United States, a corporation or partnership created or organized in or under the laws of the United States or any political subdivision thereof (except, in the case of a partnership, to the extent otherwise provided in the Treasury Regulations), an estate the income of which is subject to United States federal income taxation regardless of its source or a trust if (i) a United States court is able to exercise primary supervision over the trust's administration and (ii) one or more United State persons have the authority to control all of the trust's substantial decisions.

The 2016B Bonds will be treated, for federal income tax purposes as a debt instrument. Accordingly, interest will be included in the income of a holder as it is paid (or, if the holder is an accrual method taxpayer as it is accrued) as interest.

Bondholders that have a basis in the 2016B Bonds that is greater than the principal amount of the 2016B Bonds should consult their own tax advisors with respect to whether or not they should elect to amortize such premium under Section 171 of the Code.

If a Bondholder purchases the 2016B Bonds for an amount that is less than the adjusted issue price of the 2016B Bonds, and such difference is not considered to be de minimis, then such discount will represent market discount. Absent an election to accrue market discount currently, upon a sale or exchange of a Bond, a portion of any gain will be ordinary income to the extent it represents the amount of any such market discount that was accrued through the date of sale. In addition, absent an election to accrue market discount currently, the portion of any interest expense incurred or continued to carry a market discount bond that does not exceed the accrued market discount for any taxable year, will be deferred.

Although the 2016B Bonds are expected to trade "flat," that is, without a specific allocation to accrued interest, for federal income tax purposes, a portion of the amount realized on sale attributed to the 2016B Bonds will be treated as accrued interest and thus will be taxed as ordinary income to the seller (and will not be subject to tax in the hands of the buyer).

The 2016B Bonds may be issued with original issue discount ("OID"). Accordingly, Bondholders will be required to include OID in gross income as it accrues under a constant yield method, based on the original yield to maturity of the Bond. Thus, Bondholders will be required to include OID in income as it accrues, prior to the receipt of cash attributable to such income. U.S. holders, however, would be entitled to claim a loss upon maturity or other disposition of such notes with respect to interest amounts accrued and included in gross income for which cash is not received. Such a loss generally would be a capital loss. Bondholders that purchase a Bond for less than its adjusted issue price (generally its accreted value) will have purchased such Bond with market discount unless such difference is considered to be de minimis. Absent an election to accrue market discount currently, upon sale or exchange of a Bond, a portion of any gain will be ordinary income to the extent it represents the amount of any such market discount that was accrued through the date of sale. In addition, absent an election to accrue market discount currently, the portion of any interest expense incurred or continued to carry a market discount bond that does not exceed the accrued market discount for any taxable year will be deferred. A Bondholder that has a basis in the Bond that is greater that its adjusted issue price (generally its accreted value), but that is less than or equal to its principal amount, will be considered to have purchased the Bond with "acquisition premium". The amount of OID that such Bondholder must include in gross income with respect to such 2016B Bonds will be reduced in proportion that such excess bears to the OID remaining to be accrued as of the acquisition of the Bond. A Bondholder may have a basis in its pro rata share of the 2016B Bonds that is greater than the principal amount of such 2016B Bonds. Bondholders should consult their own tax advisors with respect to whether or not they should elect to amortize such premium, if any, with respect to such 2016B Bonds under Section 171 of the Code.

Upon a sale, exchange or retirement of a Bond, a holder generally will recognize taxable gain or loss on such Bond equal to the difference between the amount realized on the sale, exchange retirement (less any accrued qualified stated interest which will be taxable as such) and the Bondholder's adjusted tax basis in such Bond. Defeasance of the 2016B Bonds may result in a reissuance thereof, in which event an owner will also recognize taxable gain or loss as described in the preceding sentence. Such gain or loss generally will be capital gain (although any gain attributable to accrued market discount of the Bond not yet taken into income will be ordinary). The adjusted basis of the holder in a Bond will (in general) equal its original purchase price and decreased by any principal payments received on the Bond. In general, if the Bond is held for longer than one year, any gain or loss would be long term capital gain or loss, and capital losses are subject to certain limitations.

In general, information reporting requirements will apply to non-corporate holders of the 2016B Bonds with respect to payments of principal, payments of interest, and the accrual of original issue discount on a Bond and the proceeds of the sale of a Bond before maturity within the United States. Backup withholding may apply to holders of the 2016B Bonds under Section 3406 of the Code. Any amounts withheld under backup withholding rules from a payment to a beneficial owner, and which constitutes over-withholding, would be allowed as a refund or a credit against such beneficial owner's United States federal income tax provided the requested information is furnished to the Internal Revenue Service.

INVESTORS ARE URGED TO OBTAIN INDEPENDENT TAX ADVICE BASED UPON THEIR PARTICULAR CIRCUMSTANCES.

LEGAL MATTERS

Legal matters incident to the authorization, issuance and sale of each of the Bonds are subject to the approval of Miller, Canfield, Paddock and Stone, P.L.C., Lansing and Detroit, Michigan, Bond Counsel. Certain legal matters will be passed upon for the Underwriter by their counsel, Dickinson Wright PLLC, Detroit, Michigan. A copy of the opinion of Bond Counsel will be delivered with the Bonds, which opinion will be substantially in the form as set forth in "Appendix E – Forms of Approving Opinions."

Miller, Canfield, Paddock, and Stone, P.L.C. is currently representing Hutchinson, Shockey, Erley, & Co. in certain matters unrelated to the issuance of the Bonds. Both the City and Hutchinson, Shockey, Erley, & Co. have consented to these unrelated representations. Miller, Canfield, Paddock and Stone, P.L.C. will represent no party other than the City with respect to the issuance of the Bonds.

FINANCIAL ADVISOR TO THE CITY

Robert W. Baird & Co., Traverse City, Michigan (the "Financial Advisor") has been retained by the City to provide certain financial advisory services in connection with the issuance of the Bonds, including, among other things, preparation of the deemed "final" Preliminary Official Statement and the final Official Statement (the "Official Statements"). The information contained in the Official Statements was prepared in form by the Financial Advisor and is based on information supplied by various officials from records, statements and reports required by various local, county or state agencies of the State in accordance with constitutional or statutory requirements.

To the best of the Financial Advisor's knowledge, all of the information contained in the Official Statements, which it assisted in preparing, while it may be summarized is (i) complete and accurate; (ii) does not contain any untrue statement of material fact; and (iii) does not omit any material fact, or make any untrue statement which would be misleading in light of the circumstances under which these statements are being made. However, the Financial Advisor has not or will not independently verify the completeness and accuracy of the information contained in the Official Statement.

The Financial Advisor's duties, responsibilities and fees arise solely as financial advisor to the City and they have no secondary obligation or other responsibility. The Financial Advisor's fees are expected to be paid from Bond proceeds.

UNDERWRITING

The 2016A Bonds are being purchased, subject to certain conditions, by Hutchinson, Shockey, Erley & Co. (the "Underwriter"). The Underwriter has agreed to purchase the 2016A Bonds from the City pursuant to a bond purchase agreement (the "2016A Bond Purchase Agreement") at an aggregate purchase price of $8,495,308.40 (par plus original issue premium of $822,452.15 and less an Underwriter's discount of $52,143.75).

The 2016B Bonds are being purchased, subject to certain conditions, by Hutchinson, Shockey, Erley & Co. (the "Underwriter"). The Underwriter has agreed to purchase the 2016B Bonds from the City pursuant to a bond purchase agreement (the "2016B Bond Purchase Agreement") at an aggregate purchase price of $8,829,992.50 (par less an Underwriter's discount of $60,007.50).

The Underwriter is committed to take and pay for all of the Bonds if any are taken. The Bonds are being offered for sale to the public at the prices shown on the cover of this Official Statement. The Underwriter may offer and sell the Bonds to certain dealers (including dealers depositing Bonds into investment trusts) and others at prices lower than the public offering prices stated on the cover page hereof, which may be changed after the initial offering by the Underwriter.

The 2016A Bond Purchase Agreement and 2016B Bond Purchase Agreement provide that the obligations of the Underwriter are subject to certain conditions, including, among other things, that the market price of the Bonds or their marketability shall not have been materially adversely affected by the occurrence of certain events.

CONTINUING DISCLOSURE

Prior to delivery of the Bonds, the City will execute a Continuing Disclosure Undertaking (the "Undertaking") for the benefit of the holders of the Bonds or Beneficial Owners (as defined in the Undertaking) to send certain information annually and to provide notice of certain events to certain information repositories pursuant to the requirements of Section (b)(5) of Rule 15c2-12 (the "Rule") adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended. The information to be provided on an annual basis, the events which will be noticed on an occurrence basis and the other terms of the Undertaking, as set forth in "Appendix E – FORM OF CONTINUING DISCLOSURE UNDERTAKING" to this Official Statement.

A failure by the City to comply with the undertaking will not constitute an event of default under the Ordinance and holders of the Bonds or Beneficial Owners are limited to the remedies described in the Undertaking.

With respect to the City's general obligation, full faith and credit pledge, base CUSIP numbers 071365, 071386 and 071464 the City has filed its audited financial statements and annual disclosure information for the previous five years in a timely manner. The City filed a late event notice of a rating downgrade issued by Moody's in May 2015.

With respect to the City's water and wastewater system revenue bonds, base CUSIP number 071474 and its water supply system revenue bonds, base CUSIP number 071475, the City has filed its audited financial statements and annual disclosure information for the previous five years in a timely manner. The City failed to file a notice of a rating upgrade issued by Standard & Poor's in July 2012 for base CUSIP 071474. The City's water and wastewater system revenue debt is no longer outstanding as of September 1, 2013.

In the past five years, it has been reported that the insurance financial strength ratings of certain municipal bond insurers which insured certain outstanding bond issues of the City have been revised. To the best of the City's knowledge, the City did not receive any official notice from the municipal bond insurance companies. The City did not disclose any of the rating changes relating to the insurance companies. The City believes this information was publicly available through other sources.

The City has taken additional steps to ensure that future filings with the MSRB are made on a timely basis. Such steps include a formalized listing of required tasks, completion dates and assigned personnel.

OTHER MATTERS

The City certifies that to its best knowledge and belief, this Official Statement, insofar as it pertains to the City and its economic and financial condition, is true and correct as of its date, and does not contain, nor omit, any material facts or information which would make the statements contained herein misleading.

All information contained in this Official Statement is subject, in all respects, to the complete body of information contained in the original source thereof and no guaranty, warranty or other representation is made concerning the accuracy or completeness of such information. In particular, no opinion or representation is rendered as to whether any projection will approximate actual results, and all opinions, estimates and assumptions, whether or not expressly identified as such, should not be considered statements of fact.

This Official Statement has been duly executed and delivered by the City.

City of Battle Creek, Michigan

By: /s/ Linda Morrison
Its: Finance Director

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Appendix A

CITY OF BATTLE CREEK

SELECTED WATER AND WASTEWATER SYSTEM FINANCIAL INFORMATION

This Appendix contains excerpts from the City's annual financial reports for the fiscal years ended June 30, 2014, 2015 and 2016. The information contained in this Appendix does not include all of the financial information and disclosures required for a fair presentation of the City's financial position or the City's financial position in conformity with generally accepted accounting principles. The complete audited reports of the City for the same fiscal years are available from http://www.battlecreekmi.gov/189/Audited-Financial-Statements.

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

City of Battle Creek
Water and Wastewater System
Statement of Net Position
Fiscal Years Ended June 30, 2014, 2015 and 2016

	June 30		
ASSETS	2014	2015	2016
Current Assets:			
Pooled cash and investments	$ 4,767,178	$ 7,079,227	$ 10,911,125
Receivables:			
Interest	4,390	2,141	0
Accounts	2,998,143	3,217,996	3,589,015
Special assessments	103,407	136,587	118,967
Grants	24,425	27,722	15,861
Prepaid Items	0	0	12,509
Inventories	1,327,716	1,602,791	1,430,426
Total Current Assets	9,225,259	12,066,464	16,077,903
Noncurrent assets:			
Capital assets, net	82,735,106	80,855,467	80,589,927
Total Assets	91,960,365	92,921,931	96,667,830
DEFERRED OUTFLOW OF RESOURCES			
Deferred on refunding	144,717	72,359	0
Deferred pension amount	0	906,527	4,096,935
Total deferred outflows of resources	144,717	978,886	4,096,935
LIABILITIES			
Current Liabilities:			
Accounts payable and accrued liabilities	896,618	668,924	1,692,997
Accrued payroll	0	575	0
Compensated absences	363,720	356,287	403,290
Retentions, deposits and other liabilities	180,412	188,813	195,236
Accrued interest payable	79,482	67,693	55,633
Unearned revenue	26,119	5,085	32,728
Bonds payable, current portion	1,988,000	2,105,754	2,093,346
Total current liabilities	3,534,351	3,393,131	4,473,230
Noncurrent Liabilities:			
Bonds payable	7,730,581	5,545,073	3,451,728
Net pension liability	0	13,168,783	17,501,734
Total noncurrent liabilities	7,730,581	18,713,856	20,953,462
Total liabilities	11,264,932	22,106,987	25,426,692
DEFERRED INFLOWS OF RESOURCES			
Deferred pension amount	0	0	133,930
NET POSITION			
Net investment in capital assets	73,161,242	73,279,999	75,044,853
Unrestricted (deficit)	7,678,908	(1,483,169)	159,290
Total net position	$ 80,840,150	$ 71,793,830	$ 75,204,143

Source: City of Battle Creek

City of Battle Creek
Water and Wastewater System
Statement of Revenue, Expenses and Changes in Fund Net Position
Fiscal Years Ended June 30, 2014, 2015 and 2016

	June 30		
	2014	2015	2016
Operating Revenue			
Charges for services	$ 24,385,474	$ 25,841,894	$ 27,570,117
Rents and leases	0	195,993	246,507
Other	666,137	518,481	591,774
Total Operating Revenues	25,051,611	26,556,368	28,408,398
Operating Expenses			
Personal services	7,305,343	7,930,091	9,232,110
Materials and supplies	2,403,585	2,241,157	2,411,693
Contractual and other	6,697,007	6,848,136	6,834,221
Depreciation	6,475,680	6,248,164	6,196,554
Total Operating Expenses	22,908,615	23,267,548	24,674,578
Operating Income (Loss)	2,142,996	3,183,899	3,733,820
Non-Operating Revenue (Expenses)			
Intergovernmental subsidies	50,627	38,043	23,427
Interest earnings	71,912	59,350	215,329
Interest expense	(280,822)	(202,314)	(166,270)
Loss on disposal of capital assets	(14,318)	0	0
Total Non-Operating Revenue (Expenses)	(172,601)	(104,921)	72,489
Income (loss) before transfers	1,970,395	n/a	3,806,306
Transfers in	0	0	0
Transfers out	(485,527)	(361,592)	(395,993)
Change in Net Position	1,484,868	2,822,307	3,410,313
Net position, beginning of year	79,355,282	80,840,150	71,793,830
Restatement for implementation of GASB 68	n/a	(11,868,627)	n/a
Net position, end of year	$ 80,840,150	$ 71,793,830	$ 75,204,143

Source: City of Battle Creek

CITY OF BATTLE CREEK

The following information is provided for informational purposes only. The Bonds are payable solely from the net revenues of the System. See "THE BONDS-AUTHORIZATION AND SECURITY" herein.

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

CITY OF BATTLE CREEK

Introduction

The City encompasses approximately 44 square miles and had a 2010 Census population of 52,347. The City is located in the southwest quadrant of Michigan's Lower Peninsula. Battle Creek is approximately 79 miles southeast of Grand Rapids, 26 miles east of Kalamazoo and 170 miles from Chicago. The City is primarily residential and commercial in nature with residential and commercial valuation accounting for 54.74% and 24.36%, respectively of the City's Taxable Value, as hereinafter defined, for the fiscal year ending June 30, 2017.

Form of Government

The City was incorporated as a City in February 1859 and as a Home Rule City in April 1913. On April 11, 1961, the City instituted the Commission-Manager form of government. The City Commission is the legislative and governing body of the City. The Commission consists of nine City Commissioners. Four Commissioners are elected at-large for two year terms and five commissioners are elected from the five Wards in the City serving a two-year term of office. The City Commission elects from among its members a Mayor and Vice-Mayor. The City Manager is the chief administrative officer of the City and is appointed by the Commission and serves at its pleasure. With the exception of the City Attorney who is appointed by the City Commission, the City Manager is responsible for all other appointments of administrative and divisional heads. All City Commissioners are elected at elections held in November of odd-numbered years.

Population

The following table sets forth the City's population as of the last five censuses and current estimate.

City of Battle Creek
Population Statistics

Census	Population
1970	60,713
1980	56,339
1990	53,540
2000	53,364
2010	52,347
2016 (1)	51,589

(1) Estimate.
Source: U.S. Department of Commerce -- Bureau of Census

CITY TAXATION AND LIMITATIONS

Property Assessments

Real property is land and the things permanently attached to or part of the land and improvements made to it by human efforts ("Real Property"). Examples of Real Property include land, buildings, water and sewer facilities, roads and acquisition of various property rights. Personal property is property owned by an individual or business which is not affixed to or associated with the land, consisting of movable items such as furniture, fixtures, and machines and equipment if belonging to a business ("Personal Property"). Customary household goods such as furnishings, appliances and clothing are typically exempt as they are kept or used within the household.

Real and Personal Property, as of December 31 of each year, is assessed, or valued, by the City, equalized by the County of Calhoun (the "County") and further equalized by the State. The value as equalized by the State becomes the state equalized valuation ("State Equalized Valuation" or "SEV"). See "Property Valuations" following.

Article IX, Section 3, of the Michigan Constitution provides that Real and Personal Property assessments will not exceed 50% of true cash value. The Michigan Legislature has provided, by statute, that Real and Personal Property will be assessed at 50% of true cash value. The Michigan Legislature, or the electorate, may change the percentage of true cash value at which Real and Personal Property is assessed.

Personal Property assessments also reflect the taxpayer reported cost of the Personal Property and the application of one of the depreciation schedules formulated by the State Tax Commission. The City's assessor determines which depreciation schedule will be used to value the Personal Property.

Owners of taxable property may appeal their assessment to the City Assessor, the City's Board of Review and to the Michigan Tax Tribunal. The Kellogg Company is seeking a $21.2 million reduction in the Taxable Value of certain properties within the City for the 2015 and 2016 tax years. The City is currently negotiating with the Kellogg Company. The ultimate impact on the City and its finances is unknown at this time.

Property Valuations

In 1994, the electors of the State approved an amendment to the Michigan Constitution permitting the Legislature to authorize the levy of taxes on a non-uniform basis. The legislation implementing this constitutional amendment added a new measure of property value known as taxable value ("Taxable Value"). Since 1995, property that is taxable has two valuations, SEV and Taxable Value. Michigan statute provides that Real and Personal Property taxes ("Ad Valorem Taxes") be levied on Taxable Value (the "Ad Valorem Tax Roll").

Generally, the Taxable Value of Real or Personal Property is the lesser of (a) the SEV or Taxable Value of the property in the immediately preceding year, adjusted for losses, multiplied by the lesser of 1.00 plus the inflation rate or 1.05, plus additions, or (b) the property's current SEV. Under certain circumstances, the Taxable Value of property may be different from the same property's SEV. When Real or Personal Property is sold or transferred, Taxable Value is adjusted to the SEV, the year after the sale or transfer, which under existing law is 50% of the true cash value. The Taxable Value of new construction is equal to its SEV.

Taxable Value

Ad Valorem Taxable Value does not include any value of tax-exempt property (e.g., governmental facilities, churches, public schools, etc.) or property granted tax abatement under either Act 198 of the Public Acts of Michigan of 1974, as amended ("Act 198"). The effect of the abatements granted under Act 198 is to understate the City's Taxable Value for its fiscal year ending June 30, 2017 by $33,956,869 or 2.74%. Including the Equivalent Taxable Value of these properties, as hereinafter defined, the City's Total Taxable Value ("Total Taxable Value") has decreased $278,849,596 or approximately 18.36% between the fiscal years ended or ending June 30, 2013 through 2017. See the following table.

City of Battle Creek
Total Taxable Value
Fiscal Years Ended or Ending June 30, 2013 Through 2017

Assessed Value as of December 31	Year of State Equalization And Tax Levy	City's Fiscal Year Ended or Ending June 30	Ad Valorem Taxable Value	Equivalent Taxable Value of Property Granted Tax Abatement Under Act 198 (1)	Total Taxable Value	Percent Increase Over Prior Year
2011	2012	2013	$ 1,440,499,965	$ 78,455,217	$ 1,518,955,182	3.95 %
2012	2013	2014	1,399,827,571	68,753,947	1,468,581,518	(3.32)
2013	2014	2015	1,381,847,655	73,290,937	1,455,138,592	(0.92)
2014	2015	2016	1,376,780,502	74,642,041	1,451,422,543	(0.26)
2015	2016	2017	1,206,148,717	33,956,869	1,240,105,586	(14.56)

Per Capita Total Taxable Value for the Fiscal Year Ending June 30, 2017 (2)……. $ 23,690.10

(1) See "Tax Abatement" herein. Does not include the value of property located within the City' Renaissance Zone (the "Zone") which was created pursuant to the provisions of Act 376 of the Michigan Public Acts of 1996, as amended ("Act 376"). Act 376 was designed to stimulate private investment with the Zone through the abatement of certain property, income and business taxes. For the fiscal year ending June 30, 2017, the Taxable Value of property located in the Zone totaled $44,610,014. Does not include the value of property located within the City's Neighborhood Enterprise Zone (the "NEZ"), authorized under Act 147, which is an abatement program to promote home ownership and investment in areas of the City where the greatest impact would occur and where such improvements may trigger additional investment in adjacent neighborhoods. For the fiscal year ending June 30, 2017 the Taxable Value of the property located in the NEZ totaled $52,084.

(2) Based on the City's 2010 Census of 52,347.

Source: City of Battle Creek, State of Michigan – Department of Treasury and Calhoun County Equalization

A breakdown of the City's Total Taxable Value by use and class for the fiscal years ended or ending June 30, 2013 through 2017 is shown below. See "CITY TAXATION AND LIMITATIONS" herein.

City of Battle Creek
Total Taxable Value by Use and Class
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended or Ending June 30				
Use	2013	2014	2015	2016	2017
Agricultural	$ 1,723,395	$ 1,759,987	$ 2,055,087	$ 2,054,756	$ 2,303,425
Commercial	329,326,689	315,426,663	316,013,955	306,489,410	302,060,873
Industrial	426,462,301	408,499,313	417,031,481	427,314,336	217,746,765
Residential	724,076,749	703,276,570	684,562,506	679,338,103	678,820,003
Utility	37,366,048	39,618,985	35,475,563	36,225,938	39,174,520
Total	$ 1,518,955,182	$ 1,468,581,518	$ 1,455,138,592	$ 1,451,442,543	$ 1,240,105,586
Class	2013	2014	2015	2016	2017
Real Property	$1,129,229,699	$1,090,440,848	$1,070,031,177	$1,056,957,417	$1,054,498,176
Personal Property	389,725,483	378,140,671	385,107,415	394,490,845	185,607,410
Total	$1,518,955,182	$1,468,581,518	$1,455,138,592	$1,451,442,543	$1,240,105,586

Source: City of Battle Creek, State of Michigan – Department of Treasury and Calhoun County Equalization

City of Battle Creek
Percent of Total Taxable Value by Use and Class
Fiscal Years Ended or Ending June 30, 2013 Through 20117

	Fiscal Year Ended or Ending June 30				
Use	2013	2014	2015	2016	2017
Agricultural	0.11 %	0.12 %	0.14 %	0.14 %	0.19 %
Commercial	21.68	21.48	21.72	21.12	24.36
Industrial	28.08	27.82	28.66	29.44	17.56
Residential.....	47.67	47.89	47.04	46.80	54.74
Utility	2.46	2.70	2.44	2.50	3.16
Total.....	100.00 %	100.00 %	100.00 %	100.00 %	100.00 %
Class	2013	2014	2015	2016	2017
Real Property.....	74.34 %	74.25 %	73.53 %	72.82 %	85.03 %
Personal Property	25.66	25.75	26.47	27.18	14.97
Total.....	100.00 %	100.00 %	100.00 %	100.00 %	100.00 %

Source: City of Battle Creek, State of Michigan – Department of Treasury and Calhoun County Equalization

State Equalized Valuation

Aside from its use in determining Taxable Value for the purpose of levying Ad Valorem Taxes, SEV is important because of its role in the spreading of taxes between overlapping jurisdictions, the distribution of various State aid programs, State revenue sharing and in the calculation of debt limits.

Ad Valorem SEV does not include any value of tax-exempt property (e.g., governmental facilities, churches, public schools, etc.) or property granted tax abatement under Act 198. The effect of the abatements granted under Act 198 is to understate the City's Ad Valorem SEV for its fiscal year ending June 30, 2017 by $68,065,655 or 5.00%. Including the SEV of these properties, the City's SEV has decreased $294,682,003 or approximately 17.80% between the fiscal years ended or ending June 30, 2013 through 2017. See the following table.

City of Battle Creek
State Equalized Valuation
Fiscal Years Ended or Ending June 30, 2013 Through 2017

Assessed Value as of December 31	Year of State Equalization and Tax Levy	City's Fiscal Year Ended or Ending June 30	Ad Valorem SEV	SEV of Property Granted Tax Abatement Under Act 198 (1)	Total SEV	Percent Increase Over Prior Year
2011	2012	2013	$ 1,498,414,667	$ 156,910,433	$ 1,655,325,100	7.09 %
2012	2013	2014	1,444,909,016	137,507,894	1,582,416,910	(4.40)
2013	2014	2015	1,420,507,145	146,581,873	1,567,089,018	(0.97)
2014	2015	2016	1,434,612,189	149,284,082	1,583,896,271	1.07
2015	2016	2017	1,292,577,442	68,065,655	1,360,643,097	(14.10)

Per Capita Total SEV for the Fiscal Year Ending June 30, 2017 (2)…….$ 25,992.76

(1) See "Tax Abatement" herein. Does not include the value of property located within the City' Renaissance Zone (the "Zone") which was created pursuant to the provisions of Act 376 of the Michigan Public Acts of 1996, as amended ("Act 376"). Act 376 was designed to stimulate private investment with the Zone through the abatement of certain property, income and business taxes. For the fiscal year ending June 30, 2017, the SEV of property located in the Zone totaled $45,585,574. Does not include the value of property located within the City's Neighborhood Enterprise Zone (the "NEZ"), authorized under Act 147, which is an abatement program to promote home ownership and investment in areas of the City where the greatest impact would occur and where such improvements may trigger additional investment in adjacent neighborhoods. For the fiscal year ending June 30, 2017 the SEV of the property located in the NEZ totaled $52,084.

(2) Based on the City's 2010 census of 52,347.

Source: City of Battle Creek, State of Michigan – Department of Treasury and Calhoun County Equalization

A breakdown of the City's Total SEV by use and class for the fiscal years ended or ending June 30, 2013 through 2017 is shown below. See "CITY TAXATION AND LIMITATIONS" herein.

City of Battle Creek
Total SEV by Use and Class
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended or Ending June 30				
Use	2013	2014	2015	2016	2017
Agricultural	$ 3,934,705	$ 3,962,882	$ 5,137,872	$ 4,985,551	$ 5,739,140
Commercial	345,760,271	326,564,845	324,749,645	321,124,447	322,448,056
Industrial	505,863,988	477,815,017	490,744,793	502,690,068	255,122,507
Residential	762,400,088	734,455,181	710,981,145	718,870,267	738,158,874
Utility	37,366,048	39,618,985	35,475,563	36,225,938	39,174,520
Total	$ 1,655,325,100	$ 1,582,416,910	$ 1,567,089,018	$ 1,583,896,271	$ 1,360,643,097
Class	2013	2014	2015	2016	2017
Real Property	$ 1,200,386,438	$ 1,147,515,287	$ 1,119,939,493	$ 1,126,200,127	$ 1,151,878,986
Personal Property	454,938,662	434,901,623	447,149,525	457,696,144	208,764,111
Total	$ 1,655,325,100	$ 1,582,416,910	$ 1,567,089,018	$ 1,583,896,271	$ 1,360,643,097

Source: City of Battle Creek, State of Michigan – Department of Treasury and Calhoun County Equalization

City of Battle Creek
Percent of Total SEV by Use and Class
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Year Ended or Ending June 30				
Use	2013	2014	2015	2016	2017
Agricultural	0.24 %	0.25 %	0.33 %	0.31 %	0.42 %
Commercial	20.89	20.64	20.72	20.27	23.70
Industrial	30.56	30.20	31.32	31.74	18.75
Residential	46.06	46.41	45.37	45.39	54.25
Utility	2.26	2.50	2.26	2.29	2.88
Total	100.00 %	100.00 %	100.00%	100.00%	100.00%
Class	2013	2014	2015	2016	2017
Real Property	72.52 %	72.52 %	71.47 %	71.10 %	84.66 %
Personal Property	27.48	27.48	28.53	28.90	15.34
Total	100.00%	100.00%	100.00 %	100.00 %	100.00 %

Source: City of Battle Creek, State of Michigan – Department of Treasury and Calhoun County Equalization

Property Tax Reform Proposals

The enactment of Michigan Public Acts 153 and 154 of 2013, together with the subsequent enactment of Michigan Public Acts 80, 81, and 86 through 93 of 2014, significantly reformed Personal Property tax in Michigan. The voters of the State approved a referendum on August 4, 2014, to which all of these acts were tied, and therefore these acts will continue in effect.

Under these Acts, owners of industrial and commercial Personal Property with a total true cash value of $80,000 or less may file an affidavit claiming a Personal Property tax exemption. To be eligible for the exemption, all of the commercial or industrial Personal Property within a city or township that is owned by, leased to, or controlled by the claimant has to have an accumulated true cash value of $80,000 or less. Beginning in calendar year 2016, owners of certain manufacturing Personal Property that was either purchased after December 31, 2012, or that is at least 10 years old may claim an exemption from Personal Property tax. By 2022, all eligible manufacturing Personal Property will be at least 10 years old or purchased after December 31, 2012, so that it could be exempted from Personal Property tax.

The legislation provides for replacement of revenues lost by local governments, including townships, due to these exemptions beginning in calendar year 2016. Those revenues will be from a portion of the current State use tax that will be set aside as a "local community stabilization share" of the use tax. It will not be subject to the annual appropriations process and will be provided to a "local community stabilization authority" for distribution pursuant to a statutory formula anticipated to provide 100% reimbursement to local governments for losses due to the new Personal Property tax exemptions.

The ultimate nature, extent and impact of any other future amendments to Michigan's property tax laws on the City's finances cannot be predicted. Purchasers of the Bonds should consult with their legal counsel and financial advisors as to the consequences of any such legislation on the market price or marketability of the Bonds, the security therefor and the operations of the City.

Tax Abatement

The City's Taxable Value does not include the value of certain facilities which have temporarily been removed from the Ad Valorem Tax Roll pursuant to Act 198. Act 198 was designed to provide a stimulus in the form of significant tax incentives to industrial enterprises to renovate and expand aging facilities and to build new facilities. Except as indicated below, under the provisions of Act 198, a local governmental unit (i.e., a city, village or township) may establish plant rehabilitation districts and industrial development districts and offer industrial firms certain property tax incentives or abatements to encourage restoration or replacement of obsolete facilities and to attract new facilities to the area.

An industrial facilities exemption certificate granted under Act 198 entitles an eligible facility to exemption from Ad Valorem Taxes for a period of up to 12 years. In lieu of Ad Valorem Taxes, the eligible facility will pay an industrial facilities tax (the "IFT Tax"). For properties granted tax abatement under Act 198 there exists a separate tax roll referred to as the industrial facilities tax roll (the "IFT Tax Roll"). The IFT Tax for an obsolete facility which is being restored or replaced is determined in exactly the same manner as the Ad Valorem Tax; the important difference being that the value of the property remains at the Taxable Value level prior to the improvements even if the restoration or replacement substantially increases the value of the facility. For a new facility the IFT Tax is also determined the same as the Ad Valorem Tax but instead of using the total mills levied as Ad Valorem Taxes, a lower millage rate is applied. For abatements granted after 1993, this millage rate equals 1/2 of all tax rates levied by other than the State plus 0%, 50% or 100% of the State Education Tax (as determined by the State Treasurer).

The City has established goals, objectives and procedures to provide the opportunity for industrial and commercial development and expansion. Since 1974, the City has approved a number of applications for local property tax relief for industrial firms. The SEV of properties that have been granted tax abatement under Act 198, removed from the Ad Valorem Tax Roll and placed on the IFT Tax Roll totaled $68,065,655 for the fiscal year ending June 30, 2017. The IFT Taxes paid on these properties is equivalent to Ad Valorem Taxes paid on $33,956,869 of Taxable Value at the full tax rate (the "Equivalent Taxable Value"). Upon expiration of the industrial facilities exemption certificates the current equalized valuation of the abated properties will return to the Ad Valorem Tax Roll as Taxable Value.

Property Taxes

Michigan statutes provide that all ad valorem taxes be levied upon Taxable Value. The City's ability to tax is limited by the State Constitution, State statutes and the City Charter. Home rule cities, such as the City, are permitted by Act 279 of the Public Acts of Michigan of 1909, as amended (the "Home Rule Cities Act"), to authorize by their charters a maximum levy of 20 mills for operating purposes. The City's charter authorizes a maximum levy of 11.6000 mills for operating purposes. A mill is equal to $1.00 for each $1,000 of Taxable Value.

Pursuant to the Home Rule Cities Act, home rule cities may authorize an additional levy of up to three mills for refuse collection and disposal. Home rule cities are also authorized to levy up to one mill (plus one additional mill with voter approval) for library purposes pursuant to Act 164 of the Public Acts of Michigan of 1877, as amended. Act 359 of the Public Acts of Michigan of 1925, as amended, also authorizes home rule cities to levy up to $50,000 for promotional expenses.

The City is currently levying 10.7400 mills of the 11.3266 mills that is currently allowed for operating purposes (see "CITY TAXATION AND LIMITATIONS – State Limitations on Property Taxes" herein). In addition, the electorate may authorize the issuance of general obligation bonds or other obligations which pledge the full faith and credit and unlimited taxing power of the City.

State Limitations on Property Taxes

In 1978, the electorate of the State passed an amendment to the State Constitution (the "Amendment") which placed certain limitations on increases of taxes by the State and political subdivisions from currently authorized levels of taxation. The Amendment and the enabling legislation, Act 35 of the Public Acts of Michigan of 1979, may have the effect of reducing the maximum authorized tax rate which could be levied by a local taxing unit. Under the Amendment's millage reduction provisions, should the value of taxable property, exclusive of new construction, increase at a percentage greater than the percentage increase in the Consumer Price Index, the maximum authorized tax rate would be reduced by a factor which would result in the same maximum potential tax revenues to the local taxing unit as if the valuation of taxable property (less new construction) had grown only at the national inflation rate instead of the higher actual growth rate. Thus, should taxable property values rise faster than consumer prices, the maximum authorized tax rate would be reduced accordingly. However, should consumer prices subsequently rise faster than taxable property values, the maximum authorized tax rate would be increased accordingly. Once reduced, a millage rate cannot increase in a subsequent year unless such increase is approved by the voters.

The Amendment does not limit taxes for the payment of principal of and interest on bonds or other evidences of indebtedness outstanding at the time the Amendment became effective or which have been approved by the electorate of the State or such political subdivision. Since the City's obligation to pay principal of and interest on the Bonds has not been approved by the electorate of the City, the ability of the City to levy taxes to pay the principal of and interest on the Bonds is limited by applicable charter, statutory and constitutional tax limitations. For the fiscal year ending June 30, 2017, the Amendment has the effect of reducing the City's authorized millages as follows:

City of Battle Creek
Maximum Property Tax Rates
Fiscal Year Ending June 30, 2017

Millage Classification	Mills Authorized	Millage Reduction Fraction (1)	Maximum Allowable Millage
Operating	11.6000	0.9795	11.3622
Police & Fire Pension Fund (2)	n/a	n/a	n/a

(1) Cumulative
(2) Voter approved in perpetuity. Maybe levied without limitation as to rate or amount.
Source: City of Battle Creek

Property Tax Rates

As defined under "Property Taxes" herein, a mill is equal to $1.00 for each of $1,000 of Taxable Value. The City is currently allowed to levy 11.3622 mills for operating purposes or a maximum of $11.3622 for each $1,000 of Taxable Value. Excluding taxes levied by other units of government, the City's property tax rates, expressed as a dollar for each $1,000 of Taxable Value, for the fiscal years ended or ending June 30, 2013 through 2017 are shown below. See "CITY TAXATION AND LIMITATIONS-State Limitations on Property Taxes" herein.

City of Battle Creek
Property Tax Rates (1)
Fiscal Years Ended or Ending June 30, 2013 Through 2017

		Operating (1)				
Levy July 1	Fiscal Year Ended or Ending June 30	General Operating	Capital Projects	Streets/ Drainage	Police & Fire Pension (2)	Total
2012	2013	9.4270	-	1.5000	3.8090	14.7360
2013	2014	9.1480	-	1.5000	4.0880	14.7360
2014	2015	8.8070	-	1.5000	4.4290	14.7360
2015	2016	8.7400	-	1.5000	4.4960	14.7360
2016	2017	8.7400	0.5000	1.5000	4.6790	15.4190

(1) See "Property Taxes" and "State Limitations on Property Taxes" herein.
(2) Voter approved in perpetuity. May be levied without limitation as to rate or amount.
Source: City of Battle Creek

In addition to the City's property tax rates, residents of the City must pay property taxes to other units of local government. A State Education Tax of 6.00 mills is levied by the State on all real and personal property currently subject to the general property tax except for industrial personal property. To be eligible for state school aid, a local school district is also required to levy not more than the lesser of 18.00 mills or the number of mills levied in 1993 for school operating purposes on non-principal property. These property taxes are in lieu of those previously levied for local school district operating purposes. Total rates, expressed as a dollar for each $1,000 of Taxable Value, for the City's fiscal years ended June 30, 2013 through 2017, are set forth in the following tables.

City of Battle Creek
Homestead (1) Property Tax Rates by Governmental Unit
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Years Ended or Ending June 30				
Governmental Unit	2013	2014	2015	2016	2017
City of Battle Creek	$ 14.7360	$ 14.7360	$ 14.7360	$ 14.7360	$ 15.4190
County of Calhoun	6.3713	6.4713	6.4713	6.4713	6.4713
State of Michigan (2)	6.0000	6.0000	6.0000	6.0000	6.0000
Battle Creek Public Schools (3)	6.3400	6.8500	6.6000	6.3200	6.3200
Calhoun ISD	6.2057	6.2057	6.2057	6.2057	6.2057
Kellogg Community College	3.7106	3.6136	3.6136	3.6136	3.6136
Willard Public Library	2.0000	2.0000	2.0000	2.0000	2.0000
Total	$ 45.3636	$ 45.8766	$ 45.6266	$ 45.3466	$ 46.0296

City of Battle Creek
Non-Homestead (1) Property Tax Rates by Governmental Unit
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Years Ended or Ending June 30				
Governmental Unit	2013	2014	2015	2016	2017 (3)
City of Battle Creek	$ 14.7360	$ 14.7360	$ 14.7360	$ 14.7360	$ 15.4190
County of Calhoun	6.3713	6.4713	6.4713	6.4713	6.4713
State of Michigan (2)	6.0000	6.0000	6.0000	6.0000	6.0000
Battle Creek Public Schools (3)	24.3400	24.8500	24.6000	24.3200	24.3200
Calhoun ISD	6.2057	6.2057	6.2057	6.2057	6.2057
Kellogg Community College	3.7106	3.6136	3.6136	3.6136	3.6136
Willard Public Library	2.0000	2.0000	2.0000	2.0000	2.0000
Total	$ 63.3636	$ 63.8766	$ 63.6266	$ 63.3466	$ 64.0296

(1) *Principal Residence* means a dwelling or unit in a multiple-unit dwelling subject to ad valorem property taxes that is owned and occupied as a principal residence by the owner of the dwelling or unit. Principal residence includes all unoccupied property classified as agricultural adjacent and contiguous to the home of the owner that is not leased or rented by the owner to another person if the gross receipts of the agricultural or horticultural operations, if any, exceed the household income of the owner. If the gross receipts of the agricultural or horticultural operations do not exceed the household income of the owner, the principal residence includes only 5 acres adjacent and contiguous to the home of the owner. Principal Residence includes a life care facility registered under the living care disclosure act, Act No. 440 of the Public Acts of 1976, being sections 554.801 to 554.844 of the Michigan Compiled Laws. Principal residence also includes property owned by a cooperative housing corporation and occupied as a principal residence by tenant stockholders. *Non-principal residence* is property not included in the above definition.

(2) Industrial personal property is exempt from the State Education Tax and up to 18 mills of the school operating millage. Commercial personal property is exempt from 12 of the 18 mills of school operating millage.

(3) Portions of other school districts overlap the City's boundaries. The lowest and highest non-principal residence millage rates for the other overlapping school districts for the fiscal year ending June 30, 2017 ranged from 28.60 to 25.00.

Source: City of Battle Creek

Property Tax Collections

The City's fiscal year begins on July 1. Real and personal property taxes are due as of the 2nd Monday in July and are payable without penalty until August 20th. Property owners who have not paid their property taxes on or before August 20th are required to pay interest and penalties on, and collection fees with respect to, such unpaid taxes.

Real property taxes delinquent as of March 1 following the levy are turned over to Calhoun County (the "County") for collection ("Delinquent Real Property Taxes"). Such Delinquent Real Property Taxes are subject to additional penalties and interest by the County. Unless the Delinquent Real Property Taxes are paid within approximately 25 months from the date of delinquency the underlying property is foreclosed upon and sold at public auction.

Personal property taxes delinquent as of March 1 following the levy are collected by the City ("Delinquent Personal Property Taxes"). The City may bring suit to collect Delinquent Personal Property Taxes. The City may also seize the property to satisfy the tax lien thereon. The City's Delinquent Personal Property Taxes are negligible.

The County has historically purchased the City's Delinquent Real Property Taxes from its delinquent tax payment fund. In return, the City has assigned the County all amounts due from the taxpayers with respect to such Delinquent Real Property Taxes. As a result of these purchases the City's real property tax receipts have approached 100%.

The continued purchase of Delinquent Real Property Taxes may be dependent upon the sale of delinquent tax notes by the County for that purpose. There is no assurance that the County will issue such delinquent tax notes or purchase such Delinquent Real Property Taxes in any fiscal year. If the Delinquent Real Property Taxes not purchased by the County they are paid to the City within a month following collection.

The following table reflects the actual property tax collections for the City's fiscal years ended or ending June 30, 2013 through 2017.

City of Battle Creek
Property Tax Collections
Fiscal Years Ended or Ending June 30, 2013 Through 2017

Levy July 1	Fiscal Year Ended June 30	Tax Levy	Collections to March Following Levy	Percent Collected
2012	2013	$21,447,205	$21,408,738	99.82%
2013	2014	21,005,303	20,940,399	99.69
2014	2015	20,686,120	20,672,222	99.93
2015	2016	20,813,769	20,779,353	99.83
2016	2017	18,909,836	17,310,883 (1)	91.54

(1)Collections as of October 11, 2016.
Source: City of Battle Creek

Profile of the Ten Largest Taxpayers

Reflected below are the City's ten largest property taxpayers, their principal product or service and respective Taxable Value for the fiscal year ending June 30, 2017.

City of Battle Creek
Ten Largest Taxpayers
Fiscal Year Ending June 30, 2017

Taxpayer	Principal Product or Service	Total Taxable Value	Percent of Total (1)
Kellogg Company (2)	Breakfast Foods	$79,548,590	6.41%
Consumer Energy	Electric Utilities	34,166,748	2.76
Denso Manufacturing MI Inc.	Automotive Parts	32,625,944	2.63
Post Foods	Breakfast Foods	16,270,750	1.31
Semco Energy Inc.	Natural Gas Utility	14,392,747	1.16
Musashi Auto Parts-MI	Automotive Parts	13,725,225	1.11
TRMI Inc.	Electronic Switches	10,658,331	0.86
Lakeview Square LLC	Shopping Mall	7,940,975	0.64
Edward Rose Development	Real Estate Development	6,087,616	0.49
Prairie Farms Dairy	Dairy Products	5,880,858	0.47
		$221,297,784	17.85%

(1) Based on $1,240,105,586 which is the City's Total Taxable Value for the fiscal year ending June 30, 2017. See "CITY TAXATION AND LIMITATIONS – Property Valuations" and "CITY TAXATION AND LIMITATIONS" herein.
(2) The Kellogg Company is seeking a $21.2 million reduction in the Taxable Value of certain properties within the City for the 2015 and 2016 tax years. The City is currently negotiating with the Kellogg Company. The ultimate impact on the City and its finances is unknown at this time.

Source: City of Battle Creek

CITY INCOME TAX

The City's income tax was approved by voters in 1966. At the same time, residents voted to reduce the maximum general operating millage for property tax from 12.65 to 11.60 mills.

Residents of the City pay 1% income tax on all federally taxable income, with a few exceptions, such as pensions, social security and unemployment, etc. Corporation net income is taxed at 1%. Non-resident pay a 0.5% income tax on all income earned performing a job or doing business within the City limits.

For tax years beginning with 2004, there is a $750 personal exemption allowed on individual returns, with an additional $750 for taxpayers 65 and over; persons permanently and totally disabled; and dependents of others who are required to file City returns. Subtractions for alimony, Keogh Retirement, and specified unreimbursed employee business expenses are allowed.

Fiscal Year Ended June 30	Gross Collections	Less: Refunds	Net Collections	% Increase Over Prior Year
2012	$16,394,372	$1,973,878	$14,420,494	6.4%
2013	18,135,716	1,925,730	16,209,986	12.4
2014	17,692,211	1,666,282	16,093,707	(0.7)
2015	18,137,229	1,697,310	16,475,837	2.4
2016	18,808,711	2,394,139	16,414,572	(0.4)

Source: City of Battle Creek

STATE SHARED REVENUES

The City receives revenue sharing payments from the State of Michigan under the State Constitution and the State Revenue Sharing Act of 1971, as amended. The revenue sharing payments are composed of two components – a constitutional distribution and a statutory distribution.

The constitutional distribution is mandated by the State Constitution and distributed on a per capita basis to townships, cities and villages. The amount of the constitutionally mandated revenue sharing component distributed to the City can vary depending on the population of the City and the receipt of sales tax revenues by the State.

The statutory distribution is authorized by legislative action and distribution is subject to annual State appropriation by the State Legislature. Statutory distributions may be reduced or delayed by Executive Order during any State fiscal year in which the Governor, with the approval of the State Legislature's appropriations committees, determines that actual revenues will be less than the revenue estimates on which appropriations were based.

On June 29, 2016, Governor Snyder signed into law the budget for fiscal year 2017. The budget includes a constitutional revenue sharing distribution to cities, villages and townships of approximately $757.9 million. The budget continues the incentive-based revenue sharing program known as the City, Village, and Township Revenue Sharing (or "CVTRS") program begun in fiscal year 2015, similar to the Economic Vitality Incentive Program ("EVIP") that from fiscal year 2012 through fiscal year 2014 distributed revenue sharing to municipalities that complied with certain "best practices" such as increasing transparency. Under the fiscal year 2017 budget, approximately $243 million, the same amount appropriated in fiscal year 2016, has been appropriated for revenue sharing to cities, villages and townships that meet requirements for accountability and transparency, including making a citizen's guide to its finances, a performance dashboard, a debt service report and a two-year budget projection available for public viewing.

The fiscal year 2017 budget reinstates $5.8 million, previously included in the fiscal year 2015 budget but eliminated in 2016, for distribution to cities, villages and townships as a one-time payment based on population. The fiscal year 2017 budget also maintains funding for the revenue sharing grant program for financially distressed communities at the fiscal year 2016 level of $5 million. Any portion of the CVTRS payment that the City would be eligible to receive would be subject to certain benchmarks that the City would need to meet, and there can be no assurance of what amount, if any, the City would receive under the CVTRS program. The City received CVTRS payments of $1,436,386 in fiscal year 2016 and anticipates meeting the requirements to receive $1,436,386 in CVTRS payments for fiscal year 2017.

Purchasers of the Bonds should be alerted to further modifications to revenue sharing payments to Michigan local governmental units, to potential consequent impact on the City's general fund condition, and to the potential impact upon the market price or marketability of the Bonds resulting from changes in revenues received by the City from the State.

The following table sets forth the annual revenue sharing payments and other moneys received by the City for the fiscal years ended June 30, 2013 through June 30, 2016, and the budgeted revenue sharing payments for the fiscal year ending 2017.

City of Battle Creek
State Shared Revenues
Fiscal Years Ended or Ending June 30, 2013 Through 2017

	Fiscal Years Ended or Ending June 30				
	2013	2014	2015	2016	2017 (1)
Constitutional	$ 3,815,868	$ 3,905,356	$ 3,966,694	$ 3,962,883	$ 4,129,439
Statutory/CVTRS	1,329,768	1,393,833	1,436,386	1,436,386	1,436,386
Total State Shared Revenues	$ 5,145,636	$ 5,299,189	$ 5,403,080	$ 5,399,269	$ 5,565,825

(1) As budgeted.
Source: City of Battle Creek, Michigan Department of Treasury

CITY DEBT

Statutory and Constitutional Debt Provisions

Section 21 of Article VII of the Michigan Constitution establishes the authority, subject to statutory and constitutional limitations, for municipalities to incur debt for public purposes:

"The legislature shall provide by general laws for the incorporation of cities and villages. Such laws shall limit their rate of ad valorem property taxation for municipal purposes, and restrict the powers of cities and villages to borrow money and contract debts. Each city and village is granted power to levy other taxes for public purposes, subject to limitations and prohibitions provided by this constitution or by law."

In accordance with the foregoing authority granted to the State Legislature, the Home Rule Cities Act limits the amount of debt a city may have outstanding at any time. Section 4(a) of this Act provides:

> "... the net indebtedness incurred for all public purpose may be as much as but shall not exceed the greater of the following:
>
> (a) Ten percent of the assessed value of all real and personal property in the city.
>
> (b) Fifteen percent of the assessed value of all the real and personal property in the city if that portion of the total amount of indebtedness incurred which exceeds 10% is or has been used solely for the construction or renovation of hospital facilities."

Significant exceptions to the debt limitation have been permitted by the Home Rule Cities Act for certain types of indebtedness which include: special assessment bonds and Michigan transportation fund bonds (formerly, motor vehicle highway fund bonds), even though they are a general obligation of the City; revenue bonds payable from revenues only, whether secured by a mortgage or not; bonds issued or contract obligations assessments incurred to comply with an order of the Water Resources Commission of the State of Michigan or a court of competent jurisdiction, and obligations incurred for water supply, sewage, drainage or refuse disposal or resource recovery projects necessary to protect the public health by abating pollution.

Legal Debt Margin

Pursuant to the statutory and constitutional debt provisions set forth herein, the following table reflects the amount of additional debt the City may legally incur as of December 2, 2016.

Debt Limit (1).....	…….	$136,064,309
Debt Outstanding (2)	$99,976,626	
Less: Exempt Debt (3).....	16,795,000	83,181,626
Legal Debt Margin		$ 52,882,683

(1) 10% of $1,360,643,097 which is the City's Total SEV for the fiscal year ending June 30, 2017. See "Property Valuations" herein.
(2) Includes the Bonds described herein and the anticipated General Obligation Limited Tax Bonds, Series 2016.
(3) See "Statutory and Constitutional Debt Provisions" herein.
Source: Municipal Advisory Council of Michigan and the City of Battle Creek

Debt Statement

The following table reflects a breakdown of the City's direct and overlapping debt as of December 2, 2016, including the Bonds described herein. Direct debt that is shown as self-supporting is paid from sources other than the City's General Fund. To the extent necessary, the City may levy taxes on all taxable property within its boundaries without limitation as to rate or amount to pay the principal of and interest due on the bonds that are designated as Unlimited Tax ("UT"). However, the City's ability to levy tax to pay the debt service on the bonds which are designated as Limited Tax ("LT") is subject to applicable charter, statutory and constitutional limitations. See "CITY TAXATION AND LIMITATIONS" herein.

City of Battle Creek
Direct and Overlapping Debt

City Direct Debt	Gross	Self-Supporting	Net
Share of County Issued Bonds			
Dated July 10, 2013	$ 180,000	$ 180,000	$ -0-
Building Authority Bonds:			
Dated December 29, 2009 (LT)	$ 1,765,000	$ 1,765,000	$ -0-
Dated February 28, 2008 (LT)	3,625,000	3,625,000	-0-
Subtotal	$ 5,390,000	$ 5,390,000	$ -0-
Downtown Development Authority Bonds:			
Dated December 17, 2013 (LT)	$ 3,675,000	$ 3,675,000	$ -0-
Dated February 13, 2008 (LT)	29,355,000	29,355,000	-0-
Subtotal	$ 33,030,000	$ 33,030,000	$ -0-
Tax Increment Finance Authority Bonds:			
Dated March 31, 2010 (LT)	$ 2,480,000	$ 2,480,000	$ -0-
Dated January 20, 2009 (LT)	2,675,000	2,675,000	-0-
Subtotal	$ 5,155,000	$ 5,155,000	$ -0-
Water and Wastewater Revenue Bonds: Dated			
Dated December 28, 2016, Series A (1)	$ 7,725,000	$ 7,725,000	$ -0-
Dated December 28, 2016, Series B (1)	8,890,000	8,890,000	-0-
Subtotal	$ 16,615,000	$ 16,615,000	$ -0-
General Obligation Bonds:			
Dated December 28, 2016 C (LT) (1)	$ 15,265,000	$ -0-	$ 15,265,000
Dated April 14, 2016 (LT)	12,605,000	-0-	12,605,000
Dated September 26, 2013 (LT)	1,225,000	-0-	1,225,000
Dated June 29, 2011 (LT)	8,145,000	3,315,000	4,830,000
Subtotal	$ 37,240,000	$ 3,315,000	$ 36,291,626
Installment Purchase Contracts:			
Energy Savings Equipment	$ 2,129,718	$ -0-	$ 2,129,718
Economic Development Loan	51,336	-0-	51,336
Airport Snow Blowers Lease	185,572	-0-	185,572
Subtotal	$ 2,366,626	$ -0-	$ 2,366,626
Total Direct Debt	$ 99,976,626	$ 63,685,000	$ 36,291,626

Per Capita Net City Direct Debt (2)	$693.29
Percent of Net Direct Debt to Total SEV (3)	2.67%

Overlapping Debt (4)	Gross	Percent of Gross	City Share
Battle Creek School District	$ 50,815,000	71.44	$ 36,302,236
Climax-Scotts School District	2,876,432	3.99	114,770
Harper Creek School District	63,847,981	0.27	172,390
Lakeview Calhoun School District	65,365,000	100.00	65,365,000
Pennfield School District	34,117,812	5.11	1,743,420
Calhoun Intermediate School District	0	32.36	0
Kalamazoo Valley Intermediate School District	12,525,000	0.06	7,515
Kalamazoo Valley Community College	9,305,000	0.06	5,583
Kellogg Community College	7,735,000	34.57	2,673,990
Willard Public Library	0	56.31	0
Calhoun County	34,927,965	34.68	12,113,018
Total Overlapping Debt	$ 281,515,190		$ 118,497,921
Total Net Direct and Overlapping Debt	$ 381,491,816		$ 154,789,547

Per Capita Net Overlapping Debt (2)	$2,263.70
Percent of Net Overlapping Debt to Total SEV (3)	8.71%
Per Capita Net Direct and Overlapping Debt (2)	2,956.99
Percent of Net Direct and Overlapping Debt to Total SEV (3)	11.38%

(1) The Bonds described herein. Including the anticipated General Obligation Limited Tax Bonds, Series 2016C. Based on the City's 2010 Census of 52,347

(2) Based on $1,360,643,097 which is the City's Total SEV for the fiscal year ending June 30, 2017. See "CITY TAX AND LIMITATIONS - Property Valuations" and "CITY TAX AND LIMITATIONS" herein.

(3) Overlapping debt is the portion of another taxing unit's debt for which property taxpayers of the City are liable in addition to debt issued by the City.

Source: Municipal Advisory Council of Michigan and the City of Battle Creek.

Schedule of Bond Maturities

The following table sets forth the annual maturities of the City's bonded indebtedness by type of issue as of December 2, 2016.

Fiscal Years Ending June 30	General Obligation Bonds (1)	Downtown Development Authority Bonds	Tax Increment Finance Authority Bonds	Building Authority Bonds	Water and Wastewater Revenue Bonds (1)
2017	$ 600,000	$4,245,000	$ 205,000	$635,000	$ 905,000
2018	2,185,000	4,485,000	395,000	655,000	685,000
2019	2,335,000	4,740,000	410,000	675,000	695,000
2020	2,450,000	5,005,000	325,000	700,000	705,000
2021	2,555,000	5,290,000	340,000	730,000	715,000
2022	2,675,000	5,590,000	350,000	755,000	725,000
2023	1,695,000	1,165,000	365,000	790,000	740,000
2024	1,615,000	1,225,000	380,000	220,000	750,000
2025	1,690,000	1,285,000	400,000	230,000	765,000
2026	1,735,000	0	415,000	0	780,000
2027	1,345,000	0	435,000	0	800,000
2028	1,400,000	0	450,000	0	825,000
2029	1,465,000	0	475,000	0	840,000
2030	1,530,000	0	210,000	0	870,000
2031	1,605,000	0	0	0	895,000
2032	1,650,000	0	0	0	920,000
2033	1,635,000	0	0	0	950,000
2034	655,000	0	0	0	985,000
2035	680,000	0	0	0	1,015,000
2036	710,000	0	0	0	1,050,000
2037	740,000	0	0	0	0
2038	775,000	0	0	0	0
2039	815,000	0	0	0	0
2040	855,000	0	0	0	0
2041	900,000	0	0	0	0
2042	945,000	0	0	0	0
	$37,240,000	$33,030,000	$5,155,000	$5,390,000	$16,615,000

(1) Includes the Bonds described herein. Includes the anticipated General Obligation Limited Tax Bonds, Series 2016C.
Source: Municipal Advisory Council of Michigan and the City of Battle Creek.

Debt History

There is no record of default on obligations by the City.

Short Term Borrowing

The City does not currently utilize any short-term borrowing.

Future Financing

Within the next six months, the Battle Creek Downtown Development Authority (DDA) is anticipating the issuance of Limited Tax General Obligation DDA Refunding Bonds in an estimated amount of $20.6 million.

Vacation and Sick Leave Benefits and Associated Liabilities

City employees earn vacation time based upon years of service. All vacation time must be taken in the year it is earned. A maximum of six weeks are allowed employees who have a minimum of 20 years of service.

Prior to September 1974 the City allowed employees to accumulate one sick day leave per month of employment. The City now covers its employees under a self-funded sick pay plan. The insured plan will compensate employees for

approximately 65% of gross sick pay for up to six (6) months. A small number of employees were allowed the option of using their accrued sick leave or receiving a payment for the full number of hours owed at their September 1974 wage rate upon termination.

The only exception to the insured sick pay plan is the firefighters who accrue 12 hours of sick leave per month and can accumulate a maximum of 1,800 hours. The accumulated sick leave hours are paid at 50% upon retirement. As of June 30, 2016, the City's liability for accrued sick leave and vacation pay was $3,337,185.

DEFINED BENEFIT PENSION PLANS

Police and Fire Retirement System

The excerpts below are from the City's Comprehensive Annual Financial Report for the fiscal year ended June 30, 2016, Notes to Financial Statements, Note 16 – Defined Benefit Pension Plans. See Appendix B herein.

The Police and Fire Retirement System (the "Police/Fire System") is a single employer defined benefit pension plan that provides retirement, health, disability and death benefits to all full-time police and fire personnel of the City.

Membership at June 30, 2015 consisted of the following:

Retirees and beneficiaries currently receiving benefits	252
Terminated employees entitled to but not yet receiving benefits	9
Vested and non-vested active participants	188
Total	449

The Police and Fire Retirement System benefits for police and fire members are generally calculated as 3.00% of the member's final three or five-year average salary (depending on the group) times the member's years of service up to a maximum of 25 years, plus an additional 1.00% of final average compensation times the number of years of service in excess of 25 years. Retirement benefits cannot exceed 80% of final average compensation. Members with 25 years of service or who are age 60 are eligible to retire and receive benefits.

Plan members are required to contribute between 7.50% and 10.00% of their annual covered salary to the System for pension benefits, depending on bargaining unit. The City contributes such additional amounts as necessary, based on actuarial determinations, to provide assets sufficient to pay for member benefits. The City's pension contribution for the year end June 30, 2016 represented 33.16% of the annual covered payroll.

The City's net pension liability was measured as June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2015. The components of the net pension liability of the City were as follows:

Total pension liability	$175,665,481
Plan Fiduciary net position	(132,048,992)
City's net pension liability	$ 43,616,489
Plan fiduciary net position as percentage of total pension liability	75.17%

The components of the change in the net pension liability are summarized as follows:

	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a) – (b)
Balance at June 30, 2015	$ 164,569,757	$ 133,850,433	$ 30,719,324
Changes for the Year			
Service cost	3,649,198	-	3,649,198
Interest on total pension liability	11,317,045	-	11,317,045
Benefit changes	704,651	-	704,651
Differences between expected and actual experience	(119,463)	-	(119,463)
Assumption change	4,988,871	-	4,988,871
Employer contributions	-	4,664,957	(4,664,957)
Employee contribution	-	1,077,632	(1,077,632)
Net investment income	-	2,617,277	(2,617,277)
Benefit payments	(9,444,578)	(9,444,578)	-
Administrative expense	-	(216,729)	216,729
Other	-	(500,000)	500,000
Net changes	$ 11,095,724	$ (1,801,441)	$ 12,897,165
Balance at June 30, 2016	$ 175,665,481	$ 132,048,992	$ 43,616,489

Pension Plans: Municipal Employees Retirement System of Michigan

The City participates in the Municipal Employees Retirement System of Michigan (MERS), a defined benefit pension plan providing retirement, death and disability benefits to plan members and beneficiaries. MERS is an agent multiple-employer, statewide public employee pension plan established by the Michigan Legislature under Public Act 135 of 1945 and administered by a nine member Retirement Board.

Benefits vary by division/bargaining unit and are calculated based on final average compensation (based on a 3 or 5 year period) and multipliers ranging from 1.25% to 2.50%. Participants are considered to be fully vested in the plan after 6 to 10 years, depending on the division/bargaining unit. Normal retirement age is 60 with early retirement at age 50 with 25 years of service, or age 55 with 15 years of service, or age 55 with 25 years of service, depending on division/bargaining unit.

The City is required to contribute amounts at least equal to the actuarially determined rate, as established by the MERS Retirement Board. The actuarially determined rate is the estimated amount necessary to finance the cost of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Employer contributions range from 0.00% to 121.87% of annual payroll, or annual amounts ranging from $0 to $59,354 annually depending on division/bargaining unit.

The City's net pension liability was measured as of December 31, 2015, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The components of the net pension liability of the City were as follows:

Total pension liability	$138,929,728
Plan fiduciary net position	77,520,134
City's net pension liability	$ 61,409,594
Plan fiduciary net position as percentage of total pension liability	55.80%

At December 31, 2015, plan membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits	388
Inactive employees entitled but not yet receiving benefits	47
Active employees	335
Total	767

The components of the change in the net pension liability are summarized as follows:

	Total Pension Liability	Increase (Decrease) Plan Fiduciary Net Position	Net Pension Liability
Balance at December 31, 2014	$ 129,613,024	$ 83,406,765	$ 46,206,259
Changes for the Year			
Service cost	1,843,040	-	1,843,040
Interest	10,393,511	-	10,393,511
Changes in benefits	(11,965)	-	(11,965)
Differences between expected and actual experience	(626,575)	-	(626,575)
Changes in assumptions	6,823,847	-	6,823,847
Contributions: employer	-	4,104,291	(4,104,291)
Contributions: employee	-	495,986	(495,986)
Net investment income	-	(1,203,250)	1,203,250
Benefit payments, including refunds	(9,105,154)	(9,105,154)	-
Administrative expense	-	(178,504)	178,504
Net changes	$ 9,316,704	$ (5,886,631)	$ 15,203,335
Balances at December 31, 2015	$ 138,929,728	$ 77,520,134	$ 61,409,594

For the year ended June 30, 2016, the City recognized pension expense of $8,647,067.

Other Post-Employment Benefits

The excerpts below are from the City's Comprehensive Annual Financial Report for the fiscal year ended June 30, 2016, Notes to Financial Statements, Note 17 – Postemployment Benefits. See Appendix B herein.

The City provides health care benefits under a single-employer plan to certain full-time employees upon retirement, in accordance with labor agreements and/or the City Administrative Code, or in the case of police and fire personnel according to the City Commission resolution. The City includes pre-Medicare retirees and their dependents in its insured health care plan, with contributions required in varying amounts. The City purchases Medicare supplemental insurance for retirees eligible for Medicare.

Beginning in fiscal year 2007, the system became responsible for only the first $512,795 of health care costs of the then current retirees. Police and fire personnel retiring on or after July 1, 2007 receive their health care benefits through either the Retirement Health Funding Vehicle (RHFV) or Fire Retiree Health Care trust fund, which are employee contributory plans. For all other eligible City employees, the City contributes a maximum of $200 per month towards the purchase of retiree health care.

The City has no obligation to make contributions in advance of when the insurance premiums or benefits are due for payment, in other words, the plan may be financed on a pay as you go basis. Administrative costs of the plan are paid for by the City's general fund. Certain plan participants are required to contribute to the plan ranging from 2% to 3% of annual pay. For the year ended June 30, 2016, $1,383,466 was contributed towards the cost of benefits and funding the plan.

Plan membership consisted of 303 retirees currently receiving benefits and 497 active members (total of 800) as of June 30, 2015, the date of the latest actuarial valuation.

The following table shows the components of the City's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the City's OPEB obligation to the plan.

Annual required contribution	$3,657,444
Interest on Net OPEB obligation	478,447
Adjustment to annual required contribution	(398,706)
Annual OPEB cost (expense)	3,737,185
Contribution made	(1,383,466)
Increase in net OPEB obligation	2,353,719
Net OPEB obligation, beginning of year	9,568,940
Net OPEB obligation, end of year	$11,922,659

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2016 and the three preceding years were as follows:

Fiscal Year Ending	Annual OPEB Cost	Percentage of OPEB Cost Contributed	Net OPEB Asset
6/30/13	$3,310,184	53.0%	$8,590,680
6/30/14	$2,476,958	70.8%	$9,312,938
6/30/15	$2,572,552	90.0%	$9,568,940
6/30/16	$3,737,185	37.0%	$11,922,659

The funded status of the plan as of June 30, 2015, the date of the latest actuarial valuation, was as follows:

Actuarial accrued liability (AAL)	$57,194,872
Actuarial value of assets	5,086,500
Unfunded AAL (UAAL)	$52,108,372
Funded ratio	8.9%
Covered payroll	$29,578,633
UAAL as % of covered payroll	176.2%

LABOR CONTRACTS

Approximately 87% of the City's 513 full time employees are currently represented by labor organizations. The following table describes the labor organizations that represent City employees, the number of members as of August 22, 2016, and the expiration dates of the present contracts.

Labor Organizations	Membership	Contract Expiration Date
Police Officers Labor Council (Non-Supervisory)	83	June 30, 2019
Police Officers Labor Council (Sergeants)	15	June 30, 2019
Police Officers Labor Council (Lieutenants)	4	June 30, 2019
Amalgamated Transit Union (ATU)	33	June 30, 2017
American Federation of State, County & Municipal Employees	115	June 30, 2019
International Association of Firefighters (IAFF)	77	June 30, 2017
Organization of Supervisory Personnel for the Fire Department	4	June 30, 2022
Battle Creek Supervisors Association (BCSA)	25	June 30, 2019
Service Employees International Clerical, Technical, Professional	91	June 30, 2019
Non-Union	66	N/A
Total Full Time Employees	513	

Source: City of Battle Creek.

ECONOMIC PROFILE

Profile of Major Employers

The following table reflects the diversity of the major employers in the City by the products manufactured or services performed and the approximate number of employees.

Company	Principal Product or Service	Approximate Number of Employees
Denso Manufacturing Michigan, Inc	Automotive Parts	2,817
Kellogg Company	Breakfast Food	2,279
Veterans Administration Medical Center	Medical Services	1,581
Hart-Doyle-Inouye Federal Center	Government	1,500
Michigan Air National Guard	Reserve Branch of the U.S. Air Force	1,488
Bronson Battle Creek	Medical Services	1,352
Battle Creek Public School	Education (K-12)	1,089
Kellogg Community College	Higher Education	920
II Stanley	Manufacturer Light and Equipment	840
TRMI	Electronic Switches	700

Source: Battle Creek Unlimited

Employment

Reflected below are the unadjusted yearly average unemployment statistics for the County and the State for the calendar year 2011 through 2016.

City of Battle Creek:

	2011	2012	2013	2014	2015	2016 (1)
Employed	20,696	20,745	21,119	21,874	22,315	22,445
Unemployed	2,673	2,256	2,158	1,759	1,361	1,077
Labor Force	23,369	23,001	23,277	23,633	23,676	23,522
Unemployed as Percent of Labor Force (2)	11.4%	9.8%	9.3%	7.4%	5.7%	4.6%

(1) As of September 2016.
(2) Totals and percentages may differ due to rounding by the Office of Labor Market Information – Michigan Department of Career Development.
Source: Office of Labor Market Information – Michigan Department of Career Development

County of Calhoun:

	2011	2012	2013	2014	2015	2016 (1)
Employed	57,020	57,151	58,264	60,306	61,523	61,880
Unemployed	6,196	5,229	5,009	4,081	3,159	2,498
Labor Force	63,216	62,380	63,273	64,387	64,682	64,378
Unemployed as Percent of Labor Force (2)	9.8%	8.4%	7.9%	6.3%	4.9%	3.9%

(1) As of September 2016.
(2) Totals and percentages may differ due to rounding by the Office of Labor Market Information – Michigan Department of Career Development.
Source: Office of Labor Market Information – Michigan Department of Career Development

State of Michigan:

	2011	2012	2013	2014	2015	2016 (1)
Employed	4,198,000	4,246,000	4,312,000	4,408,000	4,493,000	4,599,000
Unemployed	487,000	426,000	418,000	346,000	258,000	220,000
Labor Force	4,685,000	4,672,000	4,730,000	4,754,000	4,751,000	4,819,000
Unemployed as Percent of Labor Force (2)	10.4%	9.1%	8.8%	7.3%	5.4%	4.6%

(1) As of September 2016.
(2) Totals and percentages may differ due to rounding by the Office of Labor Market Information – Michigan Department of Career Development.
Source: Office of Labor Market Information – Michigan Department of Career Development

Building Permits

The following are the number and value of building permits issued in the City during the past five calendar years:

Calendar Year	Number of Permits Issued	Value of Permits
2012	1,190	$32,920,629
2013	1,052	$30,444,418
2014	917	$22,038,271
2015	870	$19,890,089
2016	1,030	$12,244,500

(1) Year to date through July 12, 2016.
Source: City of Battle Creek

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Appendix C

City of Battle Creek

AUDITED FINANCIAL STATEMENTS

Fiscal Year Ended June 30, 2016

This Appendix contains the basic financial statements and related notes for the City's fiscal year ended June 30, 2016. The basic financial statements and related notes were prepared by the City in accordance with generally accepted accounting principles and were audited by Rehmann Robson, Jackson, Michigan. Rehmann Robson has not been asked to consent to the use of information from such audited Financial Statements in the Preliminary Official Statement nor the Final Official Statement and has not conducted any subsequent review of such audited Financial Statements or of the information presented in this Appendix. The City's Finance Director has advised, and will certify to the Underwriter, that the information contained in this appendix fairly represents the financial condition of the City and there has been no material adverse change in the financial condition of the City from the date of the independent auditor's report to the date of delivery of the Bonds. The complete audited report of the City for the same fiscal year is available from www.michigan.gov/treasury. Go to Local Government, Local Gov Financial Services, File and Search Reports and View Online Reports. The City's complete financial statements are also available at the following web site: http://www.battlecreekmi.gov/189/Audited-Financial-Statements.

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Management's Discussion and Analysis

As management of the *City of Battle Creek, Michigan,* we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2016. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal, as noted in the table of contents.

Financial Highlights

· Total net position	$264,568,695
· Change in total net position	(12,827,190)
· Fund balances, governmental funds	15,965,274
· Change in fund balances, governmental funds	(2,346,592)
· Unassigned fund balance, general fund	6,181,573
· Change in fund balance, general fund	104,398
· Installment debt outstanding	32,520,380
· Change in installment debt	(4,324,815)

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements themselves.

Government-wide Financial Statements. The *government-wide financial statements* are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The *statement of net position* presents information on all of the City's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the residual reported as *net position.* Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.

The *statement of activities* presents information shows how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, *regardless of the timing of related cash flows.* Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., earned but unused vacation leave).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues *(governmental activities)* from other functions that are intended to recover all or a significant portion of their costs through user fees and charges *(business-type activities).* The governmental activities of the City include general government, public safety, public works, highways and streets, parks and recreation and community development. The business-type activities of the City include water, wastewater, public transit, solid waste collection, airport, parking and economic development.

The government-wide financial statements include not only the City itself (known as the *primary government),* but also legally separate entities for which the City is financially accountable. Financial information for these *component units* are reported separately from the financial information presented for the primary government itself. These component units include the Downtown Development Authority, the Lakeview Downtown Development Authority, the Tax Incremental Financing Authority, the Brownfield Redevelopment Authority and the Local Development Finance Authority. The Building Authority, although also legally separate, functions for all practical purposes as a department of the City, and therefore has been included as an integral part of the primary government.

Fund financial statements. A *fund* is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Management's Discussion and Analysis

Governmental funds. Governmental funds are used to account for essentially the same functions reported as *governmental activities* in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on *near-term inflows and outflows of spendable resources,* as well as on *balances of spendable resources* available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for *governmental funds* with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between *governmental funds* and *governmental activities.*

The City maintains 26 individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for the general fund, the community development special revenue fund, and the building authority bonds debt service fund, which are considered to be major funds. Data from the other 23 governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of *combining statements* elsewhere in this report.

The City adopts an annual appropriated budget for its general and special revenue funds. Budgetary comparison statements or schedules have been provided herein to demonstrate compliance with those budgets.

Proprietary funds. The City maintains two different types of proprietary funds. *Enterprise funds* are used to report the same functions presented as *business-type activities* in the government-wide financial statements. The City uses enterprise funds to account for its wastewater, water, public transit, solid waste collection and other operations. *Internal service funds* are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its equipment center, self-insurance, information services and reproduction services. Because these services predominantly benefit governmental rather than business-type functions, they have been included within governmental activities in the government-wide financial statements.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the water and wastewater and Battle Creek Transit System which are considered to be major funds of the City. Conversely, all of the internal service funds are combined into a single, aggregated presentation in the proprietary fund financial statements. Individual fund data for the internal service funds is provided in the form of combining statements elsewhere in this report.

Fiduciary funds. Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are *not* reflected in the government-wide financial statements because the resources of those funds are *not* available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds.

Notes to the financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

Other information. In addition to the basic financial statements and accompanying notes, this report also presents certain *required supplementary information.* This includes schedules for the City's pension and other postemployment benefits to its employees.

The combined statements referred to earlier in connection with nonmajor, internal service and fiduciary funds are presented immediately following the required supplementary information.

Management's Discussion and Analysis

Government-wide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City of Battle Creek, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by $264,568,695 at the close of the most recent fiscal year.

By far the largest portion of the City's net position reflects its investment in capital assets (e.g., land, buildings, vehicles, equipment, systems and infrastructure), less any related debt used to acquire those assets that are still outstanding. The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

	Net Position					
	Governmental activities		Business-type activities		Total	
	2016	2015	2016	2015	2016	2015
Assets						
Current and other assets	$ 37,814,573	$ 43,052,648	$ 29,287,168	$ 26,548,254	$ 67,101,741	$ 69,600,902
Capital assets	232,516,309	236,668,821	99,987,476	99,659,775	332,503,785	336,328,596
Total assets	270,330,882	279,721,469	129,274,644	126,208,029	399,605,526	405,929,498
Deferred outflows of resources						
Deferred charge on refunding	1,098,853	234,810	-	72,359	1,098,853	307,169
Deferred pension amounts	24,259,505	10,685,157	5,908,214	1,307,308	30,167,719	11,992,465
Total deferred outflows of resources	25,358,358	10,919,967	5,908,214	1,379,667	31,266,572	12,299,634
Liabilities						
Other liabilities	9,357,037	11,074,101	2,495,744	2,301,837	11,852,781	13,375,938
Long-term liabilities	30,679,685	32,470,306	6,259,671	8,492,481	36,939,356	40,962,787
Other liabilities due in more than one year:						
Net other postemployment benefits liability	11,922,659	9,568,940	-	-	11,922,659	9,568,940
Net pension liability	79,786,740	57,934,810	25,239,343	18,990,772	105,026,083	76,925,582
Total liabilities	131,746,121	111,048,157	33,994,758	29,785,090	165,740,879	140,833,247
Deferred inflows of resources						
Deferred pension amounts	369,382	-	193,142	-	562,524	-
Net position						
Net investment in capital assets	209,385,180	212,763,742	94,256,830	91,757,657	303,642,010	304,521,399
Restricted	10,573,097	6,422,246	-	-	10,573,097	6,422,246
Unrestricted (deficit)	(56,384,540)	(39,592,709)	6,738,128	6,044,949	(49,646,412)	(33,547,760)
Total net position	$163,573,737	$179,593,279	$100,994,958	$ 97,802,606	$264,568,695	$277,395,885

An additional portion of the City's net position (4.0 percent) represents resources that are subject to external restrictions on how they may be used. The remaining balance of *unrestricted net position (deficit)* may be used to meet the government's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in the net investment of capital assets and restricted net position, however, the unrestricted deficit was a result of the City's net pension liability. All three components City's business-type activities net position are stated as a positive balance; the same held true for the prior fiscal year.

Management's Discussion and Analysis

The City's net position decreased by $12,827,190. This large reduction was primarily a result of an increase in the net pension liability. The change in the amount of the decrease between the current and prior year was $8,335,027 there are a variety of offsetting increases and decreases in the revenues and expenses and between the governmental and business-type activities, which are discussed in the succeeding sections.

	Changes in Net Position					
	Governmental activities		Business-type activities		Total	
	2016	2015	2016	2015	2016	2015
Revenues						
Program revenues:						
Charges for services	$ 8,539,058	$ 8,013,409	$ 34,529,048	$ 32,925,393	$ 43,068,106	$ 40,938,802
Grants and contributions:						
Operating	14,753,846	12,533,025	4,336,403	3,987,451	19,090,249	16,520,476
Capital	34,404	762,199	-	-	34,404	-
General revenues:						
Property taxes	16,189,320	16,028,806	-	-	16,189,320	16,028,806
Income taxes	16,414,572	16,475,837	-	-	16,414,572	16,475,837
Grants and contributions not restricted to specific programs	5,637,815	5,441,022	-	-	5,637,815	5,441,022
Unrestricted investment earnings	770,022	856,338	516,150	74,665	1,286,172	931,003
Total revenues	62,339,037	60,110,636	39,381,601	36,987,509	101,720,638	97,098,145
Expenses						
General government	13,522,067	8,841,596	-	-	13,522,067	8,841,596
Public safety	38,643,958	29,790,342	-	-	38,643,958	29,790,342
Public works	2,016,152	2,239,223	-	-	2,016,152	2,239,223
Highways and streets	11,759,289	14,960,926	-	-	11,759,289	14,960,926
Parks and recreation	7,662,739	6,491,021	-	-	7,662,739	6,491,021
Community development	2,960,152	2,709,435	-	-	2,960,152	2,709,435
Interest on long-term debt	1,193,277	1,307,722	-	-	1,193,277	1,307,722
Wastewater	-	-	16,616,652	15,833,103	16,616,652	15,833,103
Water	-	-	8,407,774	7,881,178	8,407,774	7,881,178
Public transit	-	-	4,519,401	4,551,257	4,519,401	4,551,257
Solid waste collection	-	-	3,021,188	2,977,648	3,021,188	2,977,648
Airport	-	-	2,566,234	2,512,780	2,566,234	2,512,780
Parking	-	-	1,475,329	1,369,956	1,475,329	1,369,956
Economic development	-	-	183,616	124,121	183,616	124,121
Total expenses	77,757,634	66,340,265	36,790,194	35,250,043	114,547,828	101,590,308
Change in net position, before transfers	(15,418,597)	(6,229,629)	2,591,407	1,737,466	(12,827,190)	(4,492,163)
Transfers	(600,945)	(453,061)	600,945	453,061	-	-
Change in net position	(16,019,542)	(6,682,690)	3,192,352	2,190,527	(12,827,190)	(4,492,163)
Net position:						
Beginning of year	179,593,279	230,303,932	97,802,606	112,727,888	277,395,885	343,031,820
Restatement for implementation of GASB 68	-	(44,027,963)	-	(17,115,809)	-	(61,143,772)
	179,593,279	186,275,969	97,802,606	95,612,079	277,395,885	281,888,048
Net position, end of year	$163,573,737	$179,593,279	$100,994,958	$ 97,802,606	$264,568,695	$277,395,885

Governmental activities. Governmental activities decreased the City's net position by $16,019,542 (as compared to a prior year decrease of $6,682,690). Key elements of this decrease and the change from the prior year include:

The total revenue increase of $2.2 million includes increased operating grants in the Special Grants fund and general fund. There also was an increase in parks and recreation charges for services of $321,422. Public safety expenses increased $8.4 million from the prior year as a result of increased pension liability in the police and fire pension fund for the year. General government expenses increased by $4.7 million from the prior year due to a combination of increased pension liability and the continued expenditure of the capital improvement bond funds.

Business-type activities. Business-type activities increased the City's net position by $3,192,352 as compared to an increase of $2,190,527 the prior year. Key elements of this increase and the change from the prior year include:

Water and wastewater charges for services increased $1.7 million over the prior year. Revenue increases include a rate increase that was effective 7/1/15. There continue to be unrestricted net position deficits in the W.K. Kellogg Airport fund and the Battle Creek Transit fund due to the net pension liability.

Financial Analysis of the City's Governmental Funds

As noted earlier, the City uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental funds. The focus of the City's *governmental funds* is to provide information on near-term inflows, outflows, and balances of *spendable resources.* Such information is useful in assessing the City's financing requirements. In particular, *unassigned fund balance* may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

As of the end of the current fiscal year, the City's governmental funds reported combined ending fund balances of $15,965,274 a decrease of $2,346,592 from the prior year. Nonspendable portion of fund balance increased from $1,467,007 to $1,527,390. Nonspendable fund balance is not available for new spending because it has been set aside for the following purposes:

- to generate income for the support and maintenance of the youth center and Kellogg Arena ($879,909); and
- for inventories and prepaid expenditures ($647,481).

The general fund is the chief operating fund of the City. At the end of the current fiscal year, unassigned fund balance (which is only reported in the general fund) was $6,181,573, while total fund balance was $8,073,116. In accordance with the City's adopted fund balance policy, the minimum unassigned fund balance in the general fund of no less than 8% of current year budgeted operating revenue has been met. The percent as of June 30, 2016 is 14.0%.

The fund balance of the City's general fund increased by $104,398 during the current fiscal year. This was favorable as compared to the final budgeted decrease in fund balance of $478,289.

The community development fund has a fund balance of $56 which decreased from the previous year of $101. Original budget estimates anticipated a greater level of activity than actually occurred; however, community development grant funds may be carried over to subsequent years.

Proprietary funds. The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail.

Unrestricted net position of the water and wastewater system fund at the end of the year amounted to $159,290. The fund had an increase in total net position for the year of $3,410,313. Factors concerning the finances of this fund have already been addressed in the discussion of the City's business-type activities.

The Battle Creek Transit System had a total net position deficit of $1,497,573; the fund had a decrease in net position of $365,684 for the year primarily as a result of the increase in net pension liability.

General Fund Budgetary Highlights

Mid-year adjustments were made to the general fund budget to account for anticipated decreases in income tax revenue of $427,000, interest income of $300,000, and constitutional state shared revenues of $193,000. General fund expenditure budget adjustments included increases in the fire department of $400,000, increases in the police department of $200,000, and a decrease in the transfer out to the major streets fund of $200,000. Budgeted expenses also increased for any prior year encumbrances carried forward, as they are a use of the prior year fund balance and were reflected in the assigned fund balance at 6/30/15. The original general fund budget reflected a use of fund balance in the amount of $52,000. This was increased to $478,289 by the mid-year budget adjustments. The actual increase of fund balance in the amount of $104,398 was better than the original and amended budgeted use primarily due to other intergovernmental revenues that exceeded expectations and fuel cost savings.

Capital Assets and Debt Administration

Capital Assets. The City's investment in capital assets for its governmental and business-type activities as of June 30, 2016, amounted to $332,503,785 (net of accumulated depreciation). This investment in capital assets includes land, construction in progress, land improvements, buildings, vehicles, equipment, infrastructure and systems. Net capital assets for governmental activities decreased by 1.8%, and for business-type activities increased by 0.3%.

	City of Battle Creek's Capital Assets (Net of Depreciation)					
	Governmental activities		Business-type activities		Total	
	2016	2015	2016	2015	2016	2015
Land and land improvements	$ 19,201,085	$ 18,036,321	$ 5,389,805	$ 5,351,258	$ 24,590,890	$ 23,387,579
Construction in progress	155,531	5,507,305	8,616,468	5,408,415	8,771,999	10,915,720
Buildings	31,194,692	29,102,266	15,257,188	16,403,825	46,451,880	45,506,091
Vehicles	2,498,806	2,113,817	678,913	876,485	3,177,719	2,990,302
Equipment	3,347,260	3,559,667	933,184	1,133,509	4,280,444	4,693,176
Infrastructure	176,118,935	178,349,445	-	-	176,118,935	178,349,445
Systems	-	-	69,111,918	70,486,283	69,111,918	70,486,283
Total	$232,516,309	$236,668,821	$ 99,987,476	$ 99,659,775	$332,503,785	$336,328,596

Major capital asset events during the current fiscal year included:

- The 2013 capital improvements bond (refunded in the current year) was used to fund $6.98 million in improvements. Major improvements were made to the Kellogg Arena, the police facility located on Elm Street, various culverts and diversion channels, and the Bailey Park facilities.
- Willard Beach relocation in the amount of $419,278

Additional information on the City's capital assets can be found in Note 7 to the financial statements.

Management's Discussion and Analysis

Long-term debt. At the end of the current fiscal year, the City had total bonded debt outstanding of $30,151,000. Of this amount, $24,770,000 is comprised of debt backed by the full faith and credit of the government. The remainder of the City's bonded debt represents bonds secured solely by specified revenue sources.

	General Obligation and Revenue Bonds					
	Governmental activities		Business-type activities		Total	
	2016	2015	2016	2015	2016	2015
General obligation bonds	$ 24,770,000	$ 26,710,000	$ -	$ -	$ 24,770,000	$ 26,710,000
Revenue bonds	-	-	5,381,000	7,407,000	5,381,000	7,407,000
Total	$ 24,770,000	$ 26,710,000	$ 5,381,000	$ 7,407,000	$ 30,151,000	$ 34,117,000

The City's total bonded debt decreased by $3,966,000 (11.6 percent) during the current fiscal year. During the year, the City advance refunded the 2013 capital improvement bonds.

The following chart depicts the City's credit rating for the various outstanding debt and the different rating agencies:

	Moody's	S&P	Fitch
General obligation limited tax bonds	Aa3	AA-	AA
Water and wastewater revenue bonds	Aa3	A	AA-

State statutes limit the amount of general obligation debt a governmental entity may issue to 10 percent of its total state equalized valuation. The City's current outstanding general obligation debt is substantially bellow the current debt limit of $159,775,597.

Additional information on the City's long-term debt can be found in note 10 to the financial statements.

Economic Factors

Low fuel costs and low unemployment had positive effects on the City's financial results for the year. The recovery of the national economy had begun to work its way to the public sector, and the progress at the state level in regards to road funding is being watched closely.

Next Year's Budgets and Rates

- Developed the fiscal year ending June 30, 2017 budget with a .500 mill dedicated to capital projects and the related debt, and a total property tax increase of .683 mills.
- Included debt service in the general fund for a new police facility.
- Included a use of general fund fund balance in the amount of $591,896.
- Included 2-3% wage raises in many collective bargaining agreements.
- General fund expenditures include Central Business District maintenance costs as well as Downtown Economic Development costs that have been covered by the DDA in the past. Revenues in the DDA allow for debt service payments with room for little else.
- During the year, employees will begin paying 20% of health insurance premiums based on collective bargaining agreements.

Requests for Information

This financial report is designed to provide a general overview of the City's finances for all those with an interest in the government's finances. The financial statements are available on the City's website: *www.battlecreekmi.gov.* Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the City Finance Director, P.O. Box 1717, Battle Creek, Michigan 49016-1717.

BASIC FINANCIAL STATEMENTS

GOVERNMENT-WIDE FINANCIAL STATEMENTS

CITY OF BATTLE CREEK, MICHIGAN

Statement of Net Position
June 30, 2016

	Primary Government			
	Governmental Activities	Business-type Activities	Total	Component Units
Assets				
Pooled cash and investments	$ 21,681,863	$ 18,511,555	$ 40,193,418	$ 21,928,512
Receivables	10,925,382	9,005,357	19,930,739	878,258
Receivables, long-term portion	3,538,386	127,285	3,665,671	3,865,182
Internal balances	(121,504)	121,504	-	-
Inventories, prepaid items and other assets	1,790,446	1,521,467	3,311,913	21,082
Capital assets not being depreciated	2,277,862	12,069,331	14,347,193	12,675,578
Capital assets being depreciated, net	230,238,447	87,918,145	318,156,592	1,092,868
Total assets	270,330,882	129,274,644	399,605,526	40,461,480
Deferred outflows of resources				
Deferred charge on refunding	1,098,853	-	1,098,853	1,206,272
Deferred pension amounts	24,259,505	5,908,214	30,167,719	-
Total deferred outflows of resources	25,358,358	5,908,214	31,266,572	1,206,272
Liabilities				
Accounts payable and accrued liabilities	8,643,209	2,376,403	11,019,612	3,153,070
Accrued interest payable	266,683	-	266,683	292,876
Unearned revenue	447,145	119,341	566,486	1,694
Long-term liabilities:				
Due within one year	3,613,098	2,724,871	6,337,969	4,817,604
Due in more than one year	27,066,587	3,534,800	30,601,387	38,134,319
Other liabilities due in more than one year:				
Net other postemployment benefits liability	11,922,659	-	11,922,659	-
Net pension liability	79,786,740	25,239,343	105,026,083	-
Total liabilities	131,746,121	33,994,758	165,740,879	46,399,563
Deferred inflows of resources				
Deferred pension amounts	369,382	193,142	562,524	-
Net position				
Net investment in capital assets	209,385,180	94,256,830	303,642,010	13,768,446
Restricted for:				
Debt service	8,158,336	-	8,158,336	-
Endowment - nonexpendable	879,909	-	879,909	-
Endowment - expendable	90,286	-	90,286	-
Other purposes	1,444,566	-	1,444,566	1,266,447
Unrestricted (deficit)	(56,384,540)	6,738,128	(49,646,412)	(19,766,704)
Total net position (deficit)	$ 163,573,737	$ 100,994,958	$ 264,568,695	$ (4,731,811)

The accompanying notes are an integral part of these financial statements.

Statement of Activities

For the Year Ended June 30, 2016

Functions / Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenues
Primary government					
Governmental activities:					
General government	$ 13,522,067	$ 3,598,573	$ 5,609,494	$ -	$ (4,314,000)
Public safety	38,643,958	907,947	708,517	-	(37,027,494)
Public works	2,016,152	144,941	91,028	-	(1,780,183)
Highways and streets	11,759,289	6,932	6,530,700	34,404	(5,187,253)
Parks and recreation	7,662,739	3,822,885	-	-	(3,839,854)
Community development	2,960,152	57,780	1,814,107	-	(1,088,265)
Interest on long-term debt	1,193,277	-	-	-	(1,193,277)
Total governmental activities	77,757,634	8,539,058	14,753,846	34,404	(54,430,326)
Business-type activities:					
Wastewater	16,616,652	18,278,650	-	-	1,661,998
Water	8,407,774	9,883,241	23,427	-	1,498,894
Public transit	4,519,401	407,480	2,782,714	-	(1,329,207)
Solid waste collection	3,021,188	3,212,994	-	-	191,806
Airport	2,566,234	1,354,099	1,530,262	-	318,127
Parking	1,475,329	1,384,948	-	-	(90,381)
Economic development	183,616	7,636	-	-	(175,980)
Total business-type activities	36,790,194	34,529,048	4,336,403	-	2,075,257
Total primary government	$ 114,547,828	$ 43,068,106	$ 19,090,249	$ 34,404	$ (52,355,069)
Component units					
Community development	$ 13,027,249	$ 58,538	$ 34,800	$ 10,195	$ (12,923,716)

continued...

Statement of Activities

For the Year Ended June 30, 2016

	Primary Government: Governmental Activities	Primary Government: Business-type Activities	Primary Government: Total	Component Units
Changes in net position				
Net (expense) revenues	$ (54,430,326)	$ 2,075,257	$ (52,355,069)	$ (12,923,716)
General revenues:				
Property taxes	16,189,320	-	16,189,320	11,049,993
Income taxes	16,414,572	-	16,414,572	-
Grants and contributions not restricted to specific programs	5,637,815	-	5,637,815	-
Unrestricted investment earnings	770,022	269,643	1,039,665	890,776
Rents and leases	-	246,507	246,507	26,898
Transfers	(600,945)	600,945	-	-
Total general revenues and transfers	38,410,784	1,117,095	39,527,879	11,967,667
Change in net position	(16,019,542)	3,192,352	(12,827,190)	(956,049)
Net position (deficit), beginning of year	179,593,279	97,802,606	277,395,885	(3,775,762)
Net position (deficit), end of year	$ 163,573,737	$ 100,994,958	$ 264,568,695	$ (4,731,811)

concluded.

The accompanying notes are an integral part of these financial statements.

This page intentionally left blank.

FUND FINANCIAL STATEMENTS

Balance Sheet

Governmental Funds
June 30, 2016

	General	Community Development	Building Authority Bonds	Nonmajor Governmental Funds	Total Governmental Funds
Assets					
Pooled cash and investments	$ 6,762,076	$ -	$ 5,311	$ 6,913,064	$ 13,680,451
Receivables:					
Interest	67,092	-	34,019	24,105	125,216
Accounts	2,671,600	69,763	-	1,834,191	4,575,554
Special assessments	137,452	-	-	59,002	196,454
Grants	41,181	70,298	-	692,299	803,778
Loans	1,351,478	2,714,379	465,000	53,329	4,584,186
Loans, long-term portion	-	-	3,160,000	378,386	3,538,386
Inventories	10,517	-	-	114,516	125,033
Prepaid items	497,825	-	-	24,623	522,448
Assets held for resale	-	137,000	-	-	137,000
Interfund receivable	1,201,774	-	-	-	1,201,774
Total assets	$ 12,740,995	$ 2,991,440	$ 3,664,330	$ 10,093,515	$ 29,490,280
Liabilities					
Accounts payable	$ 1,157,111	$ 2,601	$ -	$ 353,422	$ 1,513,134
Accrued payroll	2,026,794	-	-	-	2,026,794
Retentions, deposits and other liabilities	-	-	-	252,513	252,513
Interfund payable	-	137,404	-	825,682	963,086
Unearned revenue	81,742	-	-	282,645	364,387
Total liabilities	3,265,647	140,005	-	1,714,262	5,119,914
Deferred inflows of resources					
Unavailable revenue:					
Assets held for resale	-	137,000	-	-	137,000
Special assessments	50,754	-	-	59,002	109,756
Loans and related interest	1,351,478	2,714,379	3,659,019	433,460	8,158,336
Total deferred inflows of resources	1,402,232	2,851,379	3,659,019	492,462	8,405,092
Fund balances					
Nonspendable	508,342	-	-	1,019,048	1,527,390
Restricted	384,726	56	-	4,791,612	5,176,394
Committed	936,502	-	5,311	1,722,039	2,663,852
Assigned	61,973	-	-	354,092	416,065
Unassigned	6,181,573	-	-	-	6,181,573
Total fund balances	8,073,116	56	5,311	7,886,791	15,965,274
Total liabilities, deferred inflows of resources and fund balances	$ 12,740,995	$ 2,991,440	$ 3,664,330	$ 10,093,515	$ 29,490,280

The accompanying notes are an integral part of these financial statements.

Reconciliation

Fund Balances of Governmental Funds
to Net Position of Governmental Activities
June 30, 2016

Fund balances - total governmental funds	$ 15,965,274
Amounts reported for *governmental activities* in the statement of net position are different because:	
Capital assets used in governmental activities are not financial resources and therefore are not reported in the funds.	
Capital assets	422,216,288
Accumulated depreciation	(189,699,979)
Less: capital assets being accounted for in internal service funds	(3,077,523)
Internal service funds are used by management to charge the costs of certain equipment usage to individual governmental funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.	
Net position of governmental internal service funds	7,371,224
Portion of internal service funds cumulative net operating income attributed to business-type funds	(121,504)
Because the focus of governmental funds is on short-term financing, some assets will not be available to pay for current expenditures. Those assets (i.e., receivables) are offset by deferred inflows of resources in the governmental funds and, therefore, not included in fund balance.	
Assets held for resale	137,000
Unavailable special assessments	109,756
Loans receivable related to the sale of capital assets and other loans	8,158,336
Gains and losses on refunding are not reported in the governmental funds, whereas they are capitalized and amortized for net position.	
Deferred charge on refunding	1,098,853
Certain liabilities, such as bonds payable, are not due and payable in the current period and therefore are not reported in the funds.	
Bonds and installment contracts payable	(27,817,435)
Accrued interest on bonds and installment contracts payable	(266,683)
Net pension liability	(79,786,740)
Deferred outflows related to the net pension liability	24,259,505
Deferred inflows related to the net pension liability	(369,382)
Net other postemployment benefits liability	(11,922,659)
Compensated absences	(2,680,594)
Net position of governmental activities	$ 163,573,737

The accompanying notes are an integral part of these financial statements.

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds
For the Year Ended June 30, 2016

	General	Community Development	Building Authority Bonds	Nonmajor Governmental Funds	Total Governmental Funds
Revenues					
Taxes	$ 31,082,953	$ -	$ -	$ 1,520,939	$ 32,603,892
Licenses and permits	1,021,229	8,586	-	-	1,029,815
Intergovernmental	8,698,540	1,433,217	-	9,894,690	20,026,447
Charges for services	2,378,225	-	-	2,704,489	5,082,714
Fines and forfeitures	129,805	-	-	-	129,805
Investment income	426,096	111	-	75,715	501,922
Contributions	-	-	-	142,797	142,797
Rents and leases	-	-	-	59,545	59,545
Other	1,034,513	49,194	601,000	27,787	1,712,494
Total revenues	44,771,361	1,491,108	601,000	14,425,962	61,289,431
Expenditures					
Current expenditures:					
General government	6,772,153	-	-	3,226,915	9,999,068
Public safety	27,204,080	-	-	223,005	27,427,085
Public works	2,571,981	-	-	-	2,571,981
Highway and streets	-	-	-	10,667,566	10,667,566
Parks and recreation	3,301,833	-	-	2,193,169	5,495,002
Community development	-	1,488,618	-	365,287	1,853,905
Inspections	-	-	-	616,610	616,610
Unallocated	1,286,389	-	-	-	1,286,389
Debt service:					
Principal retirement	-	-	450,000	2,089,826	2,539,826
Interest	-	-	151,000	1,056,672	1,207,672
Total expenditures	41,136,436	1,488,618	601,000	20,439,050	63,665,104
Revenue over (under) expenditures	3,634,925	2,490	-	(6,013,088)	(2,375,673)
Other financing sources (uses)					
Issuance of long-term debt	-	-	-	12,605,000	12,605,000
Payment to escrow agent	-	-	-	(13,548,312)	(13,548,312)
Premium on issuance of long-term debt	-	-	-	971,682	971,682
Discount on issuance of long-term debt	-	-	-	(111,044)	(111,044)
Transfers in	97,131	-	-	5,299,461	5,396,592
Transfers out	(3,627,658)	(2,535)	-	(1,654,644)	(5,284,837)
Total other financing sources (uses)	(3,530,527)	(2,535)	-	3,562,143	29,081
Net change in fund balances	104,398	(45)	-	(2,450,945)	(2,346,592)
Fund balances, beginning of year	7,968,718	101	5,311	10,337,736	18,311,866
Fund balances, end of year	$ 8,073,116	$ 56	$ 5,311	$ 7,886,791	$ 15,965,274

The accompanying notes are an integral part of these financial statements.

Reconciliation

Net Changes in Fund Balances of Governmental Funds
to Change in Net Position of Governmental Activities
For the Year Ended June 30, 2016

Net change in fund balances - total governmental funds	$ (2,346,592)
Amounts reported for *governmental activities* in the statement of activities are different because:	
Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense.	
Capital outlay	5,755,521
Donated capital assets	34,404
Depreciation expense	(10,030,223)
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, but rather deferred to subsequent fiscal years.	
Change in long-term special assessments receivable	(89,452)
Change in assets held for resale	119,347
Change in unavailable revenues related to loans receivable	179,184
Bond proceeds provide current financial resources to governmental funds in the period issued, but issuing bonds increases long-term liabilities in the statement of net position. Repayment of bond principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position.	
Principal payments on long-term liabilities	2,539,826
Amount received from other entities for their share of debt principal	(450,000)
Proceeds from issuance of long-term debt	(12,605,000)
Payment to escrow agent	13,548,312
Bond premium on issuance of long-term debt	(971,682)
Bond discount on issuance of long-term debt	111,044
Internal service funds are used by management to charge the costs of certain equipment usage to individual governmental funds. The net revenues (expense) attributable to those funds is reported with governmental activities.	
Net operating loss from governmental activities in internal service funds	(459,679)
Intergovernmental subsidies in governmental internal service funds	200,000
Interest earnings from governmental internal service funds	131,654
Interest paid from governmental activities in internal service funds	(736)
Transfers received in governmental internal service funds	632,168
Transfers made from governmental internal services funds	(1,344,868)
Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in the funds.	
Change in accrued interest payable on bonds	14,395
Change in the net pension liability and related deferred amounts	(8,646,964)
Change in net other postemployment benefits liability	(2,353,719)
Change in the accrual for compensated absences	13,518
Change in net position of governmental activities	$ (16,019,542)

The accompanying notes are an integral part of these financial statements.

Statement of Revenues, Expenditures and Change in Fund Balance

Budget and Actual - General Fund
For the Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Actual Over (Under) Final Budget
Revenues				
Taxes:				
City income	$ 16,825,000	$ 16,398,000	$ 16,414,572	$ 16,572
Real estate	11,340,848	11,693,848	11,779,803	85,955
Personal property	2,364,045	2,364,045	2,111,167	(252,878)
Administration fees	733,497	733,497	713,614	(19,883)
Other	1,000	63,241	63,797	556
Total taxes	31,264,390	31,252,631	31,082,953	(169,678)
Licenses and permits	759,875	890,400	1,021,229	130,829
Intergovernmental:				
State shared - statutory	1,436,386	1,436,386	1,436,386	-
State shared - constitutional	4,166,404	3,973,404	3,962,883	(10,521)
Other	2,983,082	2,985,582	3,299,271	313,689
Total intergovernmental	8,585,872	8,395,372	8,698,540	303,168
Charges for services:				
Parks and recreation	1,305,333	1,505,833	1,560,803	54,970
Police services	798,982	798,982	817,422	18,440
Total charges for services	2,104,315	2,304,815	2,378,225	73,410
Fines and forfeitures	150,800	150,800	129,805	(20,995)
Investment income	750,876	450,876	426,096	(24,780)
Other:				
Rent and leases	252,531	252,531	215,363	(37,168)
Contributions and donations	-	-	4,404	4,404
Miscellaneous and other	516,705	580,894	814,746	233,852
Total other	769,236	833,425	1,034,513	201,088
Total revenues	44,385,364	44,278,319	44,771,361	493,042

continued...

Statement of Revenues, Expenditures and Change in Fund Balance

Budget and Actual - General Fund
For the Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Actual Over (Under) Final Budget
Expenditures				
General government:				
Administration:				
Mayor and city commission	$ 105,336	$ 105,336	$ 104,338	$ (998)
City clerk	380,892	380,892	252,900	(127,992)
City manager	944,668	944,668	930,663	(14,005)
City hall	377,404	383,604	365,840	(17,764)
Neighborhood code compliance	198,414	328,939	239,365	(89,574)
Employee relations	150,079	150,079	223,774	73,695
Human resources	383,346	383,346	406,232	22,886
Labor attorney	21,012	21,012	-	(21,012)
Legal department	882,859	898,219	855,672	(42,547)
Elections	120,016	120,016	127,612	7,596
Civil service	61,601	61,601	69,932	8,331
Data processing	884,422	884,422	884,422	-
Administrative reimbursements	(1,097,427)	(1,097,427)	(1,105,323)	(7,896)
Total administration	3,412,622	3,564,707	3,355,427	(209,280)
Community development:				
City planning	684,951	685,159	628,333	(56,826)
Housing board of appeals	5,202	5,202	971	(4,231)
Total community development	690,153	690,361	629,304	(61,057)
Finance:				
Accounting	803,561	808,458	861,598	53,140
Purchasing	269,804	269,804	271,815	2,011
Treasurer's office	350,038	350,038	291,940	(58,098)
Assessing	834,157	774,226	717,128	(57,098)
Income tax division	590,045	590,045	644,941	54,896
Total finance	2,847,605	2,792,571	2,787,422	(5,149)
Total general government	6,950,380	7,047,639	6,772,153	(275,486)

continued...

Statement of Revenues, Expenditures and Change in Fund Balance

Budget and Actual - General Fund
For the Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Actual Over (Under) Final Budget
Expenditures (continued)				
Public safety:				
Police department:				
Administration	$ 919,961	$ 919,961	$ 906,915	$ (13,046)
Crime lab	707,943	707,943	713,486	5,543
Investigation	1,534,743	1,534,743	1,369,593	(165,150)
Fleet management	264,930	269,522	254,301	(15,221)
Special investigative unit	674,072	674,072	636,984	(37,088)
Management service	876,008	847,608	769,578	(78,030)
Patrol	9,783,305	9,935,575	10,383,440	447,865
Community service	903,365	981,189	960,517	(20,672)
Officer training	339,048	339,048	225,943	(113,105)
Detention center	116,785	116,785	110,975	(5,810)
Total police department	16,120,160	16,326,446	16,331,732	5,286
Fire department:				
Administration	1,004,151	1,006,251	1,084,389	78,138
Fire fighting	8,031,549	8,430,140	8,423,912	(6,228)
Total fire department	9,035,700	9,436,391	9,508,301	71,910
Dispatch	1,296,794	1,200,794	1,200,245	(549)
Civil defense	172,560	172,560	163,802	(8,758)
Total public safety	26,625,214	27,136,191	27,204,080	67,889
Public works:				
Street and storm sewers	400,253	400,253	477,427	77,174
Engineering	76,027	76,027	91,896	15,869
Street lighting	1,300,000	1,180,926	1,180,926	-
Downtown maintenance	650,000	650,000	653,548	3,548
Outside service	150,885	185,561	168,184	(17,377)
Total public works	2,577,165	2,492,767	2,571,981	79,214

continued...

Statement of Revenues, Expenditures and Change in Fund Balance

Budget and Actual - General Fund
For the Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Actual Over (Under) Final Budget
Expenditures (concluded)				
Parks and recreation:				
Administration	$ 969,559	$ 900,507	$ 956,689	$ 56,182
Sports	1,318,343	1,485,343	1,525,726	40,383
Youth center and water park	818,480	795,222	819,418	24,196
Total parks and recreation	3,106,382	3,181,072	3,301,833	120,761
Unallocated:				
Special projects	243,745	344,827	264,615	(80,212)
Other	1,091,520	1,022,179	1,021,774	(405)
Total unallocated	1,335,265	1,367,006	1,286,389	(80,617)
Total expenditures	40,594,406	41,224,675	41,136,436	(88,239)
Revenue over expenditures	3,790,958	3,053,644	3,634,925	581,281
Other financing sources (uses)				
Transfers in	14,600	101,206	97,131	(4,075)
Transfers out	(3,857,558)	(3,633,139)	(3,627,658)	(5,481)
Total other financing uses	(3,842,958)	(3,531,933)	(3,530,527)	(1,406)
Net change in fund balance	(52,000)	(478,289)	104,398	582,687
Fund balance, beginning of year	7,968,718	7,968,718	7,968,718	-
Fund balance, end of year	$ 7,916,718	$ 7,490,429	$ 8,073,116	$ 582,687

concluded.

The accompanying notes are an integral part of these financial statements.

This page intentionally left blank.

CITY OF BATTLE CREEK, MICHIGAN

Statement of Revenues, Expenditures and Change in Fund Balance

Budget and Actual - Community Development Special Revenue Fund
For the Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Actual Over (Under) Final Budget
Revenues				
Licenses and permits	$ -	$ 8,586	$ 8,586	$ -
Intergovernmental	1,638,734	2,018,384	1,433,217	(585,167)
Investment income	-	111	111	-
Loan collection and other	-	49,194	49,194	-
Total revenues	1,638,734	2,076,275	1,491,108	(585,167)
Expenditures				
Community development	1,636,394	2,073,742	1,488,618	(585,124)
Revenues over expenditures	2,340	2,533	2,490	(43)
Other financing uses				
Transfers out	(2,340)	(2,535)	(2,535)	-
Net change in fund balance	-	(2)	(45)	(43)
Fund balance, beginning of year	101	101	101	-
Fund balance, end of year	$ 101	$ 99	$ 56	$ (43)

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Statement of Net Position
Proprietary Funds
June 30, 2016

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water and Wastewater System	Battle Creek Transit System	Nonmajor Enterprise Funds	Total	Internal Service Funds
Assets					
Current assets:					
Pooled cash and investments	$ 10,911,125	$ -	$ 7,839,118	$ 18,750,243	$ 8,011,557
Receivables:					
Interest	-	-	36,103	36,103	89,865
Accounts	3,589,015	-	703,778	4,292,793	550,329
Special assessments	118,967	-	-	118,967	-
Grants	15,861	1,250,569	-	1,266,430	-
Loans, current portion	-	-	3,291,064	3,291,064	-
Inventories	1,430,426	78,532	-	1,508,958	481,628
Prepaid items	12,509	-	-	12,509	487,083
Total current assets	16,077,903	1,329,101	11,870,063	29,277,067	9,620,462
Noncurrent assets:					
Loans receivable, long-term portion	-	-	127,285	127,285	-
Capital assets, net	80,589,927	1,864,454	17,533,095	99,987,476	3,077,523
Total noncurrent assets	80,589,927	1,864,454	17,660,380	100,114,761	3,077,523
Total assets	96,667,830	3,193,555	29,530,443	129,391,828	12,697,985
Deferred outflows of resources					
Deferred pension amounts	4,096,935	1,308,145	503,134	5,908,214	-
Liabilities					
Current liabilities:					
Accounts payable and accrued liabilities	1,692,997	52,437	292,845	2,038,279	509,301
Accrued payroll	-	-	-	-	35,546
Compensated absences	403,290	77,110	48,625	529,025	127,567
Retentions, deposits and other liabilities	195,236	-	82,004	277,240	-
Accrued interest payable	55,633	-	5,251	60,884	-
Claims payable, current portion	-	-	-	-	2,432,447
Interfund payable	-	238,688	-	238,688	-
Unearned revenue	32,728	-	86,613	119,341	82,758
Lease payable, current portion	-	-	102,500	102,500	10,290
Bonds payable, current portion	2,093,346	-	-	2,093,346	-
Total current liabilities	4,473,230	368,235	617,838	5,459,303	3,197,909
Noncurrent liabilities:					
Claims payable	-	-	-	-	2,085,053
Lease payable	-	-	83,072	83,072	43,799
Bonds payable	3,451,728	-	-	3,451,728	-
Net pension liability	17,501,734	5,588,274	2,149,335	25,239,343	-
Total noncurrent liabilities	20,953,462	5,588,274	2,232,407	28,774,143	2,128,852
Total liabilities	25,426,692	5,956,509	2,850,245	34,233,446	5,326,761
Deferred inflows of resources					
Deferred pension amounts	133,930	42,764	16,448	193,142	-
Net position					
Net investment in capital assets	75,044,853	1,864,454	17,347,523	94,256,830	3,077,523
Unrestricted (deficit)	159,290	(3,362,027)	9,819,361	6,616,624	4,293,701
Total net position	$ 75,204,143	$ (1,497,573)	$ 27,166,884	$ 100,873,454	$ 7,371,224

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Reconciliation
Net Position of Enterprise Funds
to Net Position of Business-type Activities
June 30, 2016

Net position - total enterprise funds	$ 100,873,454
Amounts reported for *business-type activities* in the statement of net position are different because:	
Internal service funds are used by management to charge the costs of certain services to individual governmental and enterprise funds. The net revenues (expense) of the internal service funds are allocated to governmental and business-type activities. Portion of internal service funds cumulative net operating income attributed to enterprise funds.	121,504
Net position of business-type activities	$ 100,994,958

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Statement of Revenues, Expenses and Changes in Fund Net Position

Proprietary Funds
For the Year Ended June 30, 2016

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water and Wastewater System	Battle Creek Transit System	Nonmajor Enterprise Funds	Total	Internal Service Funds
Operating revenues					
Charges for services	$ 27,570,117	$ 405,882	$ 5,872,817	$ 33,848,816	$ 17,778,837
Rents and leases	246,507	-	-	246,507	1,598,996
Other	591,774	1,598	86,860	680,232	534,038
Total operating revenues	28,408,398	407,480	5,959,677	34,775,555	19,911,871
Operating expenses					
Personal services	9,232,110	3,151,198	1,197,164	13,580,472	3,296,389
Materials and supplies	2,411,693	418,289	220,263	3,050,245	1,888,719
Contractual and other	6,834,221	583,191	4,787,416	12,204,828	14,491,664
Depreciation	6,196,554	336,696	1,063,082	7,596,332	872,717
Total operating expenses	24,674,578	4,489,374	7,267,925	36,431,877	20,549,489
Operating income (loss)	3,733,820	(4,081,894)	(1,308,248)	(1,656,322)	(637,618)
Nonoperating revenues (expenses)					
Intergovernmental subsidies	23,427	2,782,714	1,530,262	4,336,403	200,000
Interest earnings	215,329	-	54,314	269,643	131,654
Interest expense	(166,270)	-	(14,108)	(180,378)	(736)
Total nonoperating revenues	72,486	2,782,714	1,570,468	4,425,668	330,918
Income (loss) before transfers	3,806,306	(1,299,180)	262,220	2,769,346	(306,700)
Transfers in	-	938,230	84,647	1,022,877	632,168
Transfers out	(395,993)	(4,734)	(21,205)	(421,932)	(1,344,868)
Change in net position	3,410,313	(365,684)	325,662	3,370,291	(1,019,400)
Net position, beginning of year	71,793,830	(1,131,889)	26,841,222	97,503,163	8,390,624
Net position, end of year	$ 75,204,143	$ (1,497,573)	$ 27,166,884	$ 100,873,454	$ 7,371,224

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Reconciliation

Change in Net Position of Enterprise Funds
to Change in Net Position of Business-type Activities
For the Year Ended June 30, 2016

Change in net position - total enterprise funds	$ 3,370,291
Amounts reported for *business-type activities* in the statement of activities are different because:	
Internal service funds are used by management to charge the costs of certain services to individual governmental and enterprise funds. The current year net operating loss of the internal service funds are allocated to governmental and business-type activities.	(177,939)
Change in net position of business-type activities	$ 3,192,352

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2016

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water and Wastewater System	Battle Creek Transit System	Nonmajor Enterprise Funds	Total	Internal Service Funds
Cash flows from operating activities					
Receipts from customers and users	$ 28,094,503	$ 514,801	$ 6,108,287	$ 34,717,591	$ -
Receipts from interfund services	-	-	-	-	19,911,871
Payments to suppliers and contractors	(7,872,559)	(1,019,033)	(5,376,284)	(14,267,876)	(16,484,087)
Payments to employees	(7,908,634)	(3,024,951)	(1,056,410)	(11,989,995)	(3,331,670)
Payments for interfund services	(183,578)	(30,027)	(37,482)	(251,087)	-
Net cash provided by (used in) operating activities	12,129,732	(3,559,210)	(361,889)	8,208,633	96,114
Cash flows from noncapital financing activities					
Transfers in	-	938,230	84,647	1,022,877	632,168
Transfers out	(395,993)	(4,734)	(21,205)	(421,932)	(1,344,868)
Intergovernmental subsidies	23,427	2,782,714	1,530,262	4,336,403	200,000
Net cash provided by (used in) noncapital financing activities	(372,566)	3,716,210	1,593,704	4,937,348	(512,700)
Cash flows from capital and related financing activities					
Advances from other government	-	-	(397,540)	(397,540)	-
Principal and interest paid on debt	(2,211,724)	-	(154,328)	(2,366,052)	-
Principal and interest paid on capital lease	-	-	-	-	(3,225)
Issuance of capital lease	-	-	-	-	56,578
Purchase of capital assets	(5,931,014)	(157,000)	(1,836,019)	(7,924,033)	(978,151)
Net cash used in capital and related financing activities	(8,142,738)	(157,000)	(2,387,887)	(10,687,625)	(924,798)
Cash flows from investing activities					
Interest earnings on investments	217,470	-	52,640	270,110	134,761
Net change in pooled cash and investments	3,831,898	-	(1,103,432)	2,728,466	(1,206,623)
Pooled cash and investments, beginning of year	7,079,227	-	8,942,550	16,021,777	9,218,180
Pooled cash and investments, end of year	$ 10,911,125	$ -	$ 7,839,118	$ 18,750,243	$ 8,011,557

continued...

CITY OF BATTLE CREEK, MICHIGAN

Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2016

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water and Wastewater System	Battle Creek Transit System	Nonmajor Enterprise Funds	Total	Internal Service Funds
Cash flows from operating activities					
Operating income (loss)	$ 3,733,820	$ (4,081,894)	$ (1,308,248)	$ (1,656,322)	$ (637,618)
Adjustments to reconcile operating income (loss) to net cash from operating activities:					
Depreciation	6,196,554	336,696	1,063,082	7,596,332	872,717
Changes in assets and liabilities:					
Accounts receivable	(371,019)	2,200	330,329	(38,490)	27,965
Special assessments receivable	17,620	-	-	17,620	-
Grants receivable	11,861	105,121	-	116,982	-
Loans receivable	-	-	(181,738)	(181,738)	-
Inventories	172,365	4,024	-	176,389	58,875
Prepaid items	(12,509)	-	220	(12,289)	(24,187)
Accounts payable and accrued liabilities	1,023,498	(51,604)	(412,290)	559,604	(649)
Compensated absences	47,003	(28,011)	(16,004)	2,988	(35,281)
Retentions, deposits and other liabilities	6,423	-	5,983	12,406	-
Claims payable	-	-	-	-	(164,087)
Interfund payable	-	(253,318)	-	(253,318)	-
Unearned revenue	27,643	-	19	27,662	(1,621)
Net pension liability and related deferred outflows/inflows	1,276,473	407,576	156,758	1,840,807	-
Net cash provided by (used in) operating activities	$ 12,129,732	$ (3,559,210)	$ (361,889)	$ 8,208,633	$ 96,114

concluded.

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Statement of Fiduciary Net Position

Fiduciary Funds
June 30, 2016

	Pension and Other Employee Benefit Trust Funds	Agency Funds
Assets		
Pooled cash and investments	$ 1,210,164	$ 170,875
Cash and cash equivalents	6,811,306	-
Investments:		
Fixed income:		
Corporate bonds	29,600,568	-
Foreign bonds	2,954,088	-
Municipal bonds	995,316	-
U.S. Government securities	28,230,696	-
Equity-indexed	23,712,251	-
U.S. equities	22,768,208	-
Foreign equities	2,609,216	-
American depositary receipts	13,370,705	-
Real estate trusts	624,514	-
Mutual funds	4,054,536	-
Interest receivable	408,356	-
Pension contributions receivable	97,131	-
Delinquent taxes receivable	-	688,423
Total assets	137,447,055	$ 859,298
Liabilities		
Obligation for impaired investment of securities lending collateral	131,239	$ -
Undistributed receipts	-	859,298
Total liabilities	131,239	$ 859,298
Net position		
Restricted for pension and postemployment healthcare benefits	$ 137,315,816	

The accompanying notes are an integral part of these financial statements.

CITY OF BATTLE CREEK, MICHIGAN

Statement of Changes in Fiduciary Net Position

Pension and Other Employee Benefit Trust Funds
For the Year Ended June 30, 2016

Additions	
Investment income:	
From investing activities:	
Net appreciation in fair value of investments	$ 215,513
Interest and dividends	2,911,421
Less investment expenses	(445,606)
Net income from investing activities	2,681,328
From securities lending activities:	
Gross earnings	17,159
Borrower rebates	(23,455)
Securities lending fees	12,173
Net income from securities lending activities	5,877
Total net investment income	2,687,205
Contributions:	
Employer	5,272,810
Employees	1,295,908
Total contributions	6,568,718
Total additions	9,255,923
Deductions	
Pension benefit payments	9,441,511
Contribution refunds	3,067
Medical insurance premiums/benefits	1,206,196
Administrative expenses	226,331
Total deductions	10,877,105
Change to net position restricted for benefits	(1,621,182)
Net position, beginning of year	138,936,998
Net position, end of year	$ 137,315,816

The accompanying notes are an integral part of these financial statements.

This page intentionally left blank.

COMPONENT UNITS FINANCIAL STATEMENTS

Combining Statement of Net Position

Component Units
June 30, 2016

	Battle Creek Downtown Development Authority	Lakeview Downtown Development Authority	Battle Creek Tax Increment Financing Authority
Assets			
Pooled cash and investments	$ 1,132,480	$ 99,264	$ 20,245,908
Receivables, net	355,068	5,965	410,569
Prepaid items	2,170	-	18,912
Loans receivable, net:			
Due within one year	106,637	-	-
Due in more than one year	166,022	-	3,699,160
Capital assets not being depreciated	-	-	12,675,578
Capital assets being depreciated, net	-	-	1,092,868
Total assets	1,762,377	105,229	38,142,995
Deferred outflows of resources			
Deferred charge on refunding	1,206,272	-	-
Liabilities			
Accounts payable and accrued liabilities	426,855	6,563	2,448,489
Accrued interest payable	275,251	-	17,625
Unearned revenue	1,694	-	-
Long-term liabilities:			
Due within one year	4,387,064	-	430,540
Due in more than one year	29,495,320	-	4,939,839
Total liabilities	34,586,184	6,563	7,836,493
Net position			
Investment in capital assets	-	-	13,768,446
Restricted for loan commitments and minority lending	1,266,447	-	-
Unrestricted (deficit)	(32,883,982)	98,666	16,538,056
Total net position (deficit)	$ (31,617,535)	$ 98,666	$ 30,306,502

continued...

Combining Statement of Net Position

Component Units
June 30, 2016

	Brownfield Redevelopment Authority	Local Development Finance Authority	Total
Assets			
Pooled cash and investments	$ 426,783	$ 24,077	$ 21,928,512
Receivables, net	-	19	771,621
Prepaid items	-	-	21,082
Loans receivable, net:			
Due within one year	-	-	106,637
Due in more than one year	-	-	3,865,182
Capital assets not being depreciated	-	-	12,675,578
Capital assets being depreciated, net	-	-	1,092,868
Total assets	426,783	24,096	40,461,480
Deferred outflows of resources			
Deferred charge on refunding	-	-	1,206,272
Liabilities			
Accounts payable and accrued liabilities	271,163	-	3,153,070
Accrued interest payable	-	-	292,876
Unearned revenue	-	-	1,694
Long-term liabilities:			
Due within one year	-	-	4,817,604
Due in more than one year	3,699,160	-	38,134,319
Total liabilities	3,970,323	-	46,399,563
Net position			
Investment in capital assets	-	-	13,768,446
Restricted for loan commitments and minority lending	-	-	1,266,447
Unrestricted (deficit)	(3,543,540)	24,096	(19,766,704)
Total net position (deficit)	$ (3,543,540)	$ 24,096	$ (4,731,811)

concluded.

The accompanying notes are an integral part of these financial statements.

Combining Statement of Activities

Component Units
For the Year Ended June 30, 2016

	Battle Creek Downtown Development Authority	Lakeview Downtown Development Authority	Battle Creek Tax Increment Financing Authority
Expenses			
Community development	$ 2,541,766	$ 1,953,541	$ 8,077,425
Program revenues			
Charges for services	29,687	-	28,851
Operating grants and contributions	-	27,399	-
Capital grants and contributions	-	-	-
Total program revenues	29,687	27,399	28,851
Net program expenses	(2,512,079)	(1,926,142)	(8,048,574)
General revenues			
Property taxes	5,026,214	1,870,505	3,856,933
Rents and leases	-	-	26,898
Unrestricted investment earnings	43,298	21,437	825,470
Total general revenues	5,069,512	1,891,942	4,709,301
Change in net position	2,557,433	(34,200)	(3,339,273)
Net position (deficit), beginning of year	(34,174,968)	132,866	33,645,775
Net position (deficit), end of year	$ (31,617,535)	$ 98,666	$ 30,306,502

continued...

Combining Statement of Activities

Component Units
For the Year Ended June 30, 2016

	Brownfield Redevelopment Authority	Local Development Finance Authority	Total
Expenses			
Community development	$ 453,017	$ 1,500	$ 13,027,249
Program revenues			
Charges for services	-	-	58,538
Operating grants and contributions	7,401	-	34,800
Capital grants and contributions	10,195	-	10,195
Total program revenues	17,596	-	103,533
Net program expenses	(435,421)	(1,500)	(12,923,716)
General revenues			
Property taxes	296,341	-	11,049,993
Rents and leases	-	-	26,898
Unrestricted investment earnings	-	571	890,776
Total general revenues	296,341	571	11,967,667
Change in net position	(139,080)	(929)	(956,049)
Net position (deficit), beginning of year	(3,404,460)	25,025	(3,775,762)
Net position (deficit), end of year	$ (3,543,540)	$ 24,096	$ (4,731,811)

concluded.

The accompanying notes are an integral part of these financial statements.

This page intentionally left blank.

NOTES TO FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Reporting Entity

The accompanying financial statements present the activities of the City of Battle Creek, Michigan (the "City") and its six component units, legally separate organizations for which the City is financially accountable. The activities of the Building Authority are so intertwined with the City that it is, in substance, the same as the City and, therefore, is blended and reported as if it were part of the City. The other five component units are not so intertwined and, therefore, are discretely presented in a separate column in the government-wide financial statements to emphasize that they are legally separate from the City. The component units each have a June 30 year-end.

Component Unit	Included in the Reporting Entity Because	Separate Financial Statements Available
Building Authority (BA); finances and constructs the City's public buildings	City Commission appoints, may remove BA board and would be financially responsible for any debt of the BA	Not prepared
Downtown Development Authority (DDA); corrects and prevents deterioration in the downtown district, encourages historical preservation and promotes economic	City Commission appoints, may remove DDA board and would be financially responsible for any debt of the DDA	Finance Department in City Hall
Lakeview Downtown Development Authority (LDDA); promotes development of the Lakeview district	City Commission appoints, may remove LDDA board and would be financially responsible for any debt of the LDDA	Finance Department in City Hall
Tax Increment Financing Authority (TIFA); administers the Fort Custer Industrial Park development district	City Commission appoints, may remove TIFA board and would be financially responsible for any debt of the TIFA	Finance Department in City Hall
Brownfield Redevelopment Authority (BRA); administers brownfield redevelopment projects	City Commission appoints, may remove BRA board and would be financially responsible for any debt of the BRA	Finance Department in City Hall
Local Development Finance Authority (LDFA); encourages technological development through the City's *"SmartZone"*	City Commission appoints, may remove LDFA board and would be financially responsible for any debt of the LDFA	Finance Department in City Hall

Basis of Presentation

Government-wide Financial Statements. The statements of net position and activities display information about the primary government (the "City") and its component units. These statements include the financial activities of the overall government, except for fiduciary activities. Eliminations have been made to minimize the double-counting of internal activities. These statements distinguish between the City's *governmental* and *business-type activities.* Governmental activities generally are financed through taxes, intergovernmental revenues and other nonexchange transactions. Business-type activities are financed in whole or in part by fees charged to external parties.

The statement of activities presents a comparison between direct expenses and program revenues for the different business-type activities of the City and for each function of the City's governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reversed for the statement of activities. Program revenues include (a) fees, fines and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund Financial Statements. The fund financial statements provide information about the City's funds, including its fiduciary funds and blended component units. Separate statements for each fund category – *governmental, proprietary* and *fiduciary* – are presented. The emphasis of fund financial statements is on major governmental and enterprise funds, each displayed in a separate column. All remaining governmental and enterprise funds are aggregated and reported as nonmajor funds.

The City reports the following major governmental funds:

General fund. This is the government's primary operating fund. It is used to account for and report all financial resources not accounted for and reported in another fund.

Community development special revenue fund. This fund accounts for grants under the Housing and Community Development Act of 1974, as amended. The Act provides for a series of grants over a period of years to be used for various community development activities.

Building authority bonds debt service fund. This fund accounts for the financial resources restricted, committed or assigned to expenditure for principal and interest.

The City has the following major enterprise funds:

Water and wastewater system enterprise fund. This fund accounts for the activities of the City's water distribution, water treatment, sewage disposal and sewage treatment systems.

Battle Creek Transit System. This fund accounts for the activities of the City's transit system.

Additionally, the City reports the following fund types:

Special revenue funds. These funds are used to account and report proceeds of *specific revenue sources* that are *restricted* or *committed* to expenditure for *specific purposes* other than debt service or capital projects.

Debt service funds. These funds account for all financial resources restricted, committed or assigned to expenditure for principal and interest.

Capital projects funds. These funds account for all financial resources restricted, committed or assigned to expenditure for the acquisition or construction of capital assets.

Permanent funds. These funds account for resources restricted to the extent that only earnings, and not principal, may be used for purposes that support the government's purposes.

Enterprise funds. These funds account for those operations that are financed and operated in a manner similar to private business or where the City has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

Internal service funds. These funds account for operations that provide services to other departments or agencies of the City, or to other governments, on a cost-reimbursement basis. This includes machinery, equipment and building space management services; liability, auto, health, dental, life and workers' compensation self-insurance; information technology services; and printing, mailing and reproduction services.

Pension and other employee benefits trust funds. These funds account for the activities of the Police and Fire Retirement System, Retiree Health Insurance Funding Trust (formerly known as Voluntary Employee Beneficiary Association), and Fire Retiree Health Care Trust, which accumulate resources for retirement and other employee benefit payments to qualified employees.

Agency funds. These funds account for assets held for other governments in an agency capacity, including property tax collections and fire insurance escrow.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments in lieu of taxes and other charges between the government's water and sewer function and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

Government-wide, proprietary and fiduciary fund financial statements. The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, except for agency funds, which do not have a measurement focus. Revenue is recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows.

Proprietary fund operating revenues, such as charges for services, result from exchange transactions associated with the principal activity of the fund. Exchange transactions are those in which each party receives and gives up essentially equal values. Operating expenses for proprietary funds include the cost of sales/services, administration and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Nonexchange transactions, in which the City gives (or receives) value without directly receiving (or giving) equal value in exchange, include property taxes, grants, entitlements and donations. Property taxes are recognized as revenue in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements. Governmental funds are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Under this method, revenues are recognized when measurable and available. The City considers all revenues reported in the governmental funds to be available if they are collected within sixty days after year-end, except for income tax revenue for which a 15-day collection period is used. Property taxes, franchise taxes, licenses and interest are considered to be susceptible to accrual.

Expenditures generally are recorded when a related fund liability is incurred, except for debt service expenditures, compensated absences, and claims and judgments, which are recognized as expenditures to the extent they have matured. General capital asset acquisitions are reported as expenditures in governmental funds. Proceeds from general long-term debt and acquisitions under capital leases, if any, are reported as other financing sources.

Under the terms of grant agreements, the City funds certain programs by a combination of specific cost-reimbursement grants, categorical block grants, and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the City's policy to first apply cost-reimbursement grant resources to such programs, followed by categorical block grants, and then by general revenues, subject to satisfying any grant program matching provisions.

Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Equity

Deposits and Investments

The City maintains a cash and investment pool for all City monies. Each fund's portion of the cash and investment pool is displayed on the statement of net position/balance sheet as "pooled cash and investments." The cash resources of the pension and other employee benefits trust funds are invested separately. The City's cash and cash equivalents are considered to be cash on hand, demand deposits and short-term investments with original maturities of three months or less from the date of acquisition. State statutes authorize the government to deposit in the accounts of federally insured banks, credit unions, and savings and loan associations, and to invest in obligations of the U.S. Treasury, certain commercial paper, repurchase agreements, bankers' acceptances, and mutual funds composed of otherwise legal investments. The State's Pension Investment Act, as amended, authorizes the pension trust fund to invest in common stocks, real estate, and various other investment instruments, subject to certain limitations.

Investments are stated at fair value. Short-term investments are reported at cost, which approximates fair value. Securities traded on a national or international exchange are valued at the last reported sales price at current exchange rates. Mortgages are valued on the basis of future principal and interest payments, and are discounted at prevailing interest rates for similar instruments. Investments that do not have established market values are reported at estimated fair value. Cash deposits are reported at carrying amounts, which reasonably approximates fair value.

Unrealized appreciation or depreciation on pension trust fund investments due to changes in fair value are recognized each year.

Receivables and Payables

All trade and delinquent property tax receivables are shown net of an allowance for uncollectibles, as applicable.

Certain loans receivable in governmental funds consist of rehabilitation and redevelopment loans that are generally not expected or scheduled to be collected in the subsequent year.

Activity between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either *interfund receivables/payables* (i.e., the current portion of interfund loans) or *advances to/from other funds* (i.e., the non-current portion of interfund loans). All other outstanding balances between funds are reported as *due to/from other funds.* Any residual balances outstanding between the governmental and business-type activities are reported in the government-wide financial statements as *internal balances.*

Inventories, Prepaid Items and Other Assets

All inventories are valued at cost using the first-in/first-out method. Inventories of governmental funds are recorded as expenditures when purchased.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements using the consumption method.

Capital Assets

Capital assets, which include property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items), are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. The government defines capital assets as assets with an initial, individual cost of more than $10,000 and an estimated useful life in excess of two years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated acquisition cost at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets lives are not capitalized.

Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities, if any, is included as part of the capitalized value of the assets constructed.

Capital assets of the primary government are depreciated using the straight-line method over the following estimated useful lives:

Assets	Years
Land improvements	5-50
Buildings	50
Vehicles	7-10
Equipment	3-10
Public domain infrastructure	50
Water and wastewater system infrastructure	25-50

Deferred Outflows of Resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to future periods and so will not be recognized as an outflow of resources until then. The City reports a deferred charge on refunding reported in the government-wide statement of net position. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. The City also reports deferred outflows of resources related to the net pension liability. A portion of these costs represent contributions to the plan subsequent to the plan measurement date.

Compensated Absences

It is the government's policy to permit employees to accumulate earned but unused vacation and compensatory time benefits, subject to certain limitations. Certain bargaining unit employees (i.e., firefighters) are also permitted to accumulate earned but unused sick leave. All vacation and compensatory time pay and 50 percent of sick leave are accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations or retirements. Liability accruals for vacation and compensatory time in the government-wide and proprietary fund financial statements are reported as current liabilities; the liability for sick leave in the governmental activities is allocated between current and long-term. The entire liability for the business-type activities and proprietary funds is current. The classifications between current and long-term are based on approximate recent historical usage.

Long-term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from actual debt proceeds, are reported as debt service expenditures.

Deferred Inflows of Resources

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to future periods and so will not be recognized as an inflow of resources until that time. The governmental funds report unavailable revenues, which arise only under the modified accrual basis of accounting, from three sources: assets held for resale, property taxes, and loans receivable. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. In addition, the City reports deferred inflows of resources for changes in expected and actual investment returns, assumptions, and benefits provided in its pension plans.

Fund Balances

Governmental funds report *nonspendable fund balance* for amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually require to be maintained intact. *Restricted fund balance* is reported when externally imposed constraints are placed on the use of the resources by grantors, contributors, or laws or regulations of other governments. The *committed fund balance* classification includes amounts that can be used only for the specific purposes determined by a formal action of the government's highest level of decision-making authority, the City Commission. The City Commission is the highest level of decision-making authority for the government that can authorize a resolution prior to the end of the fiscal year to commit fund balance. Once adopted, the limitation imposed by the resolution remains in place until a similar action is taken (the adoption of another resolution) to remove or revise the limitation. *Assigned fund balance* is reported for amounts that are constrained by the government's intent to be used for specific purposes, but are neither restricted nor committed. The City Commission has by resolution authorized City management to assign fund balance. Unassigned fund balance is the residual classification used only for the general fund and any deficits reported in other governmental funds.

When the government incurs expenditures for purposes for which various fund balance classifications can be used, it is the government's policy to use restricted fund balance first, then committed, assigned and finally unassigned fund balance.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position and additions to/deductions from the plan fiduciary net position have been determined on the same basis as they are reported by the plan. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

2. BUDGETARY INFORMATION

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the general and special revenue funds. Annual appropriations lapse at year-end, except for those approved by the City Commission for carry forward. The legal level of budgetary control is the fund level.

The City Commission requires the City Manager to submit an estimate of revenues and anticipated expenditures for the succeeding fiscal year in June. The City Manager is then authorized to assign and transfer budget amounts within each fund to the extent that the net total fund appropriation (which the City defines as gross authorized expenditures less related revenues that are specifically designated to fund those activities) is not exceeded. City Commission approval is required for any budgetary changes that result in an increase to net appropriations.

Formal budgetary integration is employed as a management control during the year. Supplemental appropriations were approved by the City Commission in the form of budget amendment resolutions or as part of special authorizing motions for grants, bonds or notes, the total of which was not significant in relation to the original budget appropriation valuations.

3. EXCESS OF EXPENDITURES OVER APPROPRIATIONS

State statutes provide that a local unit shall not incur expenditures in excess of the amount appropriated. The approved budgets of the City were adopted on a fund level basis, although budget and actual information in the fund financial statements have been presented at a level of detail greater than the level of legal budgetary control.

During the year ended June 30, 2016, the City incurred expenditures in excess of the amounts appropriated at the legal level of budgetary control as follows:

	Amended Budget	Actual	Over Budget
General fund:			
Public safety:			
Police department	$ 16,326,446	$ 16,331,732	$ 5,286
Fire department	9,436,391	9,508,301	71,910
Public works	2,492,767	2,571,981	79,214
Parks and recreation	3,181,072	3,301,833	120,761
Nonmajor governmental fund -			
Kellogg arena fund	1,124,500	1,233,426	108,926

4. DEPOSITS AND INVESTMENTS - POOLED CASH AND INVESTMENTS

Following is a reconciliation of deposit and investment balances, including both pooled cash and investments as well as pension and other employee benefits trust fund balances, as of June 30, 2016:

	Primary Government	Component Units	Total
Statement of net position			
Pooled cash and investments	$ 40,193,418	$ 21,928,512	$ 62,121,930
Statement of fiduciary net position			
Pooled cash and investments:			
Agency funds	170,875	-	170,875
Other employee benefits	1,210,164	-	1,210,164
Cash and cash equivalents - pension	6,811,306	-	6,811,306
Investments:			
Pension	124,865,562	-	124,865,562
Other employee benefits	4,054,536	-	4,054,536
Total	$ 177,305,861	$ 21,928,512	$ 199,234,373

Deposits and investments:	
Bank deposits (checking, savings and certificates of deposit)	$ 4,710,883
Portfolio cash - pension	6,811,306
Investments in securities, mutual funds and similar vehicles:	
Pool	58,777,466
Pension	124,865,562
Other employee benefits	4,054,536
Cash on hand	14,620
Total	$ 199,234,373

Custodial Credit Risk - Deposits. For deposits, custodial credit risk is the risk, that in the event of a bank failure, the City's deposits may not be returned to the government. As of June 30, 2016, $4,519,062 of the City's total bank balance of $5,273,297 (total book balance was $4,710,883) was exposed to custodial credit risk as it was uninsured and uncollateralized.

The City's investment policy does not specifically address this risk, although the City believes that due to the dollar amounts of cash deposits and the limits of FDIC insurance, it is impractical to insure all bank deposits. As a result, the City evaluates each financial institution with which it deposits City funds and assesses the level of risk of each institution; only those institutions with an acceptable estimated risk level are used as depositories.

Custodial Credit Risk – Investments. Following is a summary of the City's pooled investments as of June 30, 2016:

U.S. agencies	$ 47,333,315
Municipal bonds	5,055,000
Money market accounts	6,389,151
Total investments	$ 58,777,466

For investments, custodial credit risk is the risk that, in the event of the failure of the counterparty, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The City's investment policy requires that investment securities be held in third-party safekeeping by a designated institution and that the safekeeping agent follow the procedure of delivery vs. payment. As of June 30, 2016, none of the City's investments, excluding the money market accounts which are not subject to custodial credit risk, were exposed to risk since the securities are held in the City's name by the counterparty.

Credit Risk. As of June 30, 2016, all of the City's investments in securities of U.S. agencies were rated AA+ by Standard & Poor's. The City also held investments in money market accounts, which are not rated. The municipal bonds were rated AAA by Standard and Poor's. All of the City's investments comply with its policy regarding the types of investments it may hold.

Concentration of Credit Risk. At June 30, 2016, the investment portfolio was concentrated as follows:

	% of portfolio
U.S. agencies	
Federal Farm Credit Bank	27.6%
Federal National Mortgage Association	22.0%
Federal Home Loan Bank	19.4%
Federal Home Loan Mortgage Corporation	11.3%

The City's investment policy does not address concentration of credit risk.

Interest Rate Risk. As of June 30, 2016, maturities of the City's investments in the debt securities were as follows:

		Investment Maturities (fair value by years)		
	Fair Value	Less Than 1	1-5	6-10
U.S. agencies	$ 47,333,315	$ 2,554,715	$ 35,589,990	$ 9,188,610
Municipal bonds	5,055,000	-	-	5,055,000
	$ 52,388,315	$ 2,554,715	$ 35,589,990	$ 14,243,610

The City's investment policy does not address interest rate risk.

Fair Value. The City categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. These levels are determined by the City's investment manager, and are determined at the fund level based on a review of the investment's class, structure, and what kind of securities are held in the funds. The investment manager will request the information from the fund manager, if necessary.

The City's recurring fair value measurements as of June 30, 2016 were related to its investments in government agency funds, municipal bonds, and money market accounts. These investments are valued using significant other observable inputs of the underlying securities and bonds (Level 2 inputs).

5. DEPOSITS, INVESTMENTS AND SECURITIES LENDING - PENSION AND OPEB TRUST FUNDS

The deposits and investments of the Police and Fire Retirement System Trust Fund (the "System") and of the other employee benefits trust funds are maintained separately from the City's pooled cash and investments, and are subject to separate investment policies and state statutes. Accordingly, the required disclosures for these deposits and investments are presented separately.

Deposits - The System and the other employee benefits trust funds do not maintain any checking or other demand/time deposit accounts. Amounts reported as cash and cash equivalents in the statement of plan net position are composed entirely of short-term investments in money market accounts.

Investments - The Michigan Public Employees Retirement Systems' Investment Act, Public Act 314 of 1965, as amended, authorizes the System to invest in stocks, government and corporate securities, mortgages, real estate, and various other investment instruments, subject to certain limitations. The Retirement Board has the responsibility and authority to oversee the investment portfolio. Various professional investment managers are contracted to assist in managing the System's assets. All investment decisions are subject to Michigan law and the investment policy established by the Retirement Board.

Investments at fair value, as determined by quoted market price	
Fixed income:	
Corporate bonds	$ 29,600,568
Foreign bonds	2,954,088
Municipal bonds	995,316
U.S. Government securities	28,230,696
Equity-indexed	23,712,251
U.S. equities	22,768,208
Foreign equities	2,609,216
American depositary receipts	13,370,705
Real estate trusts	624,514
Total investments	$ 124,865,562

In addition to the above, the System and the other employee benefits trust funds had short-term investments of $6,811,306 held in money market funds and $1,210,164 included in the City's pooled cash and investments as of June 30, 2016. Also, the Retirement Health Funding Vehicle fund, one of the other employee benefits trust funds, had $4,054,536 held in a mutual fund at year-end.

Credit Risk. The System's investment policy provides that its investments in fixed income securities be limited to those rated BBB or better by a nationally recognized statistical rating organization. As of June 30, 2016, the System's investments in securities of U.S. agencies were not rated by Standard & Poor's. The System's investments in corporate bonds, foreign bonds, municipal bonds, and U.S. Government securities were rated by Standard & Poor's as follows:

	Rating
AAA	$ 4,568,404
AA	3,008,125
A	6,416,403
BBB	9,586,409
BB	237,300
B	49,800
Not rated	37,914,227
Totals	$ 61,780,668

Custodial Credit Risk. For investments, custodial credit risk is the risk that, in the event of the failure of the counterparty, the System will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The System's investment policy requires that investment securities be held in trust by a third-party institution in the System's name. As such, although uninsured and unregistered, the System's investments are not exposed to custodial credit risk since the securities are held by the counterparty's trust department in the System's name. Investments in money market and mutual funds are not subject to custodial credit risk.

Concentration of Credit Risk. The System's investments are not exposed to concentration of credit risk relative to a single issuer (i.e. company or government agency) inasmuch as no holdings equal or exceed 5% or more of total investments.

The System's investment policy requires that the securities of any one company or government agency should not exceed 10% of the total fund and no more than 25% of the total fund should be invested in any one industry.

Interest Rate Risk. As of June 30, 2016, maturities of the System's debt securities were as follows:

		Investment Maturities (fair value by years)			
	Fair Value	Less Than 1	1-5	6-10	More Than 10
Corporate bonds	$ 29,600,568	$ 314,145	$ 7,302,564	$ 6,917,683	$ 15,066,176
Foreign bonds	2,954,088	228,956	754,559	1,859,919	110,654
Municipal bonds	995,316	150,658	-	-	844,658
U.S Government securities	28,230,696	923	6,657,246	5,675,219	15,897,308
	$ 61,780,668	$ 694,682	$ 14,714,369	$ 14,452,821	$ 31,918,796

None of the above securities are callable.

The System's investment policy does not place limits on the maximum maturity for any single fixed income security or the weighted average for the portfolio maturity or a particular segment thereof.

Foreign Currency Risk. Foreign currency risk is the risk that significant fluctuations in exchange rates may adversely affect the fair value of an investment. The System has various investment holdings in international equities of $2,609,216, foreign bonds of $2,954,088, and American depository receipts of $13,370,705; these holdings are primarily in common and preferred stocks of Canadian (dollars) and European (euros) companies. The System does not have any policies regarding foreign currency risk.

Securities Lending. A contract approved by the System's Board permits the System to lend its securities to broker-dealers and banks (borrowers) for collateral that will be returned for the same securities in the future. The System's custodial bank manages the securities lending program and receives cash as collateral. The collateral securities cannot be pledged or sold by the System unless the borrower defaults. Collateral cash is initially pledged at 100 percent of the fair value of the securities lent, and may not fall below 100 percent during the term of the loan. There are no restrictions on the amount of securities that can be loaned. Securities on loan at year-end are classified in the preceding schedule of investments according to the category for the collateral received on the securities lent.

At year-end, the System has no credit risk exposure to borrowers because the amounts the System owes the borrowers exceed the amounts the borrowers owe the System. The contract with the System's custodian requires it to indemnify the System if the borrowers fail to return the securities (and if the collateral is inadequate to replace the securities lent) or fail to pay the System for income distributions by the securities' issuers while the securities are on loan.

Also at year-end, through a cash collateral investing program provided by the custodial bank, the System has an obligation to repay $131,239 of cash collateral that was invested in a Sigma Finance Medium Term Note, which is impaired. Any current or future recoveries from Sigma Finance are not expected.

Fair Value Measurements. The System categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The System had the following recurring fair value measurements as of June 30, 2016:

	Level 1	Level 2	Level 3	Total
Fixed income:				
Corporate bonds	$ 570,151	$ 29,030,417	$ -	$ 29,600,568
Foreign bonds	52,739	2,901,349	-	2,954,088
Municipal bonds	-	995,316	-	995,316
U.S. Government securities	-	28,230,696	-	28,230,696
Equity-indexed	23,712,251	-	-	23,712,251
U.S. equities	22,768,208	-	-	22,768,208
Foreign equities	2,609,216	-	-	2,609,216
American depositary receipts	13,370,705	-	-	13,370,705
Real estate trusts	624,514	-	-	624,514
	$ 63,707,784	$ 61,157,778	$ -	$ 124,865,562

The Retirement Health Funding Vehicle fund's recurring fair value measurements as of June 30, 2016 were related to its investments in mutual funds. These investments are valued using significant other observable inputs of the underlying securities and bonds (Level 2 inputs).

6. RECEIVABLES

Receivables in the governmental and business-type activities are as follows:

	Governmental Activities	Business-type Activities
Interest	$ 215,081	$ 36,103
Accounts	6,168,179	4,978,926
Allowance for uncollectible accounts	(1,042,296)	(686,133)
Special assessments	196,454	118,967
Grants	803,778	1,266,430
Loans	4,584,186	3,291,064
Loans, long-term portion	3,538,386	127,285
	$ 14,463,768	$ 9,132,642

7. CAPITAL ASSETS

Capital assets activity for the year ended June 30, 2016, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Governmental activities				
Capital assets not being depreciated:				
Land	$ 2,105,216	$ 17,115	$ -	$ 2,122,331
Construction in progress	5,507,305	120,508	(5,472,282)	155,531
	7,612,521	137,623	(5,472,282)	2,277,862
Capital assets being depreciated:				
Land improvements	22,732,466	2,816,616	-	25,549,082
Buildings	55,733,471	3,905,228	-	59,638,699
Vehicles	11,176,869	1,164,151	(410,346)	11,930,674
Equipment	26,142,116	562,668	(38,500)	26,666,284
Infrastructure	292,497,684	3,656,003	-	296,153,687
	408,282,606	12,104,666	(448,846)	419,938,426
Less accumulated depreciation for:				
Land improvements	(6,801,361)	(1,668,967)	-	(8,470,328)
Buildings	(26,631,205)	(1,812,802)	-	(28,444,007)
Vehicles	(9,063,052)	(759,583)	390,767	(9,431,868)
Equipment	(22,582,449)	(775,075)	38,500	(23,319,024)
Infrastructure	(114,148,239)	(5,886,513)	-	(120,034,752)
	(179,226,306)	(10,902,940)	429,267	(189,699,979)
Total capital assets being depreciated, net	229,056,300	1,201,726	(19,579)	230,238,447
Governmental activities capital assets, net	$ 236,668,821	$ 1,339,349	$ (5,491,861)	$ 232,516,309

Depreciation expense was charged to programs of the primary government as follows:

Governmental activities:	
General government	$ 271,042
Public safety	650,681
Public works, including depreciation of general infrastructure assets	7,747,443
Parks and recreation	1,361,057
Capital assets held by the government's internal service funds are charged to the various functions based on their usage of the assets	872,717
Total depreciation expense - governmental activities	$ 10,902,940

	Beginning Balance	Increases	Decreases	Ending Balance
Business-type activities				
Capital assets not being depreciated:				
Land	$ 3,452,863	$ -	$ -	$ 3,452,863
Construction in progress	5,408,415	3,213,167	(5,114)	8,616,468
	8,861,278	3,213,167	(5,114)	12,069,331
Capital assets being depreciated:				
Land improvements	6,408,359	171,798	-	6,580,157
Buildings	63,174,013	564,488	-	63,738,501
Vehicles	5,033,702	30,145	(28,868)	5,034,979
Equipment	15,177,878	76,787	(2,258)	15,252,407
Systems	189,166,941	3,872,762	(105,448)	192,934,255
	278,960,893	4,715,980	(136,574)	283,540,299
Less accumulated depreciation for:				
Land improvements	(4,509,964)	(133,251)	-	(4,643,215)
Buildings	(46,770,188)	(1,711,125)	-	(48,481,313)
Vehicles	(4,157,217)	(227,717)	28,868	(4,356,066)
Equipment	(14,044,369)	(277,112)	2,258	(14,319,223)
Systems	(118,680,658)	(5,247,127)	105,448	(123,822,337)
	(188,162,396)	(7,596,332)	136,574	(195,622,154)
Total capital assets being depreciated, net	90,798,497	(2,880,352)	-	87,918,145
Business-type activities capital assets, net	$ 99,659,775	$ 332,815	$ (5,114)	$ 99,987,476

Business-type activities:	
Wastewater	$ 4,151,488
Water	2,045,066
Public transit	336,696
Airport	664,015
Parking	268,379
Other	130,688
Total depreciation expense - business-type activities	$ 7,596,332

At June 30, 2016, the City's had outstanding commitments through a construction contract of approximately $9,000,000 for building, street and equipment improvements.

Activity for the TIFA for the year ended June 30, 2016, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Component unit - TIFA				
Capital assets not being depreciated:				
Land	$ 12,675,578	$ -	$ -	$ 12,675,578
Capital assets being depreciated:				
Land improvements	1,165,421	153,964	-	1,319,385
Buildings	315,845	-	-	315,845
Equipment	446,951	-	-	446,951
	1,928,217	153,964	-	2,082,181
Less accumulated depreciation for:				
Land improvements	(285,799)	(24,847)	-	(310,646)
Buildings	(239,334)	(14,894)	-	(254,228)
Equipment	(403,833)	(20,606)	-	(424,439)
	(928,966)	(60,347)	-	(989,313)
Total capital assets being depreciated, net	999,251	93,617	-	1,092,868
TIFA capital assets, net	$ 13,674,829	$ 93,617	$ -	$ 13,768,446

8. PAYABLES

Payables in the governmental and business-type activities are as follows:

	Governmental Activities	Business-type Activities
Accounts payable and accrued liabilities	$ 2,022,435	$ 2,038,279
Accrued payroll	2,062,340	-
Retentions, deposits and other liabilities	252,513	277,240
Accrued interest payable	-	60,884
Claims payable, current portion	2,432,447	-
Claims payable, long-term portion	2,085,053	-
Negative equity in pooled cash	(211,579)	-
	$ 8,643,209	$ 2,376,403

9. INTERFUND RECEIVABLES, PAYABLES AND TRANSFERS

At June 30, 2016, the following interfund balances were outstanding:

	Payable Funds			
Receivable Fund	Community Development Fund	Nonmajor Governmental Funds	Battle Creek Transit System Fund	Total
General fund	$ 137,404	$ 825,682	$ 238,688	$ 1,201,774

These balances result from negative cash balances in the respective funds with interfund payables, also to move charges for services from the general to nonmajor funds.

For the year ended June 30, 2016, interfund transfers consisted of the following:

	Transfers In			
Transfers Out	General Fund	Nonmajor Governmental Funds	Battle Creek Transit System	Nonmajor Enterprise Funds
General fund	$ -	$ 2,455,273	$ 938,230	$ -
Nonmajor governmental funds	97,131	1,544,426	-	9,036
Water and wastewater fund	-	65,849	-	-
Internal service funds	-	1,233,913	-	75,611
	$ 97,131	$ 5,299,461	$ 938,230	$ 84,647

	Transfers In	
Transfers Out	Internal Service Funds	Total
General fund	$ 234,155	3,627,658
Community development fund	2,535	2,535
Nonmajor governmental funds	4,051	1,654,644
Water and wastewater fund	330,144	395,993
Battle Creek Transit System fund	4,734	4,734
Nonmajor enterprise funds	21,205	21,205
Internal service funds	35,344	1,344,868
	$ 632,168	$ 7,051,637

Transfers are used to: (1) move revenues from the fund that is required to collect them to the fund that is required or allowed to expend them; (2) move receipts restricted to or allowed for debt service from the funds collecting the receipts to the debt service fund as debt service payments become due; and (3) use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

The more significant of these transfers are from the general fund to the nonmajor governmental funds for various projects, initiatives and debt service.

10. LONG-TERM DEBT

Primary Government

General obligation bonds. The government issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds have been issued for both governmental and business-type activities.

General obligation bonds are direct obligations and pledge the full faith and credit of the government. These bonds are issued as 5 to 20 year serial bonds with varying amounts of principal maturing each year. General obligation bonds currently outstanding are as follows:

	Year of Maturity	Interest Rates	Original Amount	Amount
Governmental activities				
2008 building authority refunding	2023	3.000% - 4.125%	$ 8,605,000	$ 3,625,000
2009 building authority - golf course refunding	2026	3.000% - 4.200%	2,240,000	1,930,000
2011 building authority limited tax refunding	2026	3.000% - 4.125%	6,725,000	5,385,000
2013 capital improvement	2018	2.000% - 5.000%	15,370,000	1,225,000
2016 capital improvement - refunding	2033	2.500% - 4.000%	12,605,000	12,605,000
Total governmental activities				$ 24,770,000
Discretely presented component units				
2009 tax increment - airport	2029	3.000% - 4.300%	$ 3,935,000	$ 2,850,000
2010 tax increment - airport hangar	2030	2.000% - 4.750%	3,585,000	2,480,000
Total component units				$ 5,330,000

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ended June 30,	Governmental Activities Principal	Governmental Activities Interest	Component Units Principal	Component Units Interest
2017	$ 1,785,000	$ 977,925	$ 380,000	$ 208,890
2018	1,855,000	851,033	395,000	196,903
2019	1,985,000	774,758	410,000	183,787
2020	2,080,000	699,183	325,000	169,316
2021	2,170,000	616,709	340,000	156,986
2022-2026	8,525,000	1,893,141	1,910,000	570,495
2027-2031	4,395,000	766,569	1,570,000	144,314
2032-2033	1,975,000	93,125	-	-
	$ 24,770,000	$ 6,672,443	$ 5,330,000	$ 1,630,691

Refunded Debt

During fiscal year 2016, the City issued $12,605,000 of refunding bonds to partially advance refund $12,280,000 of the 2013 capital improvement bonds to provide resources to purchase U.S. government securities that were placed in an irrevocable trust to generate resources for all future debt service payments. As a result, the refunded bonds are considered to be defeased and the liability has been removed from the governmental activities. The refunding resulted in a savings of $1,544,514 and an economic gain of $1,250,372.

Revenue bonds. The City issues revenue bonds where the income derived from the acquired or constructed assets is pledged to pay debt service. Revenue bonds currently outstanding are as follows:

	Year of Maturity	Interest Rates	Original Amount	Amount
Business-type activities				
2011 water and wastewater system refunding	2022	3.000% - 4.000%	$ 6,045,000	$ 3,905,000
2013 water and wastewater system refunding	2017	0.940%	4,385,000	1,476,000
Total business-type activities				$ 5,381,000
Discretely presented component units				
2008 downtown development refunding	2022	5.000%	$ 40,765,000	$ 29,355,000
2013 downtown development refunding	2025	5.000%	3,675,000	3,675,000
Total component units				$ 33,030,000

Revenue bond debt service requirements to maturity are as follows:

Year Ended June 30,	Business-type Activities Principal	Business-type Activities Interest	Component Units Principal	Component Units Interest
2017	$ 2,066,000	$ 148,162	$ 4,245,000	$ 1,651,500
2018	610,000	117,225	4,485,000	1,439,250
2019	635,000	93,913	4,740,000	1,215,000
2020	660,000	69,600	5,005,000	978,000
2021	690,000	42,600	5,290,000	727,750
2022-2025	720,000	14,400	9,265,000	836,750
	$ 5,381,000	$ 485,900	$ 33,030,000	$ 6,848,250

The City has pledged future water and wastewater customer revenues, net of specified operating expenses, to repay $6,045,000 and $4,385,000 in water and wastewater system revenue bonds issued in June 2011 and July 2013, respectively. Proceeds from the bonds provided financing for various water main and sewer projects. The bonds are payable solely from water and wastewater customer net revenues and are payable through 2022. Annual principal and interest payments on the bonds are expected to require less than 22% of net revenues. The total principal and interest remaining to be paid on the bonds is $5,866,900. Principal and interest paid for the current year and total customer net revenues were $2,210,990 and $10,169,130, respectively.

Installment obligations. The government has entered into various long-term installment payment agreements.

	Year of Maturity	Interest Rates	Original Amount	Amount
Governmental activities				
2007 energy savings equipment contract #1	2023	4.660%	$ 3,708,005	$ 1,937,702
2008 energy savings equipment contract #2	2023	4.560%	280,000	144,760
2008 energy savings equipment contract #3	2022	4.210%	90,420	47,255
2016 city hall copiers	2021	5.280%	56,579	54,090
Total governmental activities				$ 2,183,807

Annual debt service requirements to maturity for installment obligations are as follows:

Year Ended June 30,	Governmental Activities Principal	Governmental Activities Interest
2017	$ 298,025	$ 98,195
2018	312,095	84,124
2019	326,833	69,387
2020	342,266	53,954
2021	355,190	37,805
2022-2023	549,398	24,258
	$ 2,183,807	$ 367,723

Capital leases. The government entered into various lease agreements for airport snow removal equipment. The City did not enter into any new capital leases during the year. The cost of the assets acquired was $876,442 and the accumulated amortization was $796,037 at June 30, 2016.

	Year of Maturity	Interest Rates	Original Amount	Amount
Business-type activities				
2008 snow blower	2017	4.51%	$ 536,032	$ 64,124
2009 runway snowplow	2019	5.39%	340,410	121,449
Total business-type activities			$ 876,442	$ 185,573

Annual debt service requirements to maturity for the capital leases are as follows:

Year Ended June 30,	Business-type Activities Principal	Business-type Activities Interest
2017	$ 102,500	$ 9,493
2018	40,446	4,478
2019	42,627	2,298
	$ 185,573	$ 16,269

Loans payable. The TIFA (a discretely presented component unit) has borrowed from the Michigan Economic Development Corporation (MEDC) to fund certain economic development activities in the Fort Custer Industrial Park.

During the year ended June 30, 2008, the Brownfield Redevelopment Authority entered a loan with the Battle Creek Tax Increment Finance Authority (a component unit of the City of Battle Creek) to borrow up to $3,530,000 for use with a particular brownfield project. As of June 30, 2016, the Brownfield Redevelopment Authority had drawn a total of $2,560,708 on the authorized amount (no amount was drawn during the current year). During the year ended June 30, 2010, another loan was made between the two component units in the total amount of $5,500,000 to be used in accordance with another particular brownfield plan. As of June 30, 2016, a total of $2,457,283 had been drawn on the authorized amount.

Since repayment between the two component units is based on the future collection of incremental tax revenues, the loans are reported as a long-term liability by the Brownfield and a noncurrent receivable by the TIFA. The repayment obligations include interest at 5% per annum.

Loans outstanding at year-end are as follows:

	Year of Maturity	Interest Rates	Original Amount	Amount
Discretely presented component units				
Core communities loan	2017	6.000%	$ 989,670	$ 51,336
Brownfield redevelopment loans	n/a	5.000%	n/a	3,699,160
Total component units				$ 3,750,496

Annual debt service requirements to maturity for the MEDC loans are as follows:

	Component Units	
Year Ended June 30,	Principal	Interest
2017	$ 51,336	$ 1,158

Changes in long-term debt. Long-term debt activity for fiscal 2016 was as follows:

	Beginning Balance	Additions	Deductions	Ending Balance	Due Within One Year
Primary government					
Governmental activities					
General obligation bonds	$ 26,710,000	$ 12,605,000	$ (14,545,000)	$ 24,770,000	$ 1,785,000
Installment contracts	2,404,545	56,579	(277,317)	2,183,807	298,025
Compensated absences	2,856,960	1,355,282	(1,404,081)	2,808,161	1,467,736
Deferred amounts:					
For issuance premiums	518,709	917,700	(402,566)	1,033,843	70,994
For issuance discounts	(19,908)	(104,875)	8,657	(116,126)	(8,657)
Total governmental activities debt	$ 32,470,306	$ 14,829,686	$ (16,620,307)	$ 30,679,685	$ 3,613,098
Business-type activities					
Revenue bonds	$ 7,407,000	$ -	$ (2,026,000)	$ 5,381,000	$ 2,066,000
Capital leases	323,650	-	(138,077)	185,573	102,500
Compensated absences	518,004	513,595	(502,574)	529,025	529,025
Deferred amounts -					
For issuance premiums	243,827	-	(79,754)	164,073	27,346
Total business-type activities debt	$ 8,492,481	$ 513,595	$ (2,746,405)	$ 6,259,671	$ 2,724,871
Component units					
DDA					
Revenue bonds	$ 35,895,000	$ -	$ (2,865,000)	$ 33,030,000	$ 4,245,000
Deferred amounts -					
For issuance premiums	994,447	-	(142,063)	852,384	142,064
Total DDA debt	$ 36,889,447	$ -	$ (3,007,063)	$ 33,882,384	$ 4,387,064
TIFA					
General obligation bonds	$ 5,700,000	$ -	$ (370,000)	$ 5,330,000	$ 380,000
Revenue bonds	545,000	-	(545,000)	-	-
Loans payable	149,535	-	(98,199)	51,336	51,336
Deferred amounts -					
For issuance discounts	(11,753)	-	796	(10,957)	(796)
Total TIFA debt	$ 6,382,782	$ -	$ (1,012,403)	$ 5,370,379	$ 430,540
Brownfield					
Loans payable	$ 3,545,390	$ 153,770	$ -	$ 3,699,160	$ -

For the governmental activities, compensated absences, net pension obligations and net other postemployment benefits obligations are generally liquidated by the general fund.

11. SEGMENT INFORMATION - ENTERPRISE FUNDS

The government issued revenue bonds to finance certain improvements to its water and wastewater system. Because the water and wastewater fund, an individual fund that accounts entirely for the government's water and wastewater activities, is a segment and is reported as a major fund in the fund financial statements, segment disclosures herein are not required.

12. ENDOWMENTS

Youth Center Endowment Permanent Trust Fund. For the year ended June 30, 2016, the net appreciation on investments of donor-restricted endowments was $5,612. Under the terms of the endowment, and consistent with State statutes, the City is authorized based on a total-return policy to spend the net appreciation for the benefit of the youth center. At year-end, accumulated available net appreciation of $14,527 is reported in restricted fund balance/net position; the nonexpendable endowment balance is $256,376.

Kellogg Arena Endowment Permanent Trust Fund. For the year ended June 30, 2016, the net appreciation on investments of donor-restricted endowments was $15,794. Under the terms of the endowment, and consistent with State statutes, the City is authorized based on a total-return policy to spend the net appreciation for the benefit of the Kellogg Arena. At year-end, accumulated available net appreciation of $75,759 is reported in restricted fund balance/net position; the nonexpendable endowment balance is $623,533.

13. RISK MANAGEMENT

The City is exposed to various risks of loss related to property loss, torts, errors and omissions, and employee injuries, as well as medical, dental and death benefits provided to employees. The City has purchased commercial insurance for employee dental and life coverages, certain property and inland marine exposures, airport liability, liquor liability, and emergency medical treatment. The City's workers' compensation exposure is handled on a self-funded basis using a third-party administrator, with excess insurance for claims greater than a self-insured retention (SIR) of $650,000 per occurrence. As of July 1, 1986, the City's general and related liability insurance was allowed to expire; any occurrences prior to that date may be covered by liability policies previously in effect. The City now self-administers general liability and related exposures, utilizing excess liability insurance for losses greater than a SIR of $1 million per occurrence and $2.5 million in the aggregate, annually. The limits of the excess liability insurance have been as follows: $15 million per occurrence effective September 1, 1999; $5 million per occurrence effective October 1, 2002; then $9 million per occurrence effective November 14, 2003.

Settled claims related to commercial insurance have not exceeded the amount of insurance coverage in any of the past three fiscal years.

Effective October 1, 2003, the City converted from a premium-based policy for employee medical coverage to a self-funded plan, with specific stop-loss insurance that limits claim expense to $50,000 per contract (i.e., employee and dependents), annually. Aggregate stop-loss insurance limits annual losses to 120 percent of expected claims.

The City estimates its self-insured liability for workers' compensation, medical and comprehensive general liability claims that have been incurred through the end of the fiscal year, including both those claims that have been reported as well as those that have not yet been reported. These estimates are prepared by the City's Risk Management Department and recorded in the self-insurance internal service fund. Changes in the estimated liability for the fiscal years ended June 30 were as follows:

	2016	2015
Estimated liability, beginning of year	$ 4,681,587	$ 4,034,593
Estimated claims incurred, including changes in estimates	8,200,417	7,317,287
Claim payments	(8,364,504)	(6,670,293)
Estimated liability, end of year	$ 4,517,500	$ 4,681,587

14. PROPERTY TAXES

The government's property taxes are levied each July 1 on the taxable valuation of property located in the City as of the preceding December 31, the lien date. Property taxes are payable without penalty and interest through August 20; as of March 1 of the succeeding year, unpaid real property taxes are sold to and collected by Calhoun County. Assessed values, as established annually by the government and subject to acceptance by the County, are equalized by the State at an estimated 50% of current market value. The taxable value of real and personal property in the City for the 2015 levy, including industrial facilities and neighborhood enterprise zone properties, but net of renaissance zones, was $1,480,506,262. The government's general operating tax rate for fiscal 2015-16 was 10.240 mills with an additional 4.496 mills for police and fire pension.

Property taxes for the DDA, LDDA, TIFA and BRA are derived from tax increment financing agreements with the various applicable taxing authorities. Under these arrangements, the tax increment finance entities receive the property taxes levied on the increment of current taxable values over the base year values on those properties located within the established tax increment financing district.

Property taxes are recognized in the fiscal year in which they are levied.

15. CONTINGENT LIABILITIES

Amounts received or receivable from grantor agencies are subject to audit and potential adjustment by grantor agencies, principally the federal government. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantor cannot be determined at this time although the government expects such amounts, if any, to be immaterial.

The government is a defendant in various lawsuits. Although the outcome of these lawsuits is not presently determinable, it is the opinion of the government's counsel that resolution of these matters will not have a material adverse effect on the financial condition of the government.

The City is currently involved in various tax appeals pending before the Michigan Tax Tribunal. The appeals cover various commercial and industrial properties for 2016. Due to the large number of appeals currently before the Tribunal, the time frame for resolution of these matters is unknown at this time. The City has an estimated maximum exposure of approximately $1.31 million in taxable value. The City is vigorously defending all litigation.

16. DEFINED BENEFIT PENSION PLANS

Police and Fire Retirement System

The Police and Fire Retirement System (the "System") is a single-employer defined benefit pension plan that provides retirement, health, disability and death benefits to all full-time police and fire personnel of the City, subject to the limitations on health care benefits described in Note 17. The System is administered by the Retirement Board of the Police and Fire Retirement System. The System issues a publicly available financial report that includes financial statements and required supplementary information. That report may be obtained by writing to the System at 10 North Division Street, Battle Creek, MI 49014 or is available on the City's website: *www.battlecreekmi.gov.*

The financial statements of the System are prepared using the accrual basis of accounting. System member contributions are recognized in the period in which the contributions are due. The City's contributions are recognized when due and a formal commitment to provide the contributions has been made. Benefits and refunds are recognized when due and payable in accordance with the terms of the plans.

System investments are reported at fair value. Short-term investments are reported at cost, which approximates fair value. Securities traded on national or international exchanges are valued at the last reported sales price at current exchange rates. Investments for which market quotations are not readily available are valued at their fair values as determined by the custodian under the direction of the Retirement Board, with the assistance of a valuation service. Administrative costs are financed through investment earnings.

Plan Membership. At June 30, 2015 plan membership consisted of the following:

Retirees and beneficiaries currently receiving benefits	252
Terminated employees entitled to but not yet receiving benefits	9
Vested and non-vested active participants	188
Total membership	449

Benefits Provided. The System provides retirement, disability, and death benefits. Retirement benefits for police and fire members are generally calculated as 3.00% of the member's final three or five-year average salary (depending on the group) times the member's years of service up to a maximum of 25 years, plus an additional 1.00% of final average compensation times the number of years of service in excess of 25 years. Retirement benefits cannot exceed 80% of final average compensation. Members with 25 years of service or who are age 60 are eligible to retire and receive benefits.

Contributions. Plan members are required to contribute between 7.50% and 10.00% of their annual covered salary to the System for pension benefits, depending on bargaining unit. The City contributes such additional amounts as necessary, based on actuarial determinations, to provide assets sufficient to pay for member benefits. The City's pension contribution for the year ended June 30, 2016 represented 33.16% of the annual covered payroll.

Rate of Return. For the year ended June 30, 2016, the annual money-weighted rate of return on plan investments, net of investment expenses, was 15.82 percent. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Net Pension Liability of the City. The City's net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2015 (rolled forward to June 30, 2016). The components of the net pension liability of the City were as follows:

Total pension liability	$ 175,665,481
Plan fiduciary net position	(132,048,992)
City's net pension liability	$ 43,616,489
Plan fiduciary net position as percentage of total pension liability	75.17%

Actuarial Assumptions. The total pension liability was determined by an actuarial valuation as of June 30, 2015, using the following actuarial assumptions, applied to all periods included in the measurement:

Wage inflation	4.25%
Salary increases	4.75 to 16.25%, including inflation
Investment rate of return	6.75%
Retirement age	Age and service-based tables of rates that are specific to the type of eligibility condition. Last updated for the 2009 valuation.

RP-2014 Standard Mortality Tables projected to 2019 using the MP-2014 mortality improvement scale.

The actuarial assumptions used in the June 30, 2015 valuation were based on the results of an actuarial experience study for the period July 1, 2009 to June 30, 2014.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2016 (see the discussion of the System's investment allocation policy) are summarized in the following table:

Asset Class	Target Allocation	Long-term Expected Real Rate of Return	Expected Money-Weighted Rate of Return
U.S. treasuries	0.00%	0.75%	0.00%
U.S. agencies	47.00%	0.75%	0.35%
Domestic corporate securities	30.00%	5.25%	1.58%
Domestic equities	8.00%	5.60%	0.46%
American depository receipts	3.00%	5.25%	0.17%
International equities	12.00%	5.25%	0.64%
Real estate investment trusts	0.00%	0.75%	0.00%
	100.00%		
Inflation			2.25%
Administrative expenses netted above			1.30%
Investment rate of return			6.75%

Discount Rate. The discount rate used to measure the total pension liability was 6.75%. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate and that City contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the net pension liability to changes in the discount rate. The following presents the net pension liability of the City, calculated using the discount rate of 6.75% percent, as well as what the City's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75%) or 1-percentage-point higher (7.75%) than the current rate:

	1% Decrease (5.75%)	Current Discount (6.75%)	1% Increase (7.75%)
City's net pension liability	$ 65,180,019	$ 43,616,489	$ 25,645,014

Changes in the net pension liability. The components of the change in the net pension liability are summarized as follows:

	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a) - (b)
Balances at June 30, 2015	$ 164,569,757	$ 133,850,433	$ 30,719,324
Changes for the year:			
Service cost	3,649,198	-	3,649,198
Interest on total pension liability	11,317,045	-	11,317,045
Benefit changes	704,651	-	704,651
Differences between expected and actual experience	(119,463)	-	(119,463)
Assumption changes	4,988,871	-	4,988,871
Employer contributions	-	4,664,957	(4,664,957)
Employee contributions	-	1,077,632	(1,077,632)
Net investment income	-	2,617,277	(2,617,277)
Benefit payments	(9,444,578)	(9,444,578)	-
Administrative expense	-	(216,729)	216,729
Other	-	(500,000)	500,000
Net changes	11,095,724	(1,801,441)	12,897,165
Balances at June 30, 2016	$ 175,665,481	$ 132,048,992	$ 43,616,489

Changes in Assumptions. The City revised certain actuarial assumptions in the June 30, 2015 valuation that had a significant impact on the total pension liability from the prior measurement date. The most significant change was a decrease in the expected investment rate of return from 7.00% to 6.75%.

Pension Plan Fiduciary Net Position. Detailed information about the pension plan's fiduciary net position is available in the combining statements for the pension which are presented in footnote 18.

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions. For the year ended June 30, 2016, the City recognized pension expense of $6,008,917. At June 30, 2016, the City reported pension-related deferred outflows of resources and deferred inflows of resources from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources	Net Deferred Outflows of Resources
Difference between expected and actual experience	$ 1,203,080	$ 92,593	$ 1,110,487
Changes in assumptions	6,502,742	-	6,502,742
Net difference between projected and actual earnings on pension plan investments	8,086,684	-	8,086,684
Total	$ 15,792,506	$ 92,593	$ 15,699,913

Amounts reported as pension-related deferred outflows of resources and deferred inflows of resources will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2017	$ 4,684,059
2018	4,684,059
2019	4,502,740
2020	1,829,055
Total	$ 15,699,913

Payable to the Pension Plan. At June 30, 2016, the City reported $97,131 payable to the police and fire pension plan.

Municipal Employees Retirement System of Michigan

Plan Description. The City participates in the Municipal Employees' Retirement System (MERS) of Michigan, a defined benefit pension plan providing certain retirement, disability and death benefits to plan members and beneficiaries. MERS is an agent multiple-employer, statewide public employee pension plan established by the Michigan Legislature under Public Act 135 of 1945 and administered by a nine member Retirement Board. Public Act 427 of 1984, as amended, establishes and amends the benefit provisions of the participants in MERS. MERS issues a publicly available financial report that includes financial statements and required supplementary information. This report may be obtained accessing the MERS website at *www.mersofmich.com.*

Benefits Provided. Pension benefits vary by division/bargaining unit and are calculated based on final average compensation (based on a 3 or 5 year period) and multipliers ranging from 1.25% to 2.50%. Participants are considered to be fully vested in the plan after 6 to 10 years, depending on division/bargaining unit. Normal retirement age is 60 with early retirement at age 50 with 25 years of service, age 55 with 15 years of service, or age 55 with 25 years of service, depending on division/bargaining unit.

Contributions. The City is required to contribute amounts at least equal to the actuarially determined rate, as established by the MERS Retirement Board. The actuarially determined rate is the estimated amount necessary to finance the cost of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Employer contributions range from 0.00% to 121.87% of annual payroll, or annual amounts ranging from $0 to $59,354 annually depending on division/bargaining unit.

Net Pension Liability. The City's net pension liability was measured as of December 31, 2015, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The components of the net pension liability of the City were as follows:

Total pension liability	$ 138,929,728
Plan fiduciary net position	77,520,134
City's net pension liability	$ 61,409,594
Plan fiduciary net position as percentage of total pension liability	55.80%

Actuarial Assumptions. The total pension liability in the December 31, 2015 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5%
Salary increases	3.75% in the long-term
Investment rate of return	8.25%, net of investment and administrative expense including inflation

Although no specific price inflation assumptions are needed for the valuation, the 2.5% long-term wage inflation assumption would be consistent with a price inflation of 3%-4%.

Mortality rates used were based on the RP-2014 Group Annuity Mortality Table of a 50% Male and 50% Female blend.

The actuarial assumptions used in valuation were based on the results of the most recent actuarial experience study of 2009-2013.

Employees Covered by Benefit Terms. At December 31, 2015, plan membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits	388
Inactive employees entitled to but not yet receiving benefits	44
Active employees	335
Total membership	767

The long-term expected rate of return on pension plan investments was determined using a model method in which the best-estimate ranges of expected future real rates of return (expected returns, net of investment and administrative expenses and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Long-term Expected Real Rate of Return	Expected Money-Weighted Rate of Return
Global equity	57.5%	5.02%	2.88%
Global fixed income	20.0%	2.18%	0.44%
Real assets	12.5%	4.23%	0.53%
Diversifying strategies	10.0%	6.56%	0.65%
	100.0%		
Inflation			3.50%
Administrative expenses netted above			0.25%
Investment rate of return			8.25%

Discount Rate. The discount rate used to measure the total pension liability is 8.25% for 2015. The projection of cash flows used to determine the discount rate assumes that employer and employee contributions will be made at the rates agreed upon for employees and the actuarially determined rates for employers. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to pay all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Changes in Net Pension Liability

The components of the change in the net pension liability are summarized as follows:

	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a) - (b)
Balances at December 31, 2014	$ 129,613,024	$ 83,406,765	$ 46,206,259
Changes for the year:			
Service cost	1,843,040	-	1,843,040
Interest	10,393,511	-	10,393,511
Changes in benefits	(11,965)	-	(11,965)
Differences between expected and actual experience	(626,575)	-	(626,575)
Changes in assumptions	6,823,847	-	6,823,847
Employer contributions	-	4,104,291	(4,104,291)
Employee contributions	-	495,986	(495,986)
Net investment income (loss)	-	(1,203,250)	1,203,250
Benefit payments, including refunds of employee contributions	(9,105,154)	(9,105,154)	-
Administrative expense	-	(178,504)	178,504
Net changes	9,316,704	(5,886,631)	15,203,335
Balances at December 31, 2015	$ 138,929,728	$ 77,520,134	$ 61,409,594

Sensitivity of the Net Pension Liability to Changes in the Discount Rate. The following presents the net pension liability of the City, calculated using the discount rate of 8.25%, as well as what the City's net pension liability would be if it were calculated using a discount rate that is 1% lower (7.25%) or 1% higher (9.25%) than the current rate:

1% Decrease (7.25%)	Current Discount Rate (8.25%)	1% Increase (9.25%)
$ 75,548,216	$ 61,409,594	$ 49,310,464

Pension Plan Fiduciary Net Position. Detailed information about the pension plan's fiduciary net position is available in the separately issued Plan financial statements.

Pension Expense and Deferred Outflows of Resources Related to Pensions

For the year ended June 30, 2016, the City recognized pension expense of $8,647,067. The City reported deferred outflows and inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources	Net Deferred Outflows of Resources
Difference between expected and actual experience	$ -	$ 469,931	$ (469,931)
Changes in assumptions	5,117,885	-	5,117,885
Net difference between projected and actual earnings on pension plan investments	7,213,762	-	7,213,762
	12,331,647	469,931	11,861,716
Contributions subsequent to the measurement date	2,043,566	-	2,043,566
Total	$ 14,375,213	$ 469,931	$ 13,905,282

The amount reported as deferred outflows of resources resulting from contributions subsequent to the measurement date will be recognized as a reduction in the net pension liability for the year ending June 30, 2017. Other amounts reported as deferred outflows and inflows of resources related to the pension will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2017	$ 3,427,830
2018	3,427,830
2019	3,427,832
2020	1,578,224
Total	$ 11,861,716

17. POSTEMPLOYMENT BENEFITS

The City provides health care benefits under a single-employer plan to certain full-time employees upon retirement, in accordance with labor agreements and/or the City Administrative Code, or in the case of police and fire personnel according to City Commission resolution. The City includes pre-Medicare retirees and their dependents in its insured health care plan, with contributions required in varying amounts. The City purchases Medicare supplemental insurance for retirees eligible for Medicare.

For police and fire employees, the obligation for police and fire personnel retiree health care, prior to fiscal 2007, was entirely advance-funded through the Police and Fire Retirement System (the "System"). Beginning in fiscal 2007, following negotiations and arbitration, the System became responsible for only the first $512,795 of health care costs of the then current retirees. Police and fire personnel retiring on or after July 1, 2007 receive their health care benefits through either the Retirement Health Funding Vehicle (RHFV) or Fire Retiree Health Care trust fund, which are employee contributory plans (that are presented as other employee benefit trust funds herein; these two trust funds constitute the financial statements for the City's postemployment benefits plan). The System does not issue a separate financial report.

For all other eligible City employees, the City contributes a maximum of $200 per month towards the purchase of retiree health care.

The Systems' financial statements are prepared using the accrual basis of accounting. System contributions are recognized in the period in which the contributions are due and the employer has made a formal commitment to provide the contribution. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan.

Plan investments are reported at fair value. Short-term investments are reported at cost, which approximates fair value. Securities traded on national or international exchanges are valued at the last reported sales price at current exchange rates. Investments that do not have established market values are reported at estimated fair values as determined by the custodian under the direction of the Retirement Board with the assistance of a valuation service. Administrative costs are financed through investment earnings. The RHFV portion of the plan utilizes a retirement health funding vehicle trust established with the Municipal Employees Retirement System of Michigan to invest plan assets.

Plan membership consisted of 303 retirees currently receiving benefits and 497 active members (for a total of 800) as of June 30, 2015, the date of the latest actuarial valuation.

The City has no obligation to make contributions in advance of when the insurance premiums or benefits are due for payment; in other words, the plan may be financed on a pay-as-you-go basis. Administrative costs of the plan are paid for by the City's general fund. Certain plan participants are required to contribute to the plan ranging from 2% to 3% of annual pay. For the year ended June 30, 2016, $1,383,466 was contributed towards the cost of benefits and funding the plan. See below for summary:

Fund	Employee	Employer	Total
Retirement health funding vehicle	$ -	$ 357,853	$ 357,853
Fire retiree health care	218,276	250,000	468,276
Police and fire pension fund	-	500,000	500,000
Internal service - self-insurance fund	-	57,337	57,337
	$ 218,276	$ 1,165,190	$ 1,383,466

Funding Progress. For the year ended June 30, 2016, the City estimated the cost of providing retiree healthcare benefits through an actuarial valuation as of June 30, 2015. Such valuation computes the annual required contribution (ARC) that represents a level of funding, that if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed 30 years. The current combined ARC is 12.37% of annual covered payroll.

Annual OPEB Cost and Net OPEB Obligation. For fiscal year 2016, the components of the City's annual OPEB (other postemployment benefit) cost for the year, the amount actually contributed to the plan (including pay-as-you-go amounts), and changes in the City's net OPEB obligation to the plan are as follows:

Annual required contribution	$ 3,657,444
Interest on net OPEB obligation	478,447
Adjustment to annual required contribution	(398,706)
Annual OPEB cost	3,737,185
Contributions made	(1,383,466)
Increase in net OPEB obligation	2,353,719
Net OPEB obligation, beginning of year	9,568,940
Net OPEB obligation, end of year	$ 11,922,659

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2016 and the two preceding years were as follows:

Year Ended	Annual OPEB Cost	Percentage of OPEB Cost Contributed	Net OPEB Obligation
6/30/2014	$ 2,476,958	70.8%	$ 9,312,938
6/30/2015	2,572,552	90.0%	9,568,940
6/30/2016	3,737,185	37.0%	11,922,659

The funded status of the plan as of June 30, 2015, the date of the latest actuarial valuation, was as follow:

Actuarial accrued liability (AAL)	$ 57,194,872
Actuarial value of assets	5,086,500
Unfunded AAL (UAAL)	$ 52,108,372
Funded ratio	8.9%
Covered payroll	$ 29,578,633
UAAL as % of covered payroll	176.2%

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared to past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multiyear trend information that shows whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

Significant methods and assumptions were as follows:

Actuarial valuation date	June 30, 2015
Actuarial cost method	Individual entry age
Amortization method	Level percent closed
Remaining amortization period	24 years closed
Asset valuation method	Market value
Actuarial assumptions:	
Investment rate of return	5.0%
Projected salary increases	4.25%-17.3%
Inflation rate	4.25%
Healthcare inflation rate	9% (2016), grading to 4.25% (2025)

18. FINANCIAL STATEMENTS FOR INDIVIDUAL PENSION AND OTHER POSTEMPLOYMENT BENEFIT FUNDS

	Pension	Other Employee Benefits		
	Police and Fire Retirement System	Retirement Health Funding Vehicle	Fire Retiree Health Care	Total
Assets				
Pooled cash and investments	$ -	$ 67	$ 1,210,097	$ 1,210,164
Cash and cash equivalents	6,811,306	-	-	6,811,306
Investments:				
Fixed income:				
Corporate bonds	29,600,568	-	-	29,600,568
Foreign bonds	2,954,088	-	-	2,954,088
Municipal bonds	995,316	-	-	995,316
U.S. Government securities	28,230,696	-	-	28,230,696
Equity-indexed	23,712,251	-	-	23,712,251
U.S. equities	22,768,208	-	-	22,768,208
Foreign equities	2,609,216	-	-	2,609,216
American depositary receipts	13,370,705	-	-	13,370,705
Real estate trusts	624,514	-	-	624,514
Mutual funds	-	4,054,536	-	4,054,536
Interest receivable	406,232	-	2,124	408,356
Pension contributions receivable	97,131	-	-	97,131
Total assets	132,180,231	4,054,603	1,212,221	137,447,055
Liabilities				
Obligation for impaired investment of securities lending collateral	131,239	-	-	131,239
Net position				
Restricted for pension and postemployment healthcare benefits	$ 132,048,992	$ 4,054,603	$ 1,212,221	$ 137,315,816

	Pension	Other Employee Benefits		
	Police and Fire Retirement System	Retirement Health Funding Vehicle	Fire Retiree Health Care	Total
Additions				
Investment income:				
From investing activities:				
Net appreciation in fair value of investments	$ 215,513	$ -	$ -	$ 215,513
Investment earnings and dividends	2,841,493	41,386	28,542	2,911,421
Less investment expenses	(445,606)	-	-	(445,606)
Net income from investing activities	2,611,400	41,386	28,542	2,681,328
From securities lending activities:				
Gross earnings	17,159	-	-	17,159
Borrower rebates	(23,455)	-	-	(23,455)
Securities lending fees	12,173	-	-	12,173
Net loss from securities lending activities	5,877	-	-	5,877
Total net investment income	2,617,277	41,386	28,542	2,687,205
Contributions:				
Employer	4,664,957	357,853	250,000	5,272,810
Employees	1,077,632	-	218,276	1,295,908
Total contributions	5,742,589	357,853	468,276	6,568,718
Total additions	8,359,866	399,239	496,818	9,255,923
Deductions				
Pension benefit payments	9,441,511	-	-	9,441,511
Contribution refunds	3,067	-	-	3,067
Medical insurance premiums/benefits	500,000	148,444	557,752	1,206,196
Administrative expenses	216,729	9,602	-	226,331
Total deductions	10,161,307	158,046	557,752	10,877,105
Net change to net position	(1,801,441)	241,193	(60,934)	(1,621,182)
Net position:				
Beginning of year	133,850,433	3,813,410	1,273,155	138,936,998
End of year	$ 132,048,992	$ 4,054,603	$ 1,212,221	$ 137,315,816

19. NET INVESTMENT IN CAPITAL ASSETS

Following is a summary of net investment in capital assets, as presented in the government-wide statement of net position:

	Governmental Activities	Business-type Activities
Capital assets:		
Capital assets not being depreciated	$ 2,277,862	$ 12,069,331
Capital assets being depreciated	230,238,447	87,918,145
	232,516,309	99,987,476
Long-term liabilities related to capital assets:		
General obligation bonds	24,770,000	-
Revenue bonds	-	5,381,000
Installment contracts	2,183,807	-
Capital leases	-	185,573
Deferred amounts:		
For issuance premiums	1,033,843	164,073
For issuance discounts	(116,126)	-
Deferred charge on refunding	(1,098,853)	-
Unexpended bond proceeds	(3,641,542)	-
Net long-term liabilities related to capital assets	23,131,129	5,730,646
Net investment in capital assets	$ 209,385,180	$ 94,256,830

20. FUND BALANCES - GOVERNMENTAL FUNDS

	General	Community Development	Building Authority Bonds	Nonmajor Governmental	Total Governmental
Nonspendable:					
Inventories	$ 10,517	$ -	$ -	$ 114,516	$ 125,033
Prepaid items	497,825	-	-	24,623	522,448
Endowments	-	-	-	879,909	879,909
	508,342	-	-	1,019,048	1,527,390
Restricted for:					
Michigan justice training	-	-	-	31,353	31,353
Narcotics forfeiture	-	-	-	201,268	201,268
Building inspection	-	-	-	826,964	826,964
Binder park golf course	-	-	-	199	199
Youth center	-	-	-	14,527	14,527
Kellogg arena	-	-	-	75,759	75,759
Community development	-	56	-	-	56
Special projects	384,726	-	-	-	384,726
Capital improvements (unexpended bond proceeds)	-	-	-	3,641,542	3,641,542
	384,726	56	-	4,791,612	5,176,394
Committed for:					
Major and local streets	-	-	-	920,675	920,675
Special grants	-	-	-	77,480	77,480
Debt service	-	-	5,311	55,175	60,486
Capital projects	-	-	-	577,462	577,462
Kellogg arena	-	-	-	91,247	91,247
Special projects	936,502	-	-	-	936,502
	936,502	-	5,311	1,722,039	2,663,852
Assigned for:					
Departmental appropriations	-	-	-	354,092	354,092
Capital outlay and projects (encumbrances)	61,973	-	-	-	61,973
	61,973	-	-	354,092	416,065
Unassigned (deficit)	6,181,573	-	-	-	6,181,573
Total fund balances, governmental funds	$ 8,073,116	$ 56	$ 5,311	$ 7,886,791	$ 15,965,274

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Appendix D

THE ORDINANCE

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

No. 16-2016

WATER AND WASTEWATER SYSTEM REVENUE BOND ORDINANCE

AN ORDINANCE TO AUTHORIZE AND PROVIDE FOR THE ISSUANCE OF CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM REVENUE BONDS UNDER THE PROVISIONS OF ACT 94, PUBLIC ACTS OF MICHIGAN, 1933, AS AMENDED FOR THE PURPOSES OF PAYING COSTS OF ACQUISITION, CONSTRUCTION, IMPROVEMENT, ENLARGEMENT, EXTENSION OR REPAIR OF THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM; TO PROVIDE FOR THE COLLECTION OF REVENUES FROM THE SYSTEM SUFFICIENT FOR THE PURPOSE OF PAYING THE COSTS OF OPERATION AND MAINTENANCE OF THE SYSTEM AND TO PAY THE PRINCIPAL OF AND INTEREST ON THE BONDS; TO PROVIDE FOR THE SEGREGATION AND DISTRIBUTION OF SYSTEM REVENUES; TO PROVIDE FOR THE RETIREMENT AND SECURITY OF THE BONDS HEREIN AUTHORIZED AND THE RIGHTS OF THE HOLDERS OF THE BONDS IN ENFORCEMENT THEREOF; AND TO PROVIDE FOR RELATED MATTERS.

THE CITY OF BATTLE CREEK ORDAINS:

Section 1. Definitions. All terms not defined herein shall have the meanings set forth in this Ordinance, and whenever used in this Ordinance, except when otherwise indicated by the context, the following terms shall have the following meanings:

(a) "acquire," "acquiring" and "acquired" shall include acquisition by purchase, construction or any other method.

(b) "Act 34" means the revised Municipal Finance Act, Act 34, Public Acts of Michigan, 2001, as amended.

(c) "Act 94" means the Revenue Bond Act of 1933, Act 94, Public Acts of Michigan, 1933, as amended.

(d) "Additional Bonds" means any additional bonds of equal standing with the Series 2016 Bonds and any other outstanding Senior Lien Bonds issued pursuant to Section 20 of this Ordinance.

(e) "Adjusted Net Revenues" means for any operating year the excess of revenues over expenses for the System determined in accordance with generally accepted accounting principles, to which shall be added depreciation, amortization, interest expense on Bonds and any payments to the City in lieu of taxes, to which may be made the following adjustments.

(i) Revenues may be augmented by the amount of any rate increases adopted prior to the issuance of Additional Bonds or to be placed into effect before the time principal or interest on the Additional Bonds becomes payable from Revenues as applied to quantities of service furnished during the operating year or portion thereof that the increased rates were not in effect.

(ii) Revenues may be augmented by amounts which may be derived from rates and charges to be paid by new customers of the System.

The adjustment of revenues and expenses by the factors set forth in (i) and (ii) above shall be reported upon by professional engineers or certified public accountants or other experts not in the regular employment of the City.

(f) "Aggregate Debt Service" for any period means, as of any date of calculation by the City, the sum of the amounts of the debt service for such period with respect to all Outstanding Senior Lien Bonds. In the event that any of the Outstanding Senior Lien Bonds bear interest at a variable rate, each such series of variable rate Bonds shall, for purposes of calculating Aggregate Debt Service, be assumed by the City to be the rate established for such computation in writing by the Authorized Officer; provided, however, that such assumed rate shall not be less than the average rate borne by such variable rate Bonds during the twelve full calendar months immediately preceding the date on which such computation is made; and provided further, however, that, to the extent such variable rate Bonds have not been Outstanding during the entirety of such twelve month period, the assumed rate shall not be less than the average rate on the SIFMA Index during such twelve month period.

(g) "Aggregate Debt Service Requirement" means for any period, and as of any date of calculation, Aggregate Debt Service for such period, less any capitalized interest to be paid from the proceeds of the Bonds.

(h) "Authorized Officer" means, with respect to the Series 2016 Bonds, the Finance Director of the City or her designee, or, with respect to any series of Additional Bonds, the officer of the City designated at the time the Additional Bonds are authorized.

(i) "Bond Insurer" means a municipal bond insurance provider which is insuring any Outstanding Bonds.

(j) "Bond Reserve Account" means the Bond Reserve Account of the Redemption Account established pursuant to Section 12(B) of this Ordinance.

(k) "Bond Reserve Requirement" means the lesser of (i) the maximum annual debt service requirements on the Outstanding Bonds, (ii) 125% of the average annual debt service requirements on the Outstanding Bonds, or (iii) the total of 10% of the original aggregate face amount of each series of the Outstanding Bonds, reduced by the net original issue discount, if any; provided, however, that the Reserve Requirement shall not at any time exceed the amount allowed to be invested at an unrestricted yield pursuant to Treas. Reg. Section 1.148-2(f)(2) or any successor provision thereto as applicable to the Bonds. For purposes of the Bond Reserve Requirement annual debt service on any variable rate Bonds shall not, after the issuance of such variable rate Bonds, be adjusted because of an adjustment to the interest rate borne by such variable rate Bonds.

(l) "Bonds" means the Series 2016 Bonds, any Additional Bonds, and any Junior Lien Bonds.

(m) "City" means the City of Battle Creek, Calhoun County, Michigan.

(n) "Commission" or "City Commission" means the City Commission of the City.

(o) "Consulting Engineers" means the engineer or engineering firm or firms appointed from time to time, and having a favorable reputation for skill and experience in the design and operation of water supply and/or wastewater treatment utilities at the time retained by the City, to perform the acts and carry out the duties provided for such Consulting Engineers in this Ordinance.

(p) "Event of Default" shall refer to one of the Events of Default specified in Section 21 of this Ordinance.

(q) "General Obligation Debt Account" means the General Obligation Debt Account established pursuant to Section 12(D) of this Ordinance.

(r) "Government Obligations" means (i) direct obligations of (including obligations issued or held in book entry form on the books of) the United States of America, (ii) obligations the payment on which is guaranteed by the United States of America including, but not limited to, stripped interest components of obligations issued by the Resolution Funding Corporation (REFCORP) and non-callable, non-prepayable debt obligations of the United States Agency for International Development (US AID), which pay principal and interest at least three (3) business days prior to any respective escrow requirement dates, or (iii) non-callable, senior debt obligations of any government-sponsored enterprise or federal agency, corporation, or instrumentality of the United States of America created by an act of congress including, but not limited to, the Federal Home Loan Banks, Freddie Mac, Federal Farm Credit Banks Funding Corporation, and Fannie Mae.

(s) "Improvement Account" means the Improvement Account established pursuant to Section 12(E) of this Ordinance.

(t) "Internal Revenue Code" means the Internal Revenue Code of 1986, as amended.

(u) "Investment Obligations" means to the extent authorized by law, and if provided by an investment policy duly adopted by the City, one or more of the following: (i) bonds, securities and other obligations of the United States or an agency or instrumentality of the United States; (ii) certificates of deposit, savings accounts, deposit accounts, or depository receipts of a Financial Institution who is eligible to be a depository of funds belonging to the State; (iii) commercial paper rated at the time of purchase within the two highest classifications established by not less than two nationally recognized rating services and that matures not more than 270 days after the date of purchase; repurchase agreements consisting of instruments listed in subdivision (i) above; (iv) bankers' acceptances of United States banks; (v) obligations of this State or any of its political subdivisions that at the time of purchase are rated as investment grade by not less than one nationally recognized rating service; (vi) mutual funds registered under the investment company act of 1940, title I of chapter 686, 54 Stat. 789, 15 U.S.C. 80a-1 to 80a-3

and 80a-4 to 80a-64, with authority to purchase only investments that are legal for direct investment by a public corporation; (vii) investment pools organized under the surplus funds investment pool act, 1982 PA 367, MCL 129.111 to 129.118; and (viii) investment pools organized under the local government investment pool act, 1985 PA 121, MCL 129.141 to 129.150.

(v) "Junior Lien Bonds" means bonds, bond anticipation notes issued under Act 34, Public Acts of Michigan, 2001, as amended, or other obligations which may be issued or incurred by the City to provide funds for any lawful purpose of the System which are of junior standing and priority of lien with respect to the Net Revenues to the claim of the Senior Lien Bonds.

(w) "Junior Lien Redemption Account" means the Junior Lien Bond and Interest Redemption Account established pursuant to Section 12(C) of this Ordinance.

(x) "Municipal Obligations" means any bonds or other obligations of the State of Michigan or of any agency, instrumentality or local governmental unit of the State of Michigan (i) which are not callable at the option of the obligor prior to maturity or as to which irrevocable notice has been given by the obligor to call on the date specified in the notice, and (ii) which are fully secured as to principal and interest and redemption premium, if any, by a fund consisting only of cash or Government Obligations, which fund may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (iii) which fund is sufficient, as verified by an independent certified public accountant, to pay principal of and interest and redemption premium, if any, on the bonds or other obligations described in this definition of Municipal Obligation on the maturity date or dates thereof or on the redemption date or dates specified in the irrevocable instructions referred to in sub-clause (i) of this definition of Municipal Obligation, as appropriate, and (iv) which are rated, based on the escrow, in the highest rating category of either two of the following three ratings agencies: Standard & Poor's Corporation, Fitch Ratings, and Moody's Investors Service, Inc. or any successors thereto.

(y) "Net Revenues" means the Revenues remaining after deducting the reasonable expenses of administration, operation, and maintenance of the System and shall be construed as defined in Section 3 of Act 94.

(z) "Operation and Maintenance Account" means the Operation and Maintenance Account established pursuant to Section 12(A) of this Ordinance.

(aa) "Ordinance" means this Ordinance and any other ordinance amendatory or supplemental hereto.

(bb) "Outstanding Bonds" means Bonds issued and delivered under this Ordinance except:

(i) Bonds canceled by the Transfer Agent;

(ii) Bonds (or portions of Bonds) for the payment or redemption of which moneys or Government Obligations, equal to the principal amount or

redemption price thereof, as the case may be, with interest to the date of maturity or redemption date, shall be held in trust under this Ordinance and set aside for such payment or redemption (whether at or prior to the maturity or redemption date), provided that if such Bonds (or portion of Bonds) are to be redeemed, notice of redemption shall have been given as provided in this Ordinance or provision satisfactory to the Transfer Agent shall have been made for the giving of such notice;

(iii) Bonds in lieu of or in substitution for which other Bonds shall have been authenticated and delivered; and

(iv) Bonds no longer deemed to be Outstanding Bonds as provided in Section 7 of this Ordinance.

(cc) "Project" means the acquisition, construction, improvement, enlargement, extension or repair of the System to be acquired and constructed pursuant to this Ordinance.

(dd) "QECB's" means Bonds designated as Qualified Energy Conservation Bonds pursuant to Division B of the Energy Improvement and Extension Act of 2008 and section 54D of the Internal Revenue Code of 1986.

(ee) "Rebate Account" means the Rebate Account established pursuant to Section 13 of this Ordinance.

(ff) "Receiving Fund" means the Receiving Fund established pursuant to Section 12 of this Ordinance.

(gg) "Redemption Account" means the Bond and Interest Redemption Account established pursuant to Section 12(B) of this Ordinance.

(hh) "Registered Owner" means the owner of a Bond as shown by the registration records as kept by the Transfer Agent.

(ii) "Revenues" and "Net Revenues" shall mean the revenues and net revenues of the City derived from the operation of the System and shall be construed as defined in Section 3 of Act 94, including with respect to "Revenues," the earnings derived from the investment of moneys in the various funds and accounts established by this Ordinance.

(jj) "Senior Lien Bonds" means the Series 2016 Bonds, while they remain outstanding, and any Additional Bonds.

(kk) "Series 2016 Bonds" means the Water and Wastewater System Revenue Bonds, Series 2016 authorized by Section 4 of this Ordinance. If the Series 2016 Bonds are sold in two or more series then the term "Series 2016 Bonds" shall be construed to refer to all series.

(ll) "Series 2016 Construction Account" means the Water and Wastewater System Revenue Bonds Series 2016 Construction Account created under Section 18 of this Ordinance.

(mm) "Series 2016 Project" refers to improvements and additions to the Water and Wastewater System, including, but not limited to, (i) a new sludge cake facility to collect, process, handle and load sludge cake from the wastewater treatment plant for hauling to landfill, (ii) energy and chemical efficiency improvements with secondary treatment upgrades at the City's wastewater treatment plant including, but not limited to, acquisition and installation of blowers, pumps, and other equipment with better energy efficient ratings, advance electrical controls, and chemical feed and monitoring equipment, and (iii) rehabilitation of approximately 9,500 feet of 48" interceptor sewer, together with any appurtenances and attachments thereto and any related site improvements to be acquired and constructed as part of the System with proceeds of the Series 2016 Bonds.

(nn) "Sufficient" means with respect to (i) cash or (ii) Government Obligations or (iii) Municipal Obligations, or any combination thereof, not redeemable at the option of the issuer thereof, the principal and interest payments upon which, without reinvestment of the interest, come due at such times and in such amounts, as to be fully sufficient to pay the interest as it comes due on the Bonds or any portion thereof and the principal and redemption premium, if any, on the Bonds or any portion thereof as they come due whether on the stated maturity date or upon earlier redemption. Securities representing such obligations or cash shall be placed in trust with a bank or trust company, and if any of the Bonds are to be called for redemption prior to maturity, irrevocable instructions to call the Bonds for redemption shall be given to the Transfer Agent.

(oo) "System" means the entire Water and Wastewater System of the City, both inside and outside the City, including all plants, works, instrumentalities and properties, used or useful in connection with the purification, supply, collection and treatment of potable water and sanitary sewage as the same now exists, and all enlargements, extensions, repairs and improvements thereto hereafter made.

(pp) "Transfer Agent" means U.S. Bank National Association, or such other bank selected by the City for payment of each series of the Bonds.

(qq) "Trustee" means U.S. Bank National Association, or such other bank or trust company named as Trustee by the City to serve as Trustee pursuant to this Ordinance upon occurrence of an Event of Default, or any successor Trustee appointed pursuant to Section 31 of this Ordinance.

Section 2. Necessity; Approval of Plans and Specifications. It is hereby determined to be necessary for the public health and welfare of the City to acquire the Series 2016 Project in accordance with the plans and specifications heretofore prepared by the Consulting Engineers which plans and specifications are hereby approved.

Section 3. Costs of Series 2016 Project; Useful Life. The aggregate cost of the Series 2016 Project is estimated to be an amount not-to-exceed Twenty-Three Million Five Hundred Thousand Dollars ($23,500,000) subject to the taking of construction bids, including the payment of legal, engineering, financial and other expenses incident thereto and incident to the issuance and sale of the Series 2016 Bonds, and deposit of monies to the Bond Reserve Account as necessary to meet the Bond Reserve Requirement, which estimate of cost is hereby approved

and confirmed. The period of usefulness of the Series 2016 Project is estimated to be not less than thirty (30) years.

Section 4. Series 2016 Bonds Authorized. The City shall issue the Series 2016 Bonds pursuant to the provisions of Act 94 in one or more series in the aggregate principal amount of not-to-exceed Twenty-Three Million Five Hundred Thousand Dollars ($23,500,000) as finally determined by the Authorized Officer at the time of sale, for the purposes of paying the costs of acquiring, constructing and installing the Series 2016 Project, including payment of legal, engineering, financial and other expenses incident thereto and incident to the issuance and sale of the Series 2016 Bonds, and deposit of monies to the Bond Reserve Account as necessary to meet the Bond Reserve Requirement. The Series 2016 Bonds shall not be a general obligation of the City but shall be payable solely out of the Net Revenues of the System. The Authorized Officer is hereby authorized to determine, based upon the advice of bond counsel and the Financial Advisor, whether to sell a portion of the Series 2016 Bonds as taxable bonds.

Section 5. Series 2016 Bond Data. The Series 2016 Bonds shall be designated as the WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016, with any additional series designations as determined by the Authorized Officer to distinguish different series of bonds; if any series of the Series 2016 Bonds are sold as QECBs, the QECBs shall include the additional designation of (Federally Taxable – Qualified Energy Conservation Bonds). The Series 2016 Bonds shall be issued as term bonds or serial bonds as determined at the time of sale of the Series 2016 Bonds, in fully-registered form in denominations of $5,000 or integral multiples thereof, not exceeding the amount of bonds maturing on the same date such bond matures, and shall be numbered in consecutive order of authentication from 1 upwards. The Series 2016 Bonds shall be dated as of such date as may be determined at the time of sale, and shall mature on such dates as shall be determined at the time of sale, provided, however, that the Series 2016 Bonds shall mature within 30 years of the date of issuance thereof.

The Series 2016 Bonds shall bear interest at the rate or rates to be determined at the time of sale of the Series 2016 Bonds, payable semi-annually on such dates as approved at the time of sale thereof, and semi-annually thereafter by check drawn on the Transfer Agent and mailed to the registered owner at the registered address, as shown on the registration books of the City maintained by the Transfer Agent. Interest shall be payable to the registered owner of record as of the fifteenth day of the month prior to the payment date for each interest payment. The date of determination of registered owner for purposes of payment of interest as provided in this paragraph may be changed by the City to conform to market practice in the future. The principal of the Series 2016 Bonds shall be payable at the designated office of the Transfer Agent.

The Series 2016 Bonds may be subject to redemption prior to maturity at the times and prices finally determined at the time of sale. In the event that any of the Series 2016 Bonds shall be issued as term bonds, the mandatory redemption requirements for such term bonds shall be specified at the time of sale. If any series of the Series 2016 Bonds are sold as QECBs, the QECBs may be subject to extraordinary optional redemption or extraordinary mandatory redemption from unspent bond proceeds or contain other prior redemption provisions as finally determined at the time of sale.

Unless waived by any registered owner of bonds to be redeemed, official notice of redemption shall be given by the Transfer Agent on behalf of the City. Such notice shall be dated and shall contain at a minimum the following information: original issue date; maturity dates; interest rates; CUSIP numbers, if any; certificate numbers (and in the case of partial redemption) the called amounts of each certificate; the place where the bonds called for redemption are to be surrendered for payment; and that interest on the bonds or portions thereof called for redemption shall cease to accrue from and after the redemption date.

In addition, further notice shall be given by the Transfer Agent in such manner as may be required or suggested by regulations or market practice at the applicable time, but no defect in such further notice nor any failure to give all or any portion of such further notice shall in any manner defeat the effectiveness of a call for redemption if notice thereof is given as prescribed herein.

The Series 2016 Bonds shall be signed by the manual or facsimile signature of the Mayor and countersigned by the manual or facsimile signature of the City Clerk. The Series 2016 Bonds shall have the corporate seal of the City impressed or printed thereon. If any of the Series 2016 Bonds shall be signed by the facsimile signature of both the Mayor and the City Clerk then such bond shall not be valid until authenticated by an authorized officer of the Transfer Agent. The Series 2016 Bonds shall be delivered to the Transfer Agent for authentication and be delivered by the Transfer Agent to the purchaser in accordance with instructions from the City upon payment of the purchase price therefor in accordance with the bond purchase agreement with the purchaser of the Series 2016 Bonds. Executed blank bonds for registration and issuance to transferees shall simultaneously, and from time to time thereafter as necessary, be delivered to the Transfer Agent for safekeeping.

The Series 2016 Bonds may be issued in book-entry-only form through The Depository Trust Company in New York, New York ("DTC"), and any official of the City is authorized to execute such custodial or other agreement with DTC as may be necessary to accomplish the issuance of the Series 2016 Bonds in book-entry-only form and to make such changes in the bond form within the parameters of this Ordinance as may be required to accomplish the foregoing. If the Series 2016 Bonds are held in book-entry form by DTC, payment of principal of and interest shall be made in the manner prescribed by DTC.

Any Series 2016 Bond may be transferred upon the books of the City maintained by the Transfer Agent by the person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of the bond for cancellation, accompanied by delivery of a duly executed written instrument of transfer in a form approved by the Transfer Agent. Whenever any Series 2016 Bond or Bonds shall be surrendered for transfer, the Transfer Agent shall authenticate and deliver a new bond or bonds of the same series for like aggregate principal amount. The Transfer Agent shall require the payment by the bondholder requesting the transfer of any tax or other governmental charge required to be paid with respect to the transfer. The Transfer Agent shall not be required (i) to issue, register the transfer of, or exchange any bond during a period beginning at the opening of 15 business days before the day of the mailing of a notice of redemption of bonds selected for redemption prior to maturity and ending at the close of business on the day of that mailing, or (ii) to register the transfer of or exchange any bond so selected for redemption in whole or in part, except the unredeemed portion of bonds being

redeemed in part. Notwithstanding the foregoing, if the Series 2016 Bonds are held by DTC in book-entry form, the transfer of the Series 2016 Bonds shall be made in the manner prescribed by DTC.

Section 6. Senior Lien Bond Form. The Senior Lien Bonds, including the Series 2016 Bonds, shall be in substantially the following form with such revisions, additions and deletions as may be advisable or necessary to comply with the final terms established upon sale thereof.

UNITED STATES OF AMERICA
STATE OF MICHIGAN
COUNTY OF CALHOUN

CITY OF BATTLE CREEK
WATER AND WASTEWATER SYSTEM REVENUE BOND
[SERIES DESIGNATION]

Interest Rate	Date of Maturity	Date of Original Issue	CUSIP

Registered Owner:

Principal Amount:

The CITY OF BATTLE CREEK, County of Calhoun, State of Michigan (the "City"), acknowledges itself to owe, and for value received hereby promises to pay to the Registered Owner specified above, or registered assigns, but only out of the hereinafter described Net Revenues, the Principal Amount specified above, in lawful money of the United States of America, on the Date of Maturity specified above, unless prepaid prior thereto as hereinafter provided, with interest thereon (computed on the basis of a 360-day year of twelve 30-day months) from the Date of Original Issue specified above or such later date to which interest has been paid, until paid, at the Interest Rate per annum specified above, first payable on [first payment date] and semiannually thereafter. Principal of this bond is payable at the designated corporate trust office of [Transfer Agent], or such other transfer agent as the City may hereafter designate by notice mailed to the Registered Owner of record not less than sixty (60) days prior to an interest payment date (the "Transfer Agent"). Interest on this bond is payable to the Registered Owner of record as of the fifteenth (15th) day of the month preceding the interest payment date as shown on the registration books of the City kept by the Transfer Agent by check or draft mailed by the Transfer Agent to the Registered Owner of record at the registered address. The date of determination of Registered Owner for purposes of payment of interest may be changed by the City to conform to market practice in the future. For the prompt payment of the principal of and interest on this bond, the revenues of the Water and Wastewater System of the City including all enlargements, extensions, repairs and improvements thereto hereafter made (the "System"), after provision has been made for reasonable and necessary expenses of operation, maintenance and administration (the "Net Revenues"), and certain funds and accounts established by the Ordinance (defined below), are irrevocably pledged and a statutory lien thereon has been created. [This bond and the series of which it is one are of equal standing and priority of lien as to the Net Revenues of the System with the City's outstanding [series bonds] (collectively, the "Senior Lien Bonds")].

This bond is one of a series of bonds of even Date of Original Issue aggregating the principal sum of $[principal amount], issued pursuant to Ordinance No. [ordinance number] (the "Ordinance") duly adopted by the City Commission of the City, and under and in full compliance with the Constitution and statutes of the State of Michigan, including specifically Act 94, Public Acts of Michigan, 1933, as amended ("Act 94") for the purposes of acquiring,

constructing and installing improvements to the System[, to fund the bond reserve account for the bonds,] and to pay costs of issuance of the bonds.

For a complete statement of the revenues from which and the conditions under which this bond is payable, a statement of the conditions under which additional bonds of equal standing as to the Net Revenues may hereafter be issued, and the general covenants and provisions pursuant to which this bond is issued, reference is made to the Ordinance. The City has reserved the right to issue additional bonds of equal standing with the bonds of this issue on the conditions stated in the Ordinance. Copies of the Ordinance are on file at the office of the City Clerk and at the designated corporate trust office of U.S. Bank National Association, as Trustee (the "Trustee"), and reference is made to the Ordinance and any and all supplements thereto and modifications and amendments thereof, if any, and to Act 94 for a more complete description of the pledges and covenants securing the bonds, the nature, extent and manner of enforcement of such pledges, the rights and remedies of the registered owners of the bonds with respect thereto and the terms and conditions upon which the bonds are issued and may be issued thereunder. To the extent and in the manner permitted by the terms of the Ordinance, the provisions of the Ordinance or any resolution or agreement amendatory thereof or supplemental thereto, may be modified or amended by the City, except in specified cases, only with the written consent of the registered owners of at least fifty-one percent (51%) of the principal amount of the bonds then outstanding.

Bonds maturing in the years [maturity dates of bonds which can't be prepaid] inclusive, shall not be subject to redemption prior to maturity at the option of the City [except as described below under the captions "Extraordinary Optional Redemption" and "Extraordinary Mandatory Redemption from Unspent Bond Proceeds"].

Bonds or portions thereof in multiples of $5,000 maturing on or after [first maturity date of bonds which can be prepaid], will be subject to redemption prior to maturity at the option of the City on any date occurring on or after [first date bonds can be prepaid], in such order as the City may determine and within any maturity by lot at par plus accrued interest to the date fixed for redemption.

[If QECB's are sold, provisions describing
extraordinary optional redemption and
extraordinary mandatory redemption]

[If Term Bonds are sold, provisions describing
mandatory sinking fund redemption of Term Bonds]

In case less than the full amount of an outstanding bond is called for redemption the Transfer Agent, upon presentation of the bond called in part for redemption, shall register, authenticate and deliver to the registered owner a new bond of the same maturity and interest rate in the principal amount of the portion of the original bond not called for redemption.

Notice of redemption shall be given to each registered owner of bonds or portions thereof to be redeemed by mailing such notice not less than thirty (30) days prior to the date fixed for redemption to the registered owner at the address of the registered owner as shown on the registration books of the City. Bonds shall be called for redemption in multiples of $5,000, and

bonds of denominations of more than $5,000 shall be treated as representing the number of bonds obtained by dividing the denomination of the bonds by $5,000, and such bonds may be redeemed in part. The notice of redemption for bonds redeemed in part shall state that, upon surrender of the bond to be redeemed, a new bond or bonds in the same aggregate principal amount equal to the unredeemed portion of the bonds surrendered shall be issued to the registered owner thereof with the same interest rate and maturity. No further interest on bonds or portions of bonds called for redemption shall accrue after the date fixed for redemption, whether the bonds have been presented for redemption or not, provided funds are on hand with the Transfer Agent to redeem the bonds or portion thereof.

This bond is transferable only upon the books of the City kept for that purpose at the office of the Transfer Agent by the Registered Owner hereof in person, or by the Registered Owner's attorney duly authorized in writing, upon the surrender of this bond together with a written instrument of transfer satisfactory to the Transfer Agent duly authorized in writing and thereupon a new registered bond or bonds in the same aggregate principal amount and of the same maturity shall be issued to the transferee in exchange therefor as provided in the Ordinance, and upon the payment of the charges, if any, therein prescribed. The Transfer Agent shall not be required (i) to issue, register the transfer of, or exchange any bond during a period beginning at the opening of business 15 days before the day of the mailing of a notice of redemption of bonds selected for redemption under the Ordinance and ending at the close of business on the date of that mailing, or (ii) to register the transfer of or exchange any bond so selected for redemption in whole or in part, except the unredeemed portion of bonds being redeemed in part.

THIS BOND IS A SELF-LIQUIDATING BOND AND IS NOT A GENERAL OBLIGATION OF THE CITY AND DOES NOT CONSTITUTE AN INDEBTEDNESS OF THE CITY WITHIN ANY CONSTITUTIONAL, STATUTORY OR CHARTER LIMITATION, AND IS PAYABLE BOTH AS TO PRINCIPAL AND INTEREST SOLELY FROM THE NET REVENUES OF THE SYSTEM AND CERTAIN FUNDS AND ACCOUNTS ESTABLISHED UNDER THE ORDINANCE. THE PRINCIPAL OF AND INTEREST ON THIS BOND ARE SECURED BY THE STATUTORY LIEN HEREINBEFORE DESCRIBED.

The City has covenanted and agreed in the Ordinance that the City will at all times fix, establish, maintain and collect rates, fees and charges for the sale of the output, capacity, use or service of the System which, together with other income, are reasonably expected to yield Net Revenues equal to at least 110% of the aggregate debt service requirement on all Senior Lien Bonds payable from the Net Revenues of the System as and when the same become due and payable, and in addition to maintain a bond and interest redemption account (including a bond reserve account) therefor, to provide for the payment of expenses of administration and operation and such expenses for maintenance of the System as are necessary to preserve the same in good repair and working order, and to provide for such other expenditures and funds for the System as are required by the Ordinance.

It is hereby certified and recited that all acts, conditions and things required by law to be done precedent to and in the issuance of this bond and the series of bonds of which this is one have been done and performed in regular and due time and form as required by law.

This bond is not valid or obligatory for any purpose until the Transfer Agent's Certificate of Authentication on this bond has been executed by the Transfer Agent.

IN WITNESS WHEREOF, the City of Battle Creek, County of Calhoun, State of Michigan, by its City Commission, has caused this bond to be signed in the name of said City [by] / [with the facsimile signatures of] its Mayor and its City Clerk and the City seal or a facsimile thereof to be [manually impressed/printed], all as of the Date of Original Issue.

CITY OF BATTLE CREEK

By [facsimile]
Mayor

(Seal)

Countersigned:

By [facsimile]
City Clerk

[*STANDARD FORM OF AUTHENTICATION CERTIFICATE AND ASSIGNMENT*]

Section 7. Payment of Bonds; Defeasance. The Bonds and the interest thereon shall be payable solely from the Net Revenues (except to the extent payable from the proceeds of bond insurance or other credit enhancement or from the proceeds of Bonds), and to secure such payment, there is hereby created a statutory lien upon the whole of the Net Revenues which shall be a first lien. Pursuant to provisions of Act 94, the City hereby pledges to the repayment of principal of, interest on and redemption premiums, if any, on the Bonds, the funds and accounts established by this Ordinance other than the Rebate Account, and a statutory lien is hereby created on such funds and accounts. The liens and pledge provided above shall continue until payment in full of the principal of and interest on all Bonds payable from Net Revenues, or, until Sufficient cash, Sufficient Government Obligations, Sufficient Municipal Obligations or any combination thereof shall have been deposited in trust for payment in full of the principal of and the interest on all Bonds to be paid or defeased to their maturity, or, if called or if irrevocable instructions have been given to call for redemption, to the date fixed for redemption together with the amount of the redemption premium, if any. Upon deposit Sufficient cash, Sufficient Government Obligations, Sufficient Municipal Obligations or any combination thereof, as provided in the previous sentence, the statutory lien herein created shall be terminated with respect to the Bonds to be defeased, the Registered Owners of these Bonds shall have no further rights under this Ordinance except for payment from the deposited funds and for rights of replacement, registration and transfer, and such Bonds shall no longer be considered to be Outstanding Bonds under this Ordinance.

Section 8. Management; Operating Year. The operation, repair and management of the System and the acquisition and construction of the Series 2016 Project shall be under the supervision and control of the City Commission. The City Commission, in accordance with the relevant provisions of the City Charter, may employ such person or persons in such capacity or capacities as it deems advisable to carry on the efficient management and operation of the System. The City Commission may make such rules and regulations as it deems advisable and necessary to assure the efficient management and operation of the System. The System shall be operated on the basis of an operating year which is the same as the fiscal year of the City.

Section 9. Rates and Charges. The rates and charges for service furnished by and the use of the System and the methods of collection and enforcement of the collection of the rates shall be those in effect on the date of adoption of this Ordinance.

Section 10. No Free Service or Use. No free service or use of the System, or service or use of the System at less than cost, shall be furnished by the System to any person, firm or corporation, public or private, or to any public agency or instrumentality, including the City.

Section 11. Fixing and Revising Rates; Rate Covenant. The rates now in effect are estimated to be sufficient to provide for the payment of the expenses of administration and operation and such expenses for maintenance of the System as are necessary to preserve the System in good repair and working order, to provide for the payment of the principal of and interest on the Bonds as the same become due and payable, and the maintenance of the reserve therefor and to provide for all other obligations, expenditures and funds for the System required by law and this Ordinance. In addition, it is agreed that the City will at all times fix, establish, maintain and collect rates, fees and charges for the sale of the output, capacity, use or service of the System which, together with other income, are reasonably expected to yield Net Revenues

equal to at least 110% of the Aggregate Debt Service Requirement on the Senior Lien Bonds for the forthcoming twelve (12) month period plus such amount as is necessary to comply with all covenants in this Ordinance and to pay all charges and liens whatsoever payable out of Net Revenues in such period. In calculating Net Revenues under this section the City shall not include any investment earnings to be received from investment of the Bond Reserve Account.

Section 12. Funds and Accounts; Flow of Funds. All Revenues of the System shall be set aside as collected and credited to a fund to be designated WATER AND WASTEWATER SYSTEM RECEIVING FUND. The Revenues so credited are pledged for the purpose of the following funds and shall be transferred or debited from the Receiving Fund periodically in the manner and at the times hereinafter specified:

A. OPERATION AND MAINTENANCE ACCOUNT:

Out of the Revenues credited to the Receiving Fund there shall be first set aside in, or credited to an account hereby ordered to be established, maintained and designated OPERATION AND MAINTENANCE ACCOUNT, a sum sufficient to provide for the payment of the expenses of administration and operation of the System including such current expenses for the maintenance of the System as may be necessary to preserve the System in good repair and working order.

A budget, showing in detail the estimated costs of administration, operation and maintenance of the System for the next ensuing operating year, shall be prepared by the City at least 30 days prior to the commencement of each ensuing operating year. No payments shall be made to the City from moneys credited to the Operation and Maintenance Account except for services directly rendered to the System by the City or its personnel.

B. BOND AND INTEREST REDEMPTION ACCOUNT:

There shall be established and maintained a separate depositary account designated BOND AND INTEREST REDEMPTION ACCOUNT, the moneys on deposit therein from time to time to be used solely, except for required deposits to the Rebate Account, for the purpose of paying the principal of, redemption premiums (if any) and interest on the Senior Lien Bonds.

Out of the Revenues remaining in the Receiving Fund, after provision for the credit or deposit to the Operation and Maintenance Account, there shall next be set aside, monthly, in the Redemption Account a sum proportionately sufficient to provide for the payment of the principal of, mandatory redemption requirements, if any, and interest on the Senior Lien Bonds as and when the same become due and payable, subject to any credit therefor as provided in this Section 12(B). If there shall be any deficiency in the amount previously required to be set aside, then the amount of such deficiency shall be added to the next succeeding month's requirements.

No further payments need be made into the Redemption Fund after enough of the Senior Lien Bonds have been retired so that the amount then held in the Redemption Fund (including the Bond Reserve Account) is equal to the entire amount of principal and interest which will be payable at the time of maturity of all Outstanding Senior Lien Bonds and the monies so held shall be used solely to pay the principal of and interest on the Senior Lien Bonds including

redemption premiums, if any, as the Senior Lien Bonds become due either by maturity or by redemption prior to maturity.

A redemption requirement for the Senior Lien Bonds may be satisfied by calling the Senior Lien Bonds as provided in this Ordinance or by the purchase and surrender to the Transfer Agent of Senior Lien Bonds of the same issue and maturity from moneys allocated therefor as provided herein, or purchased with other funds legally available therefor. The City shall elect the manner in which it intends to satisfy a redemption requirement not less than forty five days prior to the date of redemption.

There is hereby established in the Redemption Account a separate account to be known as the BOND RESERVE ACCOUNT. From the proceeds of the sale of the Series 2016 Bonds or other moneys available to the City there shall be deposited an amount in the Bond Reserve Account which shall cause the amount on deposit in the Bond Reserve Account to equal the Bond Reserve Requirement. The City may meet the Bond Reserve Requirement by cash, a letter of credit, a surety bond, or an insurance policy if the provider or issuer thereof shall be rated by a nationally recognized bond rating agency as high or higher than the Senior Lien Bonds. Except as hereinafter provided, the moneys credited to the Bond Reserve Account shall be used solely for the payment of the principal of, redemption premiums (if any) and interest on the Senior Lien Bonds as to which there would otherwise be a default. If at any time it shall be necessary to use the moneys or the surety bond credited to the Bond Reserve Account for such payment, then the moneys so used shall be replaced or repaid over a period of not more than 5 years, or such other period as required by the letter of credit, surety bond, or insurance policy securing the Bond Reserve Account, from the Net Revenues first received thereafter which are not required for current principal and interest requirements. If at any time there is any excess in the Bond Reserve Account over the Bond Reserve Requirement, such excess may be transferred to such fund or account as the City shall direct. If Additional Bonds are issued, each ordinance authorizing such Additional Bonds shall provide for additional deposits to the Redemption Account for credit to the Bond Reserve Account from the proceeds of such Additional Bonds, or other moneys available to the City, in such an amount as will result in the total credited to the Bond Reserve Account being equal to the Bond Reserve Requirement.

C. JUNIOR LIEN BOND AND INTEREST REDEMPTION ACCOUNT:

If the City shall ever issue Junior Lien Bonds, there shall be established and maintained a separate depositary account designated JUNIOR LIEN BOND AND INTEREST REDEMPTION ACCOUNT for the purpose of paying the principal, redemption premiums, if any, and interest on such Junior Lien Bonds as they come due. Revenues remaining in the Receiving Fund, after provision has been made for the requirements of the Operation and Maintenance Account and the Redemption Account including the Bond Reserve Account, shall be set aside, but not more often than monthly, in the Junior Lien Redemption Account in accordance with the ordinance authorizing the issuance of the Junior Lien Bonds. Additionally, a separate account may also be established within the Junior Lien Redemption Account as a bond reserve account to be funded on a junior lien basis in accordance with the ordinance authorizing the issuance of the Junior Lien Bonds. The detail of the establishment and maintenance of the Junior Lien Redemption Account shall be provided in the ordinance of the City Commission authorizing the issuance of such Junior Lien Bonds.

D. GENERAL OBLIGATION DEBT ACCOUNT:

Out of the remaining Revenues in the Receiving Fund, there may be next set aside in or credited to monthly after meeting the requirements of the foregoing Account, to an account designated GENERAL OBLIGATION DEBT ACCOUNT, or from other available moneys such sums as shall be necessary to pay debt service on presently existing or future general obligation bond issues of the City or general obligations or contractual obligations of the City incurred or to be incurred for System purposes.

E. IMPROVEMENT ACCOUNT:

There next shall be established and maintained an account designated IMPROVEMENT ACCOUNT. Except as hereinafter provided, the money credited thereto shall be used solely for the purpose of making major repairs, replacements and improvements to the System. There shall next be set aside in or credited to the Improvement Account, after provision is made for the requirements of the foregoing funds and accounts, such additional funds as the City may deem advisable. If at any time it shall be necessary to use moneys in the Improvement Account the moneys so used shall be replaced from any moneys in the Receiving Fund which are not required by this Ordinance to be used for the Rebate Account, Operation and Maintenance Account, Redemption Account (including the Bond Reserve Account), or the Junior Lien Redemption Account.

F. SURPLUS MONEYS:

Thereafter, any Revenues in the Receiving Fund after satisfying all the foregoing requirements of this Section 12 may, at the discretion of the City, be used for any of the following purposes:

1. Transferred to the Improvement Account.

2. Transferred to the Redemption Account and used for the purchase of Bonds on the open market at not more than the fair market value thereof or used to redeem Bonds prior to maturity pursuant to this Ordinance.

3. Any other use permitted by law.

Section 13. Rebate Account. There shall be established and maintained an account designated the REBATE ACCOUNT. Moneys representing investment earnings or profits shall be transferred annually from all funds and accounts established under this Ordinance and deposited in the Rebate Account in an amount sufficient to enable the City to rebate investment earnings to the federal government, if necessary, in accordance with the requirements of the Internal Revenue Code. Funds on deposit in the Rebate Account are not pledged as security for the Bonds. Monies shall be deposited in the Rebate Account and shall be rebated to the federal government unless the City has received an opinion of nationally recognized bond counsel that failure to take such actions will not adversely affect the exclusion from gross income for federal income tax purposes of the interest on such Bonds.

Section 14. Segregation of Accounts; Funds on Hand. Moneys in the several funds and accounts established pursuant to this Ordinance, except moneys in the Redemption Account

(including the Bond Reserve Account), the Junior Lien Redemption Account, the General Obligation Debt Account, and the Rebate Account, and moneys derived from the proceeds of sale of the Bonds, may be kept in one deposit account, in which event the moneys in said account shall be allocated on the books and records of the City or deposited to the funds and accounts herein established, in the manner and at the times provided in this Ordinance.

Section 15. Priority of Funds. In the event the moneys in the Receiving Fund are insufficient to provide for the current requirements of the Operation and Maintenance Account, the Redemption Account, or the Junior Lien Redemption Account, any moneys or securities in other funds of the System, except the proceeds of sale of the Bonds, shall be credited or transferred, first, to the Operation and Maintenance Account, second, to the Redemption Account, to the extent of any deficit therein, and third, to the Junior Lien Redemption Account.

Section 16. Investments. Moneys in the funds and accounts established herein may be invested by the City in Investment Obligations, provided, however, that moneys deemed to be proceeds of tax-exempt Bonds shall be invested in accordance with the requirements of Section 33 of this Ordinance. Investment of moneys in the Redemption Account being accumulated for payment on the next maturing principal or interest payment on the Bonds shall be limited to Government Obligations bearing maturity dates prior to the date of the next maturing principal or interest payment respectively on the Bonds. Investment of moneys in any other funds or accounts, including moneys derived from the proceeds of sale of the Bonds, shall be limited to obligations bearing maturity dates or subject to redemption, at the option of the holder thereof, not later than the time estimated by the City when the moneys from such investments will be required. In the event investments are made, any securities representing the same shall be kept on deposit with the bank or trust company having on deposit the fund or funds or accounts from which such purchase was made. Earnings or profits on any investment of funds in any fund or account established in this Ordinance shall be deposited in or credited to the Rebate Account to extent necessary as required by Section 13 of this Ordinance and any earnings or profits remaining in the Receiving Fund, Operation and Maintenance Account, Redemption Account, Junior Lien Redemption Account, General Obligation Debt Account, and, at any time after they are fully funded, the Bond Reserve Account and the Improvement Account, shall be deposited in or credited to the Receiving Fund provided, however, that any earning or profit on the Bond Reserve Account received prior to the completion of the Project shall be deposited in the Construction Account.

The City shall value investments in the Bond Reserve Account at fair market value and marked to market at least once per year. The average duration of investments in the Bond Reserve Account may not have maturities extending beyond 5 years.

Section 17. Applicable Law. The Bonds shall be sold and the proceeds applied in accordance with the provisions of Act 94.

Section 18. Proceeds of Series 2016 Bonds. There shall be established and maintained a separate depositary account designated as the WATER AND WASTEWATER SYSTEM REVENUE BONDS SERIES 2016 CONSTRUCTION ACCOUNT in a bank qualified to act as depository of the proceeds of sale of revenue bonds under the provisions of Section 15 of Act 94. If the Series 2016 Bonds are sold as both a tax exempt series and a taxable

series then separate accounts shall be established within the Series 2016 Construction Account for proceeds of each series. Monies in the Series 2016 Construction Account shall be applied solely in payment of the cost of the Series 2016 Project and any costs of engineering, legal, bond issuance and other expenses incident thereto and to the issuance of the Series 2016 Bonds. Any unexpended balance of the proceeds of sale of the Series 2016 Bonds remaining in the Series 2016 Construction Account after completion of the Series 2016 Project may, in the discretion of the Authorized Officer, be used for meeting requirements, if any, of the Bond Reserve Account, or for further improvements, enlargements and extension to the System. Any balance remaining after such expenditure shall be paid into the Redemption Account.

From the proceeds of sale of the Series 2016 Bonds there first shall be immediately deposited in the Redemption Account an amount equal to the accrued interest, if any, received on delivery of the Series 2016 Bonds, and the City may take credit for the amount so deposited against the amount required to be deposited in the Redemption Account for payment of the next maturing interest. All or a portion of any premium received upon delivery of the Series 2016 Bonds may be deposited in either the Redemption Account or the Series 2016 Construction Account, as determined by the Authorized Officer in consultation with bond counsel.

There shall next be deposited from the proceeds of sale of the Series 2016 Bonds to the Bond Reserve Account an amount, if any, designated by the Authorized Officer at the time of sale as necessary to meet the requirements of this Ordinance.

The remaining proceeds of sale of the Series 2016 Bonds shall be deposited to the Series 2016 Construction Account.

Section 19. Covenants. The City covenants and agrees with the Registered Owners of the Bonds that so long as any of the Bonds remain as Outstanding Bonds and unpaid as to either principal or interest:

(a) The City will maintain the System in good repair and working order and will operate the same efficiently and will faithfully and punctually perform all duties with reference to the System required by the Constitution and laws of the State of Michigan and this Ordinance.

(b) The City will maintain and keep proper books of record and account separate from all other records and accounts of the City in accordance with Act 2, Public Acts of Michigan, 1968, as amended. The City will cause an annual audit of the books of record and account of the System for the preceding operating year each year by a recognized independent certified public accountant. The audit shall be completed and so made available in accordance with Act 2, Public Acts of Michigan 1968, as amended.

(c) The City shall maintain and carry, for the benefit of the Registered Owners of the Bonds, insurance on all physical properties of the System and liability insurance, of the kinds and in the amounts normally carried by public utility companies and municipalities engaged in the operation of Water and Wastewater Systems. All moneys received for losses under any such insurance policies shall be applied solely to the replacement and restoration of the property damaged or destroyed, and to the extent not so used, shall be placed in the Redemption Account and used for the purpose of redeeming or purchasing Bonds.

(d) The City will not sell, lease, mortgage or otherwise dispose of any part of the System, except for sales or exchanges of property or facilities (1) which are not useful in the operation of the System, or (2) for which the proceeds received are, or the fair market value of the subject property (as certified by the Consulting Engineers) is, less than 1% of the Revenues of the preceding fiscal year, or (3) as to which the Consulting Engineers certify that the ability of the City to comply with the rate covenant described in Section 11 of this Ordinance will not be impaired.

(e) The City will not grant any franchise or other rights to any person, firm or corporation to operate a system that will compete with the System and the City will not operate a system that will compete with the System.

(f) The City will cause the Series 2016 Project to be acquired and constructed promptly and in accordance with the plans and specification therefor.

(g) Any bonds issued by the City payable from the Net Revenues of the System shall be issued under this Ordinance.

Section 20. Additional Bonds. The right is reserved, in accordance with the provisions of Act 94, to issue additional bonds payable from the Revenues of the System which shall be of equal standing and priority of lien on the Net Revenues of the System with the Senior Lien Bonds but only for the following purposes and under the following terms and conditions.

(a) To complete the Project in accordance with the plans and specifications therefor. Such Bonds shall not be authorized unless the Consulting Engineers shall execute a certificate evidencing the fact that additional funds are needed to complete the Project in accordance with the plans and specifications therefor and stating the amount that will be required to complete the Project. If such certificate shall be so executed and filed with the City, it shall be the duty of the City Commission to provide for and issue Additional Bonds in the amount stated in said certificate to be necessary to complete the Project in accordance with the plans and specifications plus in accordance with the plans and specifications plus an amount necessary to pay the cost of issuing such Bonds or to provide for part or all of such amount from other sources legally available therefor.

(b) For subsequent repairs, extensions, enlargements and improvements to the System or for the purpose of refunding a part of any Outstanding Bonds (unless such partial refunding is done in compliance with (c) below) and paying costs of issuing such Additional Bonds including deposits which may be required to be made to the Bond Reserve Account. Bonds for such purposes shall not be issued pursuant to this subparagraph (b) unless the Adjusted Net Revenues of the System for the then last 2 preceding 12-month operating years, or the Adjusted Net Revenues of the System for the then last preceding 12-month operating year, if the same shall be lower than the average, shall be equal to at least 120% of the maximum Aggregate Debt Service in any future operating year on the then outstanding Bonds and on the Additional Bonds then being issued. If the Additional Bonds are to be issued in whole or in part for the purpose of refunding Outstanding Bonds, the maximum Aggregate Debt Service shall be determined by deducting from the principal and interest requirements for each operating year the annual Aggregate Debt Service Requirements of any Bonds to be refunded from the proceeds of the

Additional Bonds. For purposes of this subparagraph (b) the City may elect to use as the last preceding operating year any operating year ending not more than sixteen months prior to the date of delivery of the Additional Bonds and as the next to the last preceding operating year, any operating year ending not more than twenty-eight months prior to the date of delivery of the Additional Bonds. Determination by the City as to existence of conditions permitting the issuance of Additional Bonds shall be conclusive.

No Additional Bonds of equal standing as to the Net Revenues of the System shall be issued pursuant to the authorization contained in subparagraphs (b) or (d) if the City shall then be in default in making its required payments to the Operating and Maintenance Account or the Redemption Account.

(c) For refunding all of the Outstanding Bonds and paying costs of issuing such Additional Bonds including deposits which may be required to be made to the Bond Reserve Account. For refunding a part of the Outstanding Bonds and paying costs of issuing such Additional Bonds, if after giving effect to the refunding the maximum amount of Aggregate Debt Service in each future fiscal year shall be less than the Aggregate Debt Service in each future fiscal year prior to giving effect to the refunding.

(d) Additional Bonds may be issued without meeting any of the conditions and tests set forth in subsection (b) above for any one or more of the following purposes:

(i) the cost of acquisition and construction of any repairs, replacements, betterments, improvements, major renewals or corrections of any damage or loss to the System necessary, in the opinion of the Consulting Engineers, to keep the System in good operating condition or to prevent a loss of Revenues therefrom to the extent that the cost thereof cannot reasonably be paid from the Improvement Account or from insurance proceeds, or

(ii) the cost of decommissioning, disposal or termination of any part of the System.

Determination by the City Commission as to existence of conditions permitting the issuance of Additional Bonds shall be conclusive, provided this shall not eliminate any requirement for any other approval required herein.

As long as any Outstanding Bonds are insured, or any policy costs thereon are owed to a Bond Insurer, the City shall get the prior written consent of the Bond Insurer before the issuance of Additional Bonds under subsections (a) and (d) of this Section 20, which consent shall not be unreasonably withheld.

Notwithstanding the foregoing requirements of this Section 20, the City reserves the right to issue Junior Lien Bonds payable as provided herein.

Section 21. Events of Default. Each of the following events, with respect to an issue of Bonds, is hereby declared an "Event of Default":

(a) default in the payment of the principal of or interest, or redemption premium, if any, on any Bond after the same shall become due, whether at maturity or upon call for redemption; or

(b) default by the City in the performance or observance of any other of the covenants, agreements or conditions on its part in this Ordinance, or contained in the Bonds; provided, no such default shall constitute an Event of Default until written notice thereof shall have been given by the Registered Owners of not less than twenty percent (20%) in principal amount of the Outstanding Bonds to the City and the City shall have had sixty (60) days after receipt of such notice to correct such default or cause the same to be corrected and shall not have corrected such default or caused the same to be corrected within such period; and provided, further, that if the default be such that it cannot be corrected within such period, it shall not constitute an Event of Default if action to correct the same is instituted within such period and diligently pursued until the default is corrected. The City shall forward a copy of any such notice as described in this Section 21(b) to the Trustee and to any Bond Insurer which is insuring Bonds subject to an Event of Default.

The Transfer Agent shall notify the Trustee and any Bond Insurer which is insuring Bonds subject to an Event of Default if the Transfer Agent lacks sufficient funds for the payment of the principal of, or interest, or redemption premium, if any, on any Bond when the same shall become due whether at maturity or upon call for redemption.

If any of the Bonds subject to an Event of Default are insured, then (a) the Bond Insurer shall have the right to consent to pursuit of any available legal remedy before the Trustee or the Bondholder shall be permitted to take such action, and (b) the Bond Insurer shall have the same rights as the Trustee or any Bondholder to pursue any legal remedy in an Event of Default.

Section 22. Accounting and Examination of Records After Default. The City covenants that (i) if an Event of Default shall have happened and shall not have been remedied, the books of record and account of the City and all other records relating to the System shall at all times be subject to the inspection and use of the Trustee and of its agents and attorneys, and (ii) if an Event of Default shall have happened and shall not have been remedied, the City, upon demand of the Trustee, will account, as if it were the trustee of an express trust, for all Revenues and other moneys, securities and funds pledged or held under this Ordinance for such period as shall be stated in such demand.

Section 23. Application of Revenues and Other Moneys After Default. The City covenants that if an Event of Default shall happen and shall not have been remedied, the City, upon the demand of the Trustee, shall pay over or cause to be paid over to the Trustee (i) forthwith, all moneys, securities and funds then held by the City in any fund or account established under this Ordinance, and (ii) all Revenues as promptly as practicable after receipt thereof. During the continuance of an Event of Default, the Trustee shall apply all moneys, securities, funds and Revenues received by the Trustee pursuant to any right given or action taken under the provisions of this Section as follows and in the following order:

(a) To the payment of the reasonable and proper charges, expenses and liabilities of the Trustee, and to the payment of the amounts required for operation and maintenance expenses and

for the reasonable renewals, repairs and replacements of the System necessary in the judgment of the Trustee to prevent loss of Revenues. For this purpose the books of record and accounts of the City relating to the System shall at all times be subject to the inspection of the Trustee and its representatives and agents during the continuance of such Event of Default; and

(b) To the payment of the interest and principal or redemption price then due on the Bonds, as follows:

First: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, together with accrued and unpaid interest on the Bonds theretofore called for redemption, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the persons entitled thereto of the unpaid principal or redemption price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, then to the payment thereof ratably, according to the amounts of principal or redemption price due on such date, to the persons entitled thereto, without any discrimination or preference.

If and whenever all overdue installments of interest on all Bonds, together with the reasonable and proper charges, expenses and liabilities of the Trustee, and all other sums payable by the City under this Ordinance, including the principal and redemption price of and accrued unpaid interest on all Bonds which shall then be payable by declaration or otherwise, shall either be paid by or for the account of the City, or provisions satisfactory to the Trustee shall be made for such payment, and all defaults under this Ordinance or the Bonds shall be made good or secured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall be made therefor, the Trustee shall pay over to the City, all moneys, securities and funds then remaining unexpended in the hands of the Trustee (except moneys, securities and funds deposited or pledged, or required by the terms of this Ordinance to be deposited or pledged, with the Trustee), and thereupon the City and the Trustee shall be restored, respectively, to their former positions and rights under this Ordinance. No such payment over to the City by the Trustee nor such restoration of the City and the Trustee to their former positions and rights shall extend to or affect any subsequent default under this Ordinance or impair any right consequent thereon.

Section 24. Appointment of Receiver and Statutory Rights. In the event of a default in the punctual payment of principal of and interest on the Bonds when due, the Trustee shall have the right to apply in an appropriate proceeding for the appointment of a receiver of the System in accordance with the provisions of Act 94. Subject to the provisions of Section 26 of this Ordinance, the Registered Owners of Bonds representing in the aggregate not less than twenty percent (20%) of all Outstanding Bonds, may protect and enforce the statutory lien and pledge of the funds and accounts and Net Revenues created by Act 94, and enforce and compel the performance of all duties of the officials of the City, including the fixing of sufficient rates, the collection of Revenues, the proper segregation of Revenues, and the proper application of

Revenues. In addition to the rights conferred to Registered Owners by this Ordinance, the Registered Owners shall have all the rights conferred by the Act 94; provided, however, that the Registered Owner of each Bond agrees to enforce such right subject to the provisions of Section 26. The statutory lien upon the Net Revenues, however, shall not be construed to compel the sale of the System or any part thereof.

Section 25. Proceedings Brought by Trustee. If an Event of Default shall happen and shall not have been remedied, then and in every such case, the Trustee, by its agents and attorneys, may proceed, and upon written request of the Registered Owners of not less than 20% in principal amount of the Outstanding Bonds shall proceed, to protect and enforce its rights and the rights of the Registered Owners of the Bonds under this Ordinance forthwith by a suit or suits in equity or at law, whether for the specific performance of any covenant herein contained, or in aid of the execution of any power herein granted, or for an accounting against the City as if the City were the trustee of an express trust, or in the enforcement of any other legal or equitable right as the Trustee, being advised by counsel, shall deem most effectual to enforce any of its rights or to perform any of its duties under this Ordinance.

All rights of action under this Ordinance may be enforced by the Trustee without the possession of any of the Bonds or the production thereof at the trial or other proceedings, and any such suit or proceedings instituted by the Trustee shall be brought in its name.

Subject to the provisions of Section 26, the Registered Owners of not less than twenty percent in principal amount of the Outstanding Bonds may direct the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee, provided that the Trustee shall have the right to decline to follow any such direction if the Trustee shall be advised by counsel that the action or proceeding so directed may not lawfully be taken, or if the Trustee in good faith shall determine that the action or proceeding so directed would involve the Trustee in personal liability or be unjustly prejudicial to the Registered Owners not parties to such direction.

Upon commencing a suit in equity or upon other commencement of judicial proceedings by the Trustee to enforce any right under this Ordinance, the Trustee shall be entitled to exercise any and all rights and powers conferred in this Ordinance and provided to be exercised by the Trustee upon the concurrence of any Event of Default.

Regardless of the happening of an Event of Default, the Trustee shall have power to, but unless requested in writing by the Registered Owners of not less than 20% in principal amount of the Outstanding Bonds, and furnished with reasonable security and indemnity, shall be under no obligation to, institute and maintain such suits and proceedings as it may be advised shall be necessary or expedient to prevent any impairment of the security under this Ordinance or any acts which may be unlawful or in violation of this Ordinance, and such suits and proceedings as the Trustee may be advised shall be necessary or expedient to preserve or protect its interests and the interests of the Registered Owners.

Section 26. Restriction on Registered Owner's Action. No Registered Owner of any Bond shall have any right to institute any suit, action or proceeding at law or in equity for the enforcement of any provision of this Ordinance or the execution of any trust under this

Ordinance or for any remedy under this Ordinance, unless such Registered Owner shall have previously given to the Trustee written notice of the happening of an Event of Default, as provided in this Ordinance, and the Registered Owners of at least 20% in principal amount of the Outstanding Bonds shall have filed a written request with the Trustee, and shall have offered it reasonable opportunity, either to exercise the powers granted in this Ordinance or by Act 94 or by the laws of the State of Michigan or to institute such action, suit or proceeding in its own name, and unless such Registered Owners shall have offered to the Trustee adequate security and indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Trustee shall have refused to comply with such request for a period of 60 days after receipt by it of such notice, request and offer of indemnity, it being understood and intended that no one or more Registered Owners of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the liens or pledge created by this Ordinance, or to enforce any right under this Ordinance, except in the manner therein provided; and that all proceedings at law or in equity to enforce any provision of this Ordinance shall be instituted, had and maintained in the manner provided in this Ordinance and for equal benefit of all Registered Owners of the Outstanding Bonds; provided, however, nothing herein shall be construed as impairing any right granted to Registered Owners pursuant to the provisions of Act 94.

Section 27. Remedies Not Exclusive. No remedy by the terms of this Ordinance conferred upon or reserved to the Trustee or the Registered Owners is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under this Ordinance or existing at law or in equity or by statute on or after the date of this Ordinance.

Section 28. Effect of Waiver and Other Circumstances. No delay or omission of the Trustee or any Registered Owner to exercise any right or power arising upon the happening or an Event of Default shall impair any right or power or shall be construed to be a waiver of any such Event of Default or be an acquiescence therein; and every power and remedy given by this Ordinance to the Trustee or to the Registered Owners may be exercised from time to time and as often as may be deemed expedient by the Trustee or by the Registered Owners.

The Registered Owners of not less than 20% in principal amount of the Bonds at the time outstanding, or their attorneys in fact duly authorized, may on behalf of the Registered Owners of all of the Bonds waive any past default under this Ordinance and its consequences, except a default in the payment of interest on or principal of or premium (if any) on any of the Bonds. No such waiver shall extend to any subsequent or other default or impair any right consequent thereon.

Section 29. Notice to Trustee of Default. The Trustee shall not be obliged to take notice or be deemed to have notice or knowledge of any Event of Default hereunder, unless specifically notified in writing of such Event of Default by the Transfer Agent or by the Registered Owners of not less than twenty percent (20%) in aggregate principal amount of the Outstanding Bonds in default.

Section 30. Notice to Registered Owners of Default. The Trustee shall promptly mail written notice of the occurrence of any Event of Default to each Registered Owner of

Outstanding Bonds at the address appearing upon the books kept by the Transfer Agent for each series of Bonds.

Section 31. Acceptance by Trustee of Trust and Duties. The Trustee shall evidence its acceptance of the trusts and duties imposed upon it by this Ordinance upon the occurrence of an Event of Default by filing a written acceptance thereof with the City. The Trustee shall execute the trusts and duties imposed upon it by this Ordinance upon the occurrence of an Event of Default but only upon the terms and conditions set forth in and subject to the provisions of this Ordinance. The Trustee shall, prior to having knowledge of any Event of Default as defined in this Ordinance and after the curing of all such Events of Default which may have occurred, perform such duties and only such duties of the Trustee as are specifically set forth in this Ordinance. The Trustee shall, during the existence of any such Event of Default (which has not been cured) exercise such of the rights and powers vested in it by this Ordinance and use the same degree of care and skill in their exercise, as a prudent man would exercise or use under the circumstances in the conduct of his own affairs.

No such provision of this Ordinance shall be construed to relieve the Trustee from liability for its own negligent action, its own negligent failure to act, or its own willful misconduct, except that:

(a) prior to any such Event of Default hereunder, and after the curing of any such Events of Default which may have occurred:

(1) the duties and obligations of the Trustee shall be determined solely by the express provisions of this Ordinance and the Trustee shall not be liable except for the performance of such duties and obligations as are specifically set forth in this Ordinance, and no implied covenants or obligations shall be read into this Ordinance against the Trustee, and

(2) in the absence of bad faith on its part the Trustee may conclusively rely, as to the accuracy of the statements and the correctness of the opinions expressed therein, upon any certificate or opinion furnished to it conforming to the requirements of this Ordinance; and

(b) at all times, regardless of whether or not any such Event of Default shall exist:

(1) the Trustee shall not be liable for any error of judgment made in good faith by a responsible officer or officers of the Trustee unless it shall be proved that the Trustee was negligent in ascertaining the pertinent facts:

(2) the Trustee may consult with counsel (who may be counsel for any Registered Owner) and the written advice of such counsel or any opinion of counsel shall be full and complete authorization and protection in respect of any action taken, suffered or omitted by it hereunder in good faith and in reliance thereon; and

(3) the Trustee may execute any of the trusts or powers hereunder or perform any duties hereunder either directly or by or through agents or attorneys.

None of the provisions contained in this Ordinance shall require the Trustee to expend or risk its own funds or otherwise incur individual financial liability in the performance of any of its duties or in the exercise of any of its rights or powers.

The Trustee may at any time resign and be discharged of the duties and obligations created by this Ordinance, by giving at least sixty days written notice to the City and to any Bond Insurer insuring Outstanding Bonds. The successor Trustee shall be appointed by the City and shall be a national banking association or a bank or trust company organized under the laws of the United States of America or any state of the United States of America having a reported capital and surplus aggregating at least $50,000,000, and shall be willing and able to accept the office on reasonable and customary terms, and shall be authorized by law to perform all the duties imposed on it by this Ordinance. Appointment of the successor Trustee shall be subject to approval of any Bond Insurer if required by such company.

Section 32. Amendments; Consent of Registered Owners.

(a) The City, from time to time and at any time, subject to the conditions and restrictions contained in this Ordinance, may enact one or more supplemental or amendatory ordinances or resolutions or both which thereafter shall form a part hereof, for any one or more or all of the following purposes:

(i) To issue Additional Bonds or Junior Lien Bonds;

(ii) To add to the covenants and agreements of the City contained in this Ordinance, other covenants and agreements thereafter to be observed or to surrender, restrict or limit any right or power herein reserved to or conferred upon the City (including but not limited to the right to issue Additional Bonds);

(iii) To make such provisions for the purpose of curing any ambiguity, or of curing, correcting or supplementing any defective provisions contained in this Ordinance, or in regard to matters or questions arising under this Ordinance, as the City may deem necessary or desirable and not inconsistent with this Ordinance and which shall not have material, adverse effect on the interests of the Registered Owners of the Bonds;

(iv) To increase the size or scope of the System; and

(v) To make such modifications in the provisions hereof as may be deemed necessary by the City to accommodate the issuance of Additional Bonds or junior lien bonds which (a) are "Capital Appreciation Bonds" or "Zero Coupon Bonds" to the extent permitted by law or (b) are variable rate bonds, but only if such modifications, in the written opinion of nationally recognized bond counsel filed with the City, do not result in materially diminishing the security hereby granted to the Registered Owners of any Outstanding Bonds.

Any amendment or supplemental ordinance or resolution authorized by the provisions of this Section 32(a) may be enacted by the City without the consent of or notice to the Registered Owners of any of the Outstanding Bonds, notwithstanding any of the provisions of Section 32(b) below.

(b) With the consent of the Registered Owners of not less than 51% in principal amount of the Bonds then outstanding and with the written consent of any Bond Insurer insuring Outstanding Bonds, which consent shall not be unreasonably withheld, the City may from time to time and at any time adopt an ordinance or ordinances supplemental hereto for the purpose of adding any provisions to or changing in any manner or eliminating any of the provisions of this Ordinance or of any supplemental ordinance, provided, however, that no such supplemental ordinance shall (i) extend the fixed maturity of any Bond, change a Mandatory Redemption Requirement for any series of Bonds or reduce the rate of interest thereon or extend the time of payment of interest, or reduce the amount of the principal thereof, or reduce or extend the time for payment of any premium payable on the redemption thereof, without the consent of the Registered Owner of each Bond so affected, or (ii) reduce the aforesaid percentage of Registered Owners of the Bonds required to approve any such supplemental ordinance, or (iii) deprive the Registered Owners of the Bonds (except as aforesaid) of the right to payment of the Bonds from the Net Revenues, without the consent of the Registered Owners of all the Outstanding Bonds or, (iv) cause any modification or reduction of the lien on or pledge of the Net Revenues or the funds or accounts established hereunder. After the Bond Insurer insuring any Outstanding Bonds has granted its consent to such amendments or supplements, copies of the amendment or supplement shall be sent to any rating agency insuring the Outstanding Bonds.

It shall not be necessary for the consent of the Registered Owners under this Section 32(b) to approve the particular form of any proposed supplemental ordinance, but it shall be sufficient if such consent shall approve the substance thereof.

Promptly after the enactment by the City of any supplemental ordinance pursuant to the provisions of this Section 32(b), the City shall cause the Transfer Agent to mail a notice by registered or certified mail to the Registered Owners of all Outstanding Bonds at their addresses shown on the bond register or at such other address as is furnished in writing by such Registered Owner to the Transfer Agent setting forth in general terms the substance of such supplemental ordinance.

Section 33. Non-Arbitrage Covenant. For any series of bonds issued under this Ordinance on a tax-exempt basis, the City covenants and agrees that as long as any of the tax-exempt bonds remain outstanding and unpaid as to either principal or interest, the City shall not invest, reinvest or accumulate any moneys deemed to be proceeds thereof pursuant to the Internal Revenue Code in such a manner as to cause the tax-exempt bonds to be "arbitrage bonds" within the meaning of the Internal Revenue Code. The City hereby covenants that, to the extent permitted by law, it will take all actions within its control and that it shall not fail to take any action as may be necessary to maintain the exemption of interest on any of the tax-exempt bonds from gross income for federal income tax purposes, including but not limited to, actions relating to the rebate of arbitrage earnings, if applicable, and the expenditure and investment of bond proceeds and moneys deemed to be bond proceeds, all as more fully set forth in the Non-Arbitrage and Tax Compliance Certificate to be delivered by the City with the tax-exempt bonds.

Section 34. Qualified Energy Conservation Bonds. The Authorized Officer is hereby authorized to determine, based on the advice of the Financial Advisor, whether to sell the Series 2016 Bonds on a tax exempt basis, or as QECBs, or any combination thereof. If any series of the Series 2016 Bonds are issued as QECBs, then the Authorized Officer, the Director of Public

Works, City Engineer or Engineering Administrator are hereby severally directed to elect, on behalf of the City, to qualify the bonds as QECBs in the manner required by the Internal Revenue Code. If any series of the Series 2016 Bonds are issued as QECBs, then the Authorized Officer, Authorized Officer, the Director of Public Works, City Engineer or Engineering Administrator are severally authorized and directed to make such representations and agreements in certificates delivered at the time of delivery of the bonds as may be necessary to qualify the bonds as QECBs and receive the direct payment credit from the United States Treasury, and to take all other actions necessary or advisable, and to make such other filings with any parties, including the Internal Revenue Service, to request the payment of the appropriate credits from the United States Treasury. If any series of the Series 2016 Bonds are issued as QECBs, then any credit payments received from the United States Treasury shall be deposited into the Receiving Fund and transferred from the Receiving Fund to the Bond and Interest Redemption Account. If any series of the Series 2016 Bonds are issued as QECBs, the costs of issuance to be paid from proceeds of such QECBs shall not exceed two percent (2%) of the principal amount thereof.

Section 35. Negotiated Sale of Series 2016 Bonds. In reliance upon the advice of Robert W. Baird & Co, Incorporated, as Financial Advisor to the City for the Series 2016 Bonds, the City Commission hereby determines to sell the Series 2016 Bonds at a negotiated sale instead of a competitive sale for the reasons that a negotiated sale will permit the City to enter the market on short notice at a point in time which appears to be most advantageous, and thereby possibly achieve the most advantageous interest rates and costs, to allow better control over pricing of the Series 2016 Bonds, and/or allow more flexibility in accessing the municipal bond market to better assure compliance with pricing restrictions applicable to QECBs.

Section 36. Appointment of Underwriter for Series 2016 Bonds. Hutchinson, Shockey, Erley & Co. is hereby selected to act as senior managing underwriter for the Series 2016 Bonds (the "Underwriter") The City hereby authorizes the Authorized Officer, in consultation with the Financial Advisor, to select an underwriter (the "Underwriter") as the senior managing Underwriter for the Series 2016 Bonds, provided, however, that by adoption of this Ordinance the City assumes no obligations or liability to the Underwriter for any loss or damage that may result to the Underwriter from the adoption of this Ordinance, and all costs and expenses incurred by the Underwriter in preparing for sale of the Series 2016 Bonds shall be paid from the proceeds thereof, if issued, except as may be otherwise provided in an agreement to be signed by the City and the Underwriter. The City reserves the right to name additional co-managers and/or to develop a selling group, and the Authorized Officer is hereby authorized to name additional co-managers and/or to develop a selling group.

Section 37. Application to Michigan Department of Treasury. The Authorized Officer is hereby authorized to file such applications or other documents with the Michigan Department of Treasury or other parties as may be necessary or advisable to effectuate the sale and delivery of the Series 2016 Bonds.

Section 38. Bond Ratings; Municipal Bond Insurance. The Authorized Officer is hereby authorized to apply for bond ratings from such municipal bond rating agencies as is deemed appropriate, in consultation with the Financial Advisor.

If the Financial Advisor recommends that the City consider purchase of municipal bond insurance, then the Authorized Officer is hereby authorized and directed to negotiate with insurers regarding acquisition of municipal bond insurance, and, in consultation with the Financial Advisor, to select a Bond Insurer and determine which bonds, if any, shall be insured. The Authorized Officer is hereby authorized to enter into an agreement with the Bond Insurer regarding notices to be provided to the Bond Insurer, filing of annual financial information to be provided to the Bond Insurer, consents or approvals to be obtained from the Bond Insurer, the dates of receipt by the Transfer Agent of bond payments, and other requirements which the City may be obliged to meet in order to obtain municipal bond insurance on the Series 2016 Bonds. If the Financial Advisor advises the City that the purchase of a municipal bond insurance policy for the Series 2016 Bonds would be of economic benefit to the City, then the Authorized Officer is hereby authorized to purchase a municipal bond insurance policy from the Bond Insurer for the Series 2016 Bonds.

Section 39. Official Statement. The City Commission hereby authorizes the Authorized Officer to approve the circulation of a preliminary official statement describing the Series 2016 Bonds and to deem such preliminary official statement as "near final" in compliance with Securities and Exchange Commission rules. The City Commission hereby authorizes the Authorized Officer to approve, execute, and deliver a final Official Statement after sale of the Series 2016 Bonds.

Section 40. Continuing Disclosure. In order to enable underwriters to comply with the requirements of Rule 15c2-12 promulgated by the Securities and Exchange Commission, the City hereby agrees to undertake Continuing Disclosure. The City Commission hereby authorizes the Authorized Officer to approve, execute, and deliver a Continuing Disclosure Undertaking in such form as she shall, in consultation with bond counsel, determine appropriate.

Section 41. Sale of Series 2016 Bonds. The Authorized Officer is hereby authorized, on behalf of the City, in consultation with the Financial Advisor, to accept an offer to purchase the Series 2016 Bonds. The Authorized Officer is hereby authorized on behalf of the City to prepare, approve, execute, and deliver, a Bond Purchase Agreement and all other documents necessary to effect sale and delivery of the Series 2016 Bonds.

The Authorized Officer is hereby authorized on behalf of the City, subject to the provisions and limitations of this Ordinance, to determine all matters which this Ordinance provides shall be determined upon sale of the Series 2016 Bonds, including but not be limited to determination of original principal amount of the Series 2016 Bonds and the prices at which they are sold; the date of the Series 2016 Bonds; the schedule of principal maturities and whether the Series 2016 Bonds shall mature serially or as term bonds; the provisions for early redemption, if any, including mandatory redemption of term bonds, if any; the interest rates and payment dates of the Series 2016 Bonds; application of the proceeds of the Series 2016 Bonds; final preparation, approval, execution and delivery of the final Official Statement, whether the Series 2016 Bonds are to be sold on a tax-exempt or taxable basis or as QECBs, and all other necessary actions.

The maximum interest rate of the Series 2016 Bonds shall not exceed 8.00%. The purchase price for the Series 2016 Bonds, exclusive of any original issue discount, shall not be

less than 98.00% of the principal amount of the Series 2016 Bonds, plus accrued interest. In making such determinations the Authorized Officer is authorized to rely upon data and computer runs provided by the Underwriter or the Financial Advisor.

Approval of the matters delegated to the Authorized Officer under this Ordinance may be evidenced by execution of the bond purchase agreement or the final Official Statement.

Section 42. Necessary Actions. In the event that the Authorized Officer is not available to undertake responsibilities delegated to the Authorized Officer under this Ordinance, then the City Manager or a person designated by the Authorized Officer or the City Manager is authorized to take such actions. Any one or more of the officers, administrators, agents and attorneys of the City are authorized and directed to execute and deliver all other agreements, documents and certificates and to take all other actions necessary or convenient to complete the issuance, sale, and delivery of the Series 2016 Bonds in accordance with this Ordinance, and to pay costs of issuance including rating agency fees, bond insurance premiums, trustee and transfer agent fees, financial advisor fees, bond counsel fees, publication costs and costs of printing the preliminary and final official statements, and any other costs necessary to accomplish sale and delivery of the Series 2016 Bonds.

Section 43. Ordinance to Constitute Contract. In consideration of the purchase and acceptance of any and all of the Bonds authorized to be issued hereunder by those who shall hold the same from time to time, this Ordinance shall be deemed to be and shall constitute a contract between the City and the Registered Owners from time to time of the Bonds; and the lien and pledge made in this Ordinance and the covenants and agreements therein set forth to be performed on behalf of the City shall be for the equal benefit, protection and security of the Registered Owners of any and all of the Bonds, all of which, regardless of the time or times of their authentication and delivery or maturity, shall be of equal rank without preference, priority or distinction of any of the Bonds over any other thereof except as expressly provided in or permitted by this Ordinance.

Section 44. Repeal. All ordinances, resolutions or orders, or parts thereof, in conflict with the provisions of this Ordinance are repealed, including the following ordinances which authorized issuance of revenue bonds which are no longer outstanding: Ordinance No. 26-90 adopted on September 11, 1990; Ordinance No. 4-93 adopted on March 23, 1993; Ordinance No. 10-96 adopted on October 15, 1996; Ordinance No. 14-96 adopted on November 5, 1996; Ordinance No. 15-96 adopted on November 5, 1996; Ordinance No. 16-01 adopted on October 16, 2001; Ordinance No. 16-02 adopted on October 15, 2002; Ordinance No. 17-02 adopted on November 19, 2002 and Ordinance No. 6-2013 adopted on May 21, 2013.

Section 45. Severability and Paragraph Headings. If any section, paragraph, clause or provision of this Ordinance shall be held invalid, the invalidity of such section, paragraph, clause or provision shall not affect any of the other provisions of this Ordinance. The paragraph headings in this Ordinance are furnished for convenience of reference only and shall not be considered to be a part of this Ordinance.

Section 46. Publication and Recordation. This Ordinance shall be published in full in *The Battle Creek Shopper News*, a newspaper of general circulation in the City of Battle Creek

qualified under State law to publish legal notices, promptly after its adoption, and shall be recorded in the Ordinance Book of the City and such recording authenticated by the signatures of the Mayor and the City Clerk.

Section 47. Effective Date. As provided in Act 94, this Ordinance shall be effective immediately upon its adoption.

Passed and adopted by the City Commission of the City of Battle Creek, County of Calhoun, State of Michigan, on November 15, 2016.

Offered by Commissioner Mark Behnke and seconded by Commissioner Susan Baldwin.

YEAS: Commissioners Susan Baldwin, Mark Behnke, Kaytee Faris, Kate Flores, Dave Walters, Lynn Ward Gray, Andy Helmboldt, Deb Owens, Mike Sherzer.

NAYS: None

ABSENT: None

Appendix E

FORMS OF APPROVING OPINIONS

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Founded in 1852
by Sidney Davy Miller

MILLER CANFIELD

Miller, Canfield, Paddock and Stone, P.L.C.
One Michigan Avenue, Suite 900
Lansing, Michigan 48933
TEL (517) 487-2070
FAX (517) 374-6304
www.millercanfield.com

MICHIGAN: Ann Arbor
Detroit • Grand Rapids
Kalamazoo • Lansing • Troy
FLORIDA: Tampa
ILLINOIS: Chicago
NEW YORK: New York
OHIO: Cincinnati
CANADA: Windsor
CHINA: Shanghai
MEXICO: Monterrey
POLAND: Gdynia
Warsaw • Wrocław

December __, 2016

[DRAFT FORM OF APPROVING OPINION]

City of Battle Creek
County of Calhoun
State of Michigan

We have acted as bond counsel to the City of Battle Creek, County of Calhoun, State of Michigan (the "City") in connection with the issuance by the City of bonds in the aggregate principal sum of $7,725,000, designated WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016A (the "Bonds"). In such capacity, we have examined such law and the transcript of proceedings relating to the issuance of the Bonds and such other proceedings, certifications and documents as we have deemed necessary to render this opinion.

The Bonds are issued pursuant to Act 94, Public Acts of Michigan, 1933, as amended ("Act 94") and a bond authorizing ordinance enacted by the City (the "Ordinance"). Under the Ordinance, the City has pledged certain revenues for the payment of the principal and interest on the Bonds when due.

The Bonds are in fully-registered form in the denomination of $5,000 each or multiples thereof, bearing original issue date of December 28, 2016, payable as to principal and interest as provided in the Bonds, and are subject to redemption prior to maturity in the manner, at the times and at the prices specified in the Bonds.

As to questions of fact material to our opinion, we have relied on the representations of the City contained in the Ordinance, and in the certified proceedings and other certifications of public officials and others furnished to us.

Based upon the foregoing, we are of the opinion that, under existing law:

1. The Bonds are valid and binding obligations of the City, according to their tenor, payable solely and only from and secured by a statutory first lien on the revenues of the City's Water and Wastewater System (the "System"), after payment of the

expenses of administration, operation and maintenance thereof (the "Net Revenues"), and are entitled to the benefits of the Ordinance and Act 94.

2. The City has reserved the right to issue additional bonds of equal standing with the Bonds on conditions stated in the Ordinance.

3. The City is obligated to charge and collect rates from every user of the service supplied by the System sufficient to provide adequate revenues for the payment of the expenses of administration, operation and maintenance of the System and for the payment of the principal of and interest on the Bonds and all other bonds payable from the revenues of the System, and to provide for such other expenditures and funds for the Bonds and the System as are required by the Ordinance.

4. The interest on the Bonds (a) is excludable from gross income for federal income tax purposes and (b) is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations. It should be noted, however, that with respect to corporations (as defined for federal income tax purposes), the interest is taken into account in determining adjusted current earnings for the purpose of computing the alternative minimum tax imposed on such corporations. The opinion set forth in clause (a) above is subject to the condition that the City comply with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be (or continue to be) excludable from gross income for federal income tax purposes. The City has covenanted to comply with all such requirements. Failure to comply with certain of such requirements could cause the interest on the Bonds to be included in gross income retroactively to the date of issuance of the Bonds.

5. The Bonds and the interest thereon are exempt from all taxation by the State of Michigan or by any taxing authority within the State of Michigan except inheritance and estate taxes and taxes on gains realized from the sale, payment or other disposition thereof.

Except as stated in paragraphs 4 and 5 above, we express no opinion regarding other federal or state tax consequences arising with respect to the Bonds and the interest thereon.

The rights or remedies of bondholders may be affected by bankruptcy, insolvency, fraudulent conveyance or other laws affecting creditors' rights generally, now existing or hereafter enacted, and by the application of general principles of equity, including those relating to equitable subordination.

This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur.

Very truly yours,

MILLER, CANFIELD, PADDOCK AND STONE, P.L.C.

By _____
William J. Danhof

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Founded in 1852
by Sidney Davy Miller

MILLER CANFIELD

Miller, Canfield, Paddock and Stone, P.L.C.
One Michigan Avenue, Suite 900
Lansing, Michigan 48933
TEL (517) 487-2070
FAX (517) 374-6304
www.millercanfield.com

MICHIGAN: Ann Arbor
Detroit • Grand Rapids
Kalamazoo • Lansing • Troy
FLORIDA: Tampa
ILLINOIS: Chicago
NEW YORK: New York
OHIO: Cincinnati
CANADA: Windsor
CHINA: Shanghai
MEXICO: Monterrey
POLAND: Gdynia
Warsaw • Wrocław

December __, 2016

[DRAFT FORM OF APPROVING OPINION]

City of Battle Creek
County of Calhoun
State of Michigan

We have acted as bond counsel to the City of Battle Creek, County of Calhoun, State of Michigan (the "City") in connection with the issuance by the City of bonds in the aggregate principal sum of $8,890,000, designated WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016B (Federally Taxable – Qualified Energy Conservation Bonds) (the "Bonds"). In such capacity, we have examined such law and the transcript of proceedings relating to the issuance of the Bonds and such other proceedings, certifications and documents as we have deemed necessary to render this opinion.

The Bonds are issued pursuant to Act 94, Public Acts of Michigan, 1933, as amended ("Act 94") and a bond authorizing ordinance enacted by the City (the "Ordinance"). Under the Ordinance, the City has pledged certain revenues for the payment of the principal and interest on the Bonds when due.

The Bonds are in fully-registered form in the denomination of $5,000 each or multiples thereof, bearing original issue date of December 28, 2016, payable as to principal and interest as provided in the Bonds, and are subject to redemption prior to maturity in the manner, at the times and at the prices specified in the Bonds.

As to questions of fact material to our opinion, we have relied on the representations of the City contained in the Ordinance, and in the certified proceedings and other certifications of public officials and others furnished to us.

Based upon the foregoing, we are of the opinion that, under existing law:

1. The Bonds are valid and binding obligations of the City, according to their tenor, payable solely and only from and secured by a statutory first lien on the revenues of the City's Water and Wastewater System (the "System"), after payment of the expenses of administration, operation and maintenance thereof (the "Net Revenues"), and are entitled to the benefits of the Ordinance and Act 94.

2. The City has reserved the right to issue additional bonds of equal standing with the Bonds on conditions stated in the Ordinance.

3. The City is obligated to charge and collect rates from every user of the service supplied by the System sufficient to provide adequate revenues for the payment of the expenses of administration, operation and maintenance of the System and for the payment of the principal of and interest on the Bonds and all other bonds payable from the revenues of the System, and to provide for such other expenditures and funds for the Bonds and the System as are required by the Ordinance.

4. Interest on the Bonds is not excludable from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended. We express no opinion regarding any other federal or state tax consequences related to the ownership or disposition of, or the accrual or receipt of interest on, the Bonds. Investors are urged to obtain independent tax advice based upon their particular circumstances. The tax opinions herein were not intended to be used, and cannot be used, for the purpose of avoiding taxpayer penalties. These opinions were written to support the promotion or marketing of the Bonds.

5. The Bonds and the interest thereon are exempt from all taxation by the State of Michigan or by any taxing authority within the State of Michigan except inheritance and estate taxes and taxes on gains realized from the sale, payment or other disposition thereof.

The rights or remedies of bondholders may be affected by bankruptcy, insolvency, fraudulent conveyance or other laws affecting creditors' rights generally, now existing or hereafter enacted, and by the application of general principles of equity, including those relating to equitable subordination.

This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur.

Very truly yours,

MILLER, CANFIELD, PADDOCK AND STONE, P.L.C.

By _____
William J. Danhof

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

Appendix F

FORM OF CONTINUING DISCLOSURE UNDERTAKING

(THIS PAGE IS INTENTIONALLY LEFT BLANK)

City of Battle Creek, Michigan
Water and Wastewater System Revenue Bonds, Series 2016A, and
Water and Wastewater Revenue Bonds, Series 2016B
(Federally Taxable – Qualified Energy Conservation Bonds)

CONTINUING DISCLOSURE UNDERTAKING

This Continuing Disclosure Undertaking (the "Undertaking") is executed and delivered by the City of Battle Creek, County of Calhoun, State of Michigan (the "City") in connection with the issuance by the City of its Water and Wastewater System Revenue Bonds, Series 2016A and its Water and Wastewater Revenue Bonds, Series 2016B (Federally Taxable – Qualified Energy Conservation Bonds) (collectively, the "Bonds") being delivered and dated on the date of this certificate.

The City covenants and agrees for the benefit of the Bondholders (as hereinafter defined) as follows:

(a) *Definitions*. The following terms used herein shall have the following meanings:

"Audited Financial Statements" means the annual audited financial statement pertaining to the City prepared by an individual or firm of independent certified public accountants as required by Act 2, Public Acts of Michigan, 1968, as amended, which presently requires preparation in accordance with generally accepted accounting principles. These audited financial statements are commonly referred to as the CAFR (Comprehensive Annual Financial Report).

"Bondholders" shall mean the registered owner of any Bond or any person (a) with the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bond (including any person holding a Bond through a nominee, depository or other intermediary) or (b) treated as the owner of any Bond for federal income tax purposes.

"EMMA" shall mean the MSRB's Electronic Municipal Market Access System, or such other system, Internet Web site, or repository hereafter prescribed by the MSRB for the submission of electronic filings pursuant to the Rule.

"MSRB" means the Municipal Securities Rulemaking Board.

"Rule" means Rule 15c2-12 promulgated by the SEC pursuant to the Securities Exchange Act of 1934, as amended.

"SEC" means the United States Securities and Exchange Commission.

"Undertaking" means this Continuing Disclosure Undertaking.

(b) *Continuing Disclosure.* The City shall, in accordance with the provisions of the Rule, provide or cause to be provided to the MSRB through EMMA, on or before the last day of the sixth month after the end of the fiscal year of the City, the following annual financial information

and operating data, commencing with the fiscal year ended June 30, 2017, in an electronic format as prescribed by the MSRB:

(1) Updates of the numerical financial information and operating data included in the official statement of the City relating to the Bonds (the "Official Statement") appearing in the Tables or under the headings in the Official Statement as described below:

a. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM - Service Area and Customer Base: Approximate Number of Water Customers by User Classification and Location;

b. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM - Service Area and Customer Base: Approximate Number of Wastewater Customers by User Classification and Location;

c. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM – Water Supply Volume: Water Volume as Billed by User Classification and Location;

d. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM – Wastewater Treatment Volume: Wastewater Treatment Volume as Billed by User Classification and Location;

e. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM – Water Supply Revenue: Water System Revenues by User Class and Location;

f. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM – Wastewater Revenue: Wastewater System Revenues by User Class and Location;

g. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM – Ten Largest Water Customers: Ten Largest Water Customers by Volume and Revenue;

h. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM – Ten Largest Wastewater Customers: Ten Largest Wastewater Customers by Volume and Revenue;

i. THE CITY OF BATTLE CREEK WATER AND WASTEWATER SYSTEM - Historical and Projected Operating Cash Flow and Debt Service Coverage: Historical and Projected Water and Wastewater System Operating Cash Flow and Debt Service Coverage.

(2) Audited Financial Statements, or in the event audited financial statements are not available, the City shall provide unaudited financial statements, and then provide audited financial statements immediately after they become available.

(3) Such additional financial information or operating data as may be determined by the City and its advisors as desirable or necessary to comply with the Rule.

Such annual financial information and operating data described above are expected to be provided directly by the City or by specific reference to documents available to the public through EMMA or filed with the SEC.

If the fiscal year of the City is changed, the City shall send a notice of such change to the MSRB through EMMA, prior to the earlier of the ending date of the fiscal year prior to such change or the ending date of the fiscal year as changed.

(c) *Notice of Failure to Disclose*. The City shall provide or cause to be provided, in a timely manner, to the MSRB through EMMA, in an electronic format as prescribed by the MSRB, notice of a failure by the City to provide the annual financial information with respect to the City described in subsection (b) above on or prior to the dates set forth in subsection (b) above.

(d) *Occurrence of Events.* The City shall provide or cause to be provided to the MSRB through EMMA, in an electronic format as prescribed by the MSRB, in a timely manner not in excess of ten business days after the occurrence of the event, notice of the occurrence of any of the following events listed in (b)(5)(i)(C) of the Rule with respect to the Bonds:

(1) principal and interest payment delinquencies;
(2) non-payment related defaults, if material;
(3) unscheduled draws on debt service reserves reflecting financial difficulties;
(4) unscheduled draws on credit enhancements reflecting financial difficulties;
(5) substitution of credit or liquidity providers, or their failure to perform;
(6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
(7) modifications to rights of holders of the Bonds, if material;
(8) bond calls, if material, and tender offers;
(9) defeasances;
(10) release, substitution, or sale of property securing repayment of the Bonds, if material;
(11) rating changes;
(12) bankruptcy, insolvency, receivership or similar event of the City, which is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the City in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the City, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the City;
(13) the consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the City, other than in the ordinary

course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; or

(14) appointment of a successor or additional trustee or the change of name of a trustee, if material.

(e) *Materiality Determined Under Federal Securities Laws*. The City agrees that its determination of whether any event listed in subsection (d) is material shall be made in accordance with federal securities laws.

(f) *Identifying Information*. All documents provided to the MSRB through EMMA shall be accompanied by the identifying information prescribed by the MSRB.

(g) *Termination of Reporting Obligation*. The City reserves the right to terminate its obligation to provide annual financial information and notices of material events, as set forth above, if and when the City is no longer an "obligated person" with respect to the Bonds within the meaning of the Rule, including upon legal defeasance of all Bonds.

(h) *Benefit of Bondholders*. The City agrees that its undertaking pursuant to the Rule set forth in this Undertaking is intended to be for the benefit of the Bondholders and shall be enforceable by any Bondholder; provided that, the right to enforce the provisions of this Undertaking shall be limited to a right to obtain specific enforcement of the City's obligations hereunder and any failure by the City to comply with the provisions of this Undertaking shall not constitute a default or an event of default with respect to the Bonds.

(i) *Amendments to the Undertaking*. Amendments may be made in the specific types of information provided or the format of the presentation of such information to the extent deemed necessary or appropriate in the judgment of the City, provided that the City agrees that any such amendment will be adopted procedurally and substantively in a manner consistent with the Rule, including any interpretations thereof by the SEC, which, to the extent applicable, are incorporated herein by reference. Such interpretations currently include the requirements that (a) the amendment may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of the City or the type of activities conducted thereby, (b) the undertaking, as amended, would have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances, and (c) the amendment does not materially impair the interests of Bondholders, as determined by parties unaffiliated with the City (such as independent legal counsel), but such interpretations may be changed in the future. If the accounting principles to be followed by the City in the preparing of the Audited Financial Statements are modified, the annual financial information for the year in which the change is made shall present a comparison between the financial statements as prepared on the prior basis and the statements as prepared on the new basis, and otherwise shall comply with the requirements of the Rule, in order to provide information to investors to enable them to evaluate the ability of the City to meet its obligations. A notice of the change in accounting principles shall be sent to the MSRB through EMMA.

IN WITNESS WHEREOF, the City has caused this Undertaking to be executed by its authorized officer.

CITY OF BATTLE CREEK
County of Calhoun, State of Michigan

By _____
Linda A. Morrison
Its: Finance Director

Dated: December __, 2016

$7,725,000
CITY OF BATTLE CREEK
County Calhoun, State of Michigan
WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016A

$8,890,000
CITY OF BATTLE CREEK
County Calhoun, State of Michigan
WATER AND WASTEWATER SYSTEM REVENUE BONDS, SERIES 2016B
(Federally Taxable – Qualified Energy Conservation Bonds)

Financial Advisor:

Robert W. Baird & Co.
1001 Bay Street
Traverse City, Michigan 49684
(231) 933-8447